through a loss allowance. The Group recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowances for doubtful trade receivables, the Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Mozido LLC	82	76
FCM LLC	62	57
Taj Air Limited	19	19
Philippine Dealing System Holdings Corporation	7	7
Less: Impairment in value of investments	(134)	(123)
Investments carried at amortised cost		
Government bonds and securities (quoted)	188	187
Corporate bonds (quoted)	42	-
	266	**223**

Investments – Non-current includes ₹229 crore and ₹187 crore as at March 31, 2023 and 2022, respectively, pertaining to trusts held for specified purposes.

Investments - Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	2,296	1,874
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	26,128	25,667
Corporate bonds (quoted)	3,110	1,242
Investments carried at amortised cost		
Corporate bonds (quoted)	10	10
Certificate of deposits (quoted)	2,955	99
Commercial papers (quoted)	2,398	381
Treasury bills (quoted)	-	989
	36,897	**30,262**

Investments – Current includes ₹68 crore and ₹100 crore as at March 31, 2023 and 2022, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

Government bonds and securities includes bonds pledged with bank for credit facility and with manager to the buy-back amounting to ₹1,650 crore and ₹3,560 crore as at March 31, 2023 and 2022, respectively.

Notes forming part of Consolidated Financial Statements

Aggregate value of quoted and unquoted investments is as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Aggregate value of quoted investments	37,127	30,449
Aggregate value of unquoted investments (net of impairment)	36	36
Aggregate market value of quoted investments	37,121	30,455
Aggregate value of impairment of investments	134	123

Market value of quoted investments carried at amortised cost is as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Government bonds and securities	186	192
Corporate bonds	50	10
Certificate of deposits	2,951	99
Commercial papers	2,400	381
Treasury bills	-	990

Equity instruments designated at fair value through OCI are as follows:

(₹ crore)

In Numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at March 31, 2023	As at March 31, 2022
			Fully paid equity shares (unquoted)		
1,00,00,000	USD	1	Mozido LLC	82	76
15	USD	5,00,000	FCM LLC	62	57
1,90,00,000	INR	10	Taj Air Limited	19	19
5,00,000	PHP	100	Philippine Dealing System Holdings Corporation	7	7
			Less: Impairment in value of investments	(134)	(123)
				36	**36**

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**488**	**828**
Net loss arising on revaluation of financial assets carried at fair value	(2)	(4)
Net loss arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(676)	(516)
Deferred tax relating to net loss arising on revaluation of investments other than equities carried at fair value through other comprehensive income	233	180
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(3)	-
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	1	-
Balance at the end of the year	**41**	**488**

(b) Trade receivables – Billed

Trade receivables- Billed (unsecured) consist of the following:

Trade receivables - Billed - Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Trade receivables- Billed	824	1,013
Less: Allowance for doubtful trade receivables- Billed	(675)	(868)
Considered good	**149**	**145**

Ageing for trade receivables – non-current outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	-	71	83	638	792
Disputed trade receivables – considered good	-	-	-	-	8	24	32
	-	**-**	**-**	**71**	**91**	**662**	**824**
Less: Allowance for doubtful trade receivables - Billed							**(675)**
							149
Trade receivables - Unbilled							**199**
							348

Ageing for trade receivables – non-current outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	12	123	247	615	997
Disputed trade receivables – considered good	-	-	-	-	-	16	16
	-	**-**	**12**	**123**	**247**	**631**	**1013**
Less: Allowance for doubtful trade receivables- Billed							**(868)**
							145
Trade receivables - Unbilled							**55**
							200

Notes forming part of Consolidated Financial Statements

Trade receivables - Billed – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Trade receivables- Billed	41,244	34,253
Less: Allowance for doubtful trade receivables- Billed	(297)	(219)
Considered good	**40,947**	**34,034**
Trade receivables- Billed	343	286
Less: Allowance for doubtful trade receivables- Billed	(241)	(246)
Credit impaired	**102**	**40**
	41,049	**34,074**

Ageing for trade receivables – current outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	36,529	3,360	889	119	53	256	41,206
Undisputed trade receivables – credit impaired	65	42	2	24	36	170	339
Disputed trade receivables – considered good	-	-	12	1	-	25	38
Disputed trade receivables – credit impaired	-	-	-	-	1	3	4
	36,594	**3,402**	**903**	**144**	**90**	**454**	**41,587**
Less: Allowance for doubtful trade receivables- Billed							**(538)**
							41,049
Trade receivables - Unbilled							**8,905**
							49,954

Ageing for trade receivables – current outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	30,102	2,601	582	585	154	205	34,229
Undisputed trade receivables – credit impaired	2	3	7	81	25	152	270
Disputed trade receivables – considered good	-	-	-	-	-	24	24
Disputed trade receivables – credit impaired	-	-	-	9	-	7	16
	30,104	**2,604**	**589**	**675**	**179**	**388**	**34,539**
Less: Allowance for doubtful trade receivables- Billed							**(465)**
							34,074
Trade receivables - Unbilled							**7,736**
							41,810

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Balances with banks		
In current accounts	2,114	2,211
In deposit accounts	4,999	10,277
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	10	-*
	7,123	**12,488**

*Represents value less than ₹0.50 crore.

Balances with banks in current accounts include ₹8 crore and ₹32 crore as at March 31, 2023 and 2022, respectively, pertaining to trusts held for specified purposes.

(d) Other balances with banks

Other balances with banks consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Earmarked balances with banks	685	226
Short-term bank deposits	3,224	5,507
	3,909	**5,733**

Earmarked balances with banks primarily relate to margin money for purchase of investments, margin money for derivative contracts, unclaimed dividends and liquidity backstop as a part of regulatory requirements.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Inter-corporate deposits	170	303
Loans and advances to employees	3	8
	173	**311**

Loans – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Inter-corporate deposits	846	6,074
Loans and advances to employees	479	371
Credit impaired		
Loans and advances to employees	32	23
Less: Allowance on loans and advances to employees	(32)	(23)
	1,325	**6,445**

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions, who are authorized to accept and use such inter-corporate deposits as per regulations applicable to them. Inter-corporate deposits include ₹932 crore and ₹978 crore as at March 31, 2023 and 2022, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	614	825
Earmarked balances with banks	192	183
Long-term bank deposits	1,334	1,232
Interest receivable	2	-
Others	7	13
	2,149	**2,253**

Other financial assets - Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	378	178
Fair value of foreign exchange derivative assets	191	388
Interest receivable	720	648
Others	30	176
	1,319	**1,390**

Interest receivable includes ₹66 crore and ₹34 crore as at March 31, 2023 and 2022, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

(g) Trade Payables

Ageing for trade payables outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
Others	1,776	1,903	-	9	42	3,730
Disputed dues- Others	-	-	-	-	29	29
	1776	**1903**	**-**	**9**	**71**	**3,759**
Accrued expenses						**6,756**
						10,515

Ageing for trade payables outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
Others	1,187	778	22	8	52	2,047
Disputed dues- Others	-	-	-	-	32	32
	1187	**778**	**22**	**8**	**84**	**2,079**
Accrued expenses						**5,966**
						8,045

(h) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Capital creditors	120	339
Others	233	233
	353	**572**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at March 31, 2023 and 2022, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities, is payable to the seller.

Other financial liabilities – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Accrued payroll	6,847	5,572
Unclaimed dividends	51	46
Fair value of foreign exchange derivative liabilities	141	128
Capital creditors	731	771
Liabilities towards customer contracts	1,137	1,034
Others	161	136
	9,068	**7,687**

(i) Financial instruments by category

The carrying value of financial instruments by categories as at March 31, 2023 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	7,123	7,123
Bank deposits	-	-	-	-	4,558	4,558
Earmarked balances with banks	-	-	-	-	877	877
Investments	2,296	29,274	-	-	5,593	37,163
Trade receivables						
Billed	-	-	-	-	41,198	41,198
Unbilled	-	-	-	-	9,104	9,104
Loans	-	-	-	-	1,498	1,498
Other financial assets	-	-	37	154	1,751	1,942
	2,296	**29,274**	**37**	**154**	**71,702**	**1,03,463**
Financial liabilities						
Trade payables	-	-	-	-	10,515	10,515
Lease liabilities	-	-	-	-	7,688	7,688
Other financial liabilities	-	-	-	141	9,280	9,421
	-	**-**	**-**	**141**	**27,483**	**27,624**

Loans include inter-corporate deposits of ₹1,016 crore, with original maturity period within 24 months.

Notes forming part of Consolidated Financial Statements

The carrying value of financial instruments by categories as at March 31, 2022 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	12,488	12,488
Bank deposits	-	-	-	-	6,739	6,739
Earmarked balances with banks	-	-	-	-	409	409
Investments	1,874	26,945	-	-	1,666	30,485
Trade receivables						
Billed	-	-	-	-	34,219	34,219
Unbilled	-	-	-	-	7,791	7,791
Loans	-	-	-	-	6,756	6,756
Other financial assets	-	-	124	264	1,840	2,228
	1,874	**26,945**	**124**	**264**	**71,908**	**1,01,115**
Financial liabilities						
Trade payables	-	-	-	-	8,045	8,045
Lease liabilities	-	-	-	-	7,818	7,818
Other financial liabilities	-	-	22	106	8,131	8,259
	-	**-**	**22**	**106**	**23,994**	**24,122**

Loans include inter-corporate deposits of ₹6,377 crore, with original maturity period within 36 months.

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at March 31, 2023 and 2022, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is ₹5,587 crore and ₹1,672 crore as at March 31, 2023 and 2022, respectively.

(j) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 — Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 — Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 — Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

(₹ crore)

As at March 31, 2023	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	2,296	-	-	2,296
Equity shares	-	-	36	36
Government bonds and securities	26,314	-	-	26,314
Corporate bonds	3,160	-	-	3,160
Certificate of deposits	2,951	-	-	2,951
Commercial papers	2,400	-	-	2,400
Fair value of foreign exchange derivative assets	-	191	-	191
	37,121	**191**	**36**	**37,348**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	141	-	141
	-	**141**	**-**	**141**

(₹ crore)

As at March 31, 2022	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,874	-	-	1,874
Equity shares	-	-	36	36
Government bonds and securities	25,859	-	-	25,859
Corporate bonds	1,252	-	-	1,252
Certificate of deposits	99	-	-	99
Commercial papers	381	-	-	381
Treasury bills	990	-	-	990
Fair value of foreign exchange derivative assets	-	388	-	388
	30,455	**388**	**36**	**30,879**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	128	-	128
	-	**128**	**-**	**128**

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**36**	**93**
Impairment in value of investments	(2)	(4)
Other adjustments during the year	-	(55)
Translation exchange difference	2	2
Balance at the end of the year	**36**	**36**

(k) Derivative financial instruments and hedging activity

The Group's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Group to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Group which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Group uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

Foreign currency	As at March 31, 2023			As at March 31, 2022		
	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)
US Dollar	8	225	13	63	1,635	44
Great Britain Pound	22	200	14	41	338	55
Euro	22	203	10	53	382	25
Australian Dollar	-	-	-	30	202	(21)
Canadian Dollar	-	-	-	25	137	(1)

*Represents value less than ₹0.50 crore.

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Year ended March 31, 2023		Year ended March 31, 2022	
	Intrinsic value	Time value	Intrinsic value	Time value
Balance at the beginning of the year	**27**	**(53)**	**56**	**(27)**
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(376)	488	(636)	525
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	90	(144)	139	(122)
Change in the fair value of effective portion of cash flow hedges	351	(456)	599	(559)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(84)	137	(131)	130
Balance at the end of the year	**8**	**(28)**	**27**	**(53)**

The Group has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at March 31, 2023 and 2022, the notional amount of outstanding contracts aggregated to ₹47,500 crore and ₹46,392 crore, respectively, and the respective fair value of these contracts have a net gain of ₹13 crore and ₹158 crore.

Exchange loss of ₹1,162 crore and gain of ₹645 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the consolidated statement of profit and loss for the years ended March 31, 2023 and 2022, respectively.

Net foreign exchange gain / (loss) include loss of ₹112 crore and gain of ₹111 crore transferred from cash flow hedging reserve for the years ended March 31, 2023 and 2022, respectively.

Net loss on derivative instruments of ₹20 crore recognised in cash flow hedging reserve as at March 31, 2023, is expected to be transferred to the statement of profit and loss by March 31, 2024. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2023.

Following table summarises approximate gain / (loss) on Group's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
10% Appreciation of the underlying foreign currencies	-	(387)
10% Depreciation of the underlying foreign currencies	544	2,034

(l) Financial risk management

The Group is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Group has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Group.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Group's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the consolidated statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the respective entities. Considering the countries and economic environment in which the Group operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Group, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currencies of the various operations of the Group against major foreign currencies may impact the Group's revenue in international business.

The Group evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the respective functional currencies of Tata Consultancy Services Limited and its subsidiaries.

The following analysis has been worked out based on the net exposures for each of the subsidiaries and Tata Consultancy Services Limited as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Group as disclosed in note 8(k).

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2023:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	3,869	262	90	2,136
Net financial liabilities	(11,021)	(657)	(1,536)	(270)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹713 crore for the year ended March 31, 2023.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2022:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,900	165	84	1,234
Net financial liabilities	(8,589)	(437)	(1,290)	(421)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹635 crore for the year ended March 31, 2022.

- **Interest rate risk**

  The Group's investments are primarily in fixed rate interest bearing investments. Hence, the Group is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Financial instruments that are subject to concentrations of credit risk principally consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Inter-corporate deposits of ₹1,016 crore are with a financial institution having a high credit-rating assigned by credit-rating agencies. Bank deposits include an amount of ₹4,273 crore held with three banks having high credit rating which are individually in excess of 10% or more of the Group's total bank deposits as at March 31, 2023. None of the other financial instruments of the Group result in material concentration of credit risk.

- **Exposure to credit risk**

  The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,09,258 crore and ₹1,05,498 crore as at March 31, 2023 and 2022, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments, trade receivables, loan, contract assets and other financial assets.

  The Group's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables and contract assets as at March 31, 2023 and 2022.

- **Geographic concentration of credit risk**

  Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2023		As at March 31, 2022	
	Gross%	Net%	Gross%	Net%
United States of America	43.65	44.31	43.79	44.69
India	15.45	14.06	15.51	13.83
United Kingdom	16.05	16.37	16.47	16.86

Geographical concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit loss on trade receivables for the years ended March 31, 2023 and 2022, was ₹126 crore and ₹123 crore respectively. The reconciliation of allowance for doubtful trade receivables is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**1,333**	**1,289**
Change during the year	126	123
Bad debts written off	(253)	(83)
Translation exchange difference	7	4
Balance at the end of the year	**1,213**	**1,333**

Liquidity risk

Liquidity risk refers to the risk that the Group cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Group consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

(₹ crore)

March 31, 2023	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	10,515	-	-	-	10,515
Lease liabilities	1,969	1,771	3,185	2,836	9,761
Other financial liabilities	8,948	51	302	9	9,310
	21,432	**1,822**	**3,487**	**2,845**	**29,586**
Derivative financial liabilities	141	-	-	-	141
	21,573	**1,822**	**3,487**	**2,845**	**29,727**

(₹ crore)

March 31, 2022	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	8,045	-	-	-	8,045
Lease liabilities	1,850	1,618	3,201	3,150	9,819
Other financial liabilities	7,582	343	231	5	8,161
	17,477	**1,961**	**3,432**	**3,155**	**26,025**
Derivative financial liabilities	128	-	-	-	128
	17,605	**1,961**	**3,432**	**3,155**	**26,153**

(m) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Authorised		
460,05,00,000 equity shares of ₹1 each (March 31, 2022: 460,05,00,000 equity shares of ₹1 each)	460	460
105,02,50,000 preference shares of ₹1 each (March 31, 2022: 105,02,50,000 preference shares of ₹1 each)	105	105
	565	**565**
Issued, Subscribed and Fully paid up		
365,90,51,373 equity shares of ₹1 each (March 31, 2022: 365,90,51,373 equity shares of ₹1 each)	366	366
	366	**366**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

Notes forming part of Consolidated Financial Statements

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share in the previous year. The equity shares bought back were extinguished on March 29, 2022.

I. Reconciliation of number of shares

	As at March 31, 2023		As at March 31, 2022	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**365,90,51,373**	**366**	**369,90,51,373**	**370**
Shares extinguished on buy-back	-	-	(4,00,00,000)	(4)
Closing balance	**365,90,51,373**	**366**	**365,90,51,373**	**366**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding company, its Subsidiaries and Associates

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Equity shares		
Holding company		
264,43,17,117 equity shares (March 31, 2022: 264,43,17,117 equity shares) are held by Tata Sons Private Limited	264	264
Subsidiaries and Associates of Holding company		
7,220 equity shares (March 31, 2022: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,14,172 equity shares (March 31, 2022: 10,14,172 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2022: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2022: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	264	**264**

*Equity shares having value less than ₹0.50 crore.

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2023	As at March 31, 2022
Equity shares		
Tata Sons Private Limited, the holding company	264,43,17,117	264,43,17,117
% of shareholding	72.27%	72.27%

V. Equity shares movement during 5 years preceding March 31, 2023

- **Equity shares issued as bonus**

The Company allotted 191,42,87,591 equity shares as fully paid up bonus shares by capitalisation of profits transferred from retained earnings amounting to ₹86 crore and capital redemption reserve amounting to ₹106 crore in the quarter ended June 30, 2018, pursuant to an ordinary resolution passed after taking the consent of shareholders through postal ballot.

- **Equity shares extinguished on buy-back**

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

The Company bought back 7,61,90,476 equity shares for an aggregate amount of ₹16,000 crore being 1.99% of the total paid up equity share capital at ₹2,100 per equity share. The equity shares bought back were extinguished on September 26, 2018.

VI. Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at March 31, 2023 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2023		As at March 31, 2022		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	2,64,43,17,117	72.27%	2,64,43,17,117	72.27%	-
Total	**2,64,43,17,117**	**72.27%**	**2,64,43,17,117**	**72.27%**	**-**

Disclosure of shareholding of promoters as at March 31, 2022 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2022		As at March 31, 2021		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	2,64,43,17,117	72.27%	2,66,91,25,829	72.16%	0.11%
Total	**2,64,43,17,117**	**72.27%**	**2,66,91,25,829**	**72.16%**	**0.11%**

9) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Group recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For leases with reasonably similar characteristics, the Group, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Group is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Group recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in statement of profit and loss.

The Group has elected not to apply the requirements of Ind AS 116 Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Group as a lessor

At the inception of the lease the Group classifies each of its leases as either an operating lease or a finance lease. The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Group is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Group applies Ind AS 115 Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Group is as follows:

(₹ crore)

	Additions for the year ended March 31, 2023	Net carrying amount as at March 31, 2023
Leasehold land	179	940
Buildings	1,236	6,330
Leasehold improvements	14	30
Computer equipment	73	125
Software licences	-	96
Vehicles	17	34
Office equipment	1	5
	1,520	**7,560**

(₹ crore)

	Additions for the year ended March 31, 2022	Net carrying amount as at March 31, 2022
Leasehold land	100	774
Buildings	1,357	6,586
Leasehold improvements	-	23
Computer equipment	4	81
Software licences	145	133
Vehicles	16	32
Office equipment	2	7
	1,624	**7,636**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Leasehold land	10	9
Buildings	1,530	1,465
Leasehold improvements	6	6
Computer equipment	32	23
Software licences	37	38
Vehicles	16	16
Office equipment	3	3
	1,634	**1,560**

Interest on lease liabilities is ₹492 crore and ₹519 crore for for the years ended March 31, 2023 and 2022, respectively.

The Group incurred ₹318 crore and ₹277 crore for the years ended March 31, 2023 and 2022, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹2,538 crore and ₹2,228 crore for the years ended March 31, 2023 and 2022, respectively, including cash outflow for short term and low value leases.

The Group has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹786 crore and ₹773 crore as at March 31, 2023 and 2022, respectively.

Lease contracts entered by the Group majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Group does not have any lease restrictions and commitment towards variable rent as per the contract.

10) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years
Leasehold improvements	Lease term
Plant and equipment	10 years
Computer equipment	4 years
Vehicles	4 years
Office equipment	2-5 years
Electrical installations	4-10 years
Furniture and fixtures	5 years

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2022	**352**	**7,829**	**2,569**	**770**	**12,087**	**39**	**2,686**	**2,062**	**1,906**	**30,300**
Additions	-	234	72	56	1,628	8	180	67	69	2,314
Disposals	-	(5)	(15)	-	(342)	(4)	(69)	(9)	(14)	(458)
Translation exchange difference	2	8	47	2	62	-	18	18	31	188
Cost as at March 31, 2023	**354**	**8,066**	**2,673**	**828**	**13,435**	**43**	**2,815**	**2,138**	**1,992**	**32,344**
Accumulated depreciation as at April 1, 2022	**-**	**(3,343)**	**(1,736)**	**(377)**	**(8,563)**	**(35)**	**(2,315)**	**(1,503)**	**(1,654)**	**(19,526)**
Depreciation	-	(398)	(186)	(80)	(1,755)	(4)	(219)	(140)	(110)	(2,892)
Disposals	-	4	15	-	340	3	62	9	14	447
Translation exchange difference	-	(7)	(38)	(1)	(47)	-	(15)	(12)	(23)	(143)
Accumulated depreciation as at March 31, 2023	**-**	**(3,744)**	**(1,945)**	**(458)**	**(10,025)**	**(36)**	**(2,487)**	**(1,646)**	**(1,773)**	**(22,114)**
Net carrying amount as at March 31, 2023	**354**	**4,322**	**728**	**370**	**3,410**	**7**	**328**	**492**	**219**	**10,230**
Capital work-in-progress*										1,234
Total										**11,464**

*₹2,314 crore has been capitalised and transferred to property, plant and equipment during the year ended March 31, 2023.

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2021	**351**	**7,777**	**2,502**	**737**	**10,734**	**40**	**2,574**	**2,058**	**1,885**	**28,658**
Additions	-	51	108	35	1,868	-	187	41	55	2,345
Disposals	-	(2)	(53)	(1)	(515)	(1)	(75)	(44)	(42)	(733)
Translation exchange difference	1	3	12	(1)	-	-	-	7	8	30
Cost as at March 31, 2022	**352**	**7,829**	**2,569**	**770**	**12,087**	**39**	**2,686**	**2,062**	**1,906**	**30,300**
Accumulated depreciation as at April 1, 2021	**-**	**(2,947)**	**(1,575)**	**(302)**	**(7,531)**	**(33)**	**(2,199)**	**(1,393)**	**(1,568)**	**(17,548)**
Depreciation	-	(396)	(205)	(76)	(1,547)	(3)	(191)	(149)	(122)	(2,689)
Disposals	-	2	52	-	510	1	75	43	42	725
Translation exchange difference	-	(2)	(8)	1	5	-	-	(4)	(6)	(14)
Accumulated depreciation as at March 31, 2022	**-**	**(3,343)**	**(1,736)**	**(377)**	**(8,563)**	**(35)**	**(2,315)**	**(1,503)**	**(1,654)**	**(19,526)**
Net carrying amount as at March 31, 2022	**352**	**4,486**	**833**	**393**	**3,524**	**4**	**371**	**559**	**252**	**10,774**
Capital work-in-progress*										1,205
Total										**11,979**

*₹2,345 crore has been capitalised and transferred to property, plant and equipment during the year ended March 31, 2022.

Capital work-in-progress

- **Capital work-in-progress ageing**

Ageing for capital work-in-progress as at March 31, 2023 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	658	212	42	322	1,234
	658	**212**	**42**	**322**	**1,234**

Ageing for capital work-in-progress as at March 31, 2022 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	691	102	39	373	1,205
	691	**102**	**39**	**373**	**1205**

- Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling annual plan.

(b) Goodwill

Goodwill represents the cost of acquired business as established at the date of acquisition of the business in excess of the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities less accumulated impairment losses, if any. Goodwill is tested for impairment annually or when events or circumstances indicate that the implied fair value of goodwill is less than its carrying amount.

CGUs to which goodwill has been allocated are tested for impairment annually, or more frequently when there is indication for impairment. The financial projections basis which the future cash flows have been estimated consider economic uncertainties, reassessment of the discount rates, revisiting the growth rates factored while arriving at terminal value and subjecting these variables to sensitivity analysis. If the recoverable amount of a CGU is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

Goodwill consists of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Balance at the beginning of the year	**1,787**	**1,798**
Translation exchange difference	71	(11)
Balance at the end of the year	**1,858**	**1,787**

Goodwill of ₹685 crore and ₹646 crore as at March 31, 2023 and 2022, respectively, has been allocated to the TCS business in France. The estimated value-in-use of this CGU is based on the future cash flows using a 1.50% annual growth rate for periods subsequent to the forecast period of 5 years and discount rate of 9.30%. An analysis of the sensitivity of the computation to a change in key parameters (operating margin, discount rates and long term average growth rate), based on reasonable assumptions, did not identify any probable scenario in which the recoverable amount of the CGU would decrease below its carrying amount.

The remaining amount of goodwill of ₹1,173 crore and ₹1,141 crore as at March 31, 2023 and 2022, respectively, (relating to different CGUs individually immaterial) has been evaluated based on the cash flow forecasts of the related CGUs and the recoverable amounts of these CGUs exceeded their carrying amounts.

(c) Other intangible assets

Intangible assets purchased including acquired in business combination, are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences and customer-related intangibles.

Following table summarises the nature of intangibles and their estimated useful lives:

Type of asset	Useful lives
Rights under licensing agreement and software licences	Lower of licence period and 2-5 years
Customer-related intangibles	3 years

Intangible assets are amortised on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2022	**1,697**	**121**	**1,818**
Additions	262	-	262
Disposals / Derecognised	(73)	-	(73)
Translation exchange difference	6	5	11
Cost as at March 31, 2023	**1,892**	**126**	**2,018**
Accumulated amortisation as at April 1, 2022	**(596)**	**(121)**	**(717)**
Amortisation	(496)	-	(496)
Disposals / Derecognised	73	-	73
Translation exchange difference	(6)	(5)	(11)
Accumulated amortisation as at March 31, 2023	**(1,025)**	**(126)**	**(1,151)**
Net carrying amount as at March 31, 2023	**867**	**-**	**867**

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2021	**740**	**122**	**862**
Additions	1,002	-	1,002
Disposals / Derecognised	(42)	-	(42)
Translation exchange difference	(3)	(1)	(4)
Cost as at March 31, 2022	**1,697**	**121**	**1,818**
Accumulated amortisation as at April 1, 2021	**(265)**	**(117)**	**(382)**
Amortisation	(349)	(6)	(355)
Disposals / Derecognised	16	-	16
Translation exchange difference	2	2	4
Accumulated amortisation as at March 31, 2022	**(596)**	**(121)**	**(717)**
Net carrying amount as at March 31, 2022	**1,101**	**-**	**1,101**

The estimated amortisation for the years subsequent to March 31, 2023 is as follows:

(₹ crore)

Year ending March 31,	Amortisation expense
2024	466
2025	274
2026	82
2027	44
2028	1
	867

(d) Other assets

Other assets consist of the following:

Other assets – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Capital advances	68	78
Advances to related parties	63	23
Contract assets	215	171
Prepaid expenses	2,138	1,291
Contract fulfillment costs	114	150
Others	208	310
	2,806	**2,023**
Advances to related parties, considered good, comprise:		
Voltas Limited	-*	-*
Tata Realty and Infrastructure Ltd	-*	-*
Tata Projects Limited	54	23
Titan Engineering and Automation Limited	-	-*
Saankhya Labs Private Limited	8	-
Universal MEP Projects & Engineering Services Limited	1	-

*Represents value less than ₹0.50 crore.

Other assets – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Advance to suppliers	91	202
Advance to related parties	9	8
Contract assets	5,616	4,248
Prepaid expenses	1,494	2,994
Prepaid rent	20	18
Contract fulfillment costs	1,035	1,074
Indirect taxes recoverable	1,049	1,310
Others	393	297

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered doubtful		
Advance to suppliers	2	2
Other advances	4	4
Less: Allowance on doubtful assets	(6)	(6)
	9,707	**10,151**
Advance to related parties, considered good comprise:		
Tata Sons Private Limited	7	7
Tata AIG General Insurance Company Limited	1	1
Titan Company Limited	1	-

*Represents value less than ₹0.50 crore.

Non-current – Others includes advance of ₹177 crore and ₹271 crore towards acquiring right-of-use of leasehold land as at March 31, 2023 and 2022, respectively.

Contract fulfillment costs of ₹967 crore and ₹809 crore for the years ended March 31, 2023 and 2022, respectively, have been amortised in the consolidated statement of profit and loss. Refer note 12 for changes in contract assets.

(e) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Group includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Raw materials, sub-assemblies and components	23	17
Finished goods and work-in-progress	5	3
	28	**20**

*Represents value less than ₹0.50 crore.

(f) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Advance received from customers	543	468
Indirect taxes payable and other statutory liabilities	4,119	3,632
Tax liability on buy-back of equity shares	-	4,192
Others	230	100
	4,892	**8,392**

(g) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Provision towards legal claim (Refer note 19)	206	1,249
Provision for foreseeable loss	101	131
Other provisions	38	31
	345	**1,411**

11) Other equity

Other equity consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Capital reserve	**75**	**75**
Capital redemption reserve		
Opening balance	**440**	**436**
Transfer from retained earnings	-	4
	440	**440**
General reserve		
Opening balance	**-**	**27**
Transfer to retained earnings	-	(27)
	-	**-**
Special Economic Zone re-investment reserve		
Opening balance	**7,287**	**2,538**
Transfer from retained earnings	8,380	9,407
Transfer to retained earnings	(3,858)	(4,658)
	11,809	**7,287**
Retained earnings		
Opening balance	**78,158**	**79,586**
Profit for the year	42,147	38,327
Remeasurement of defined employee benefit plans	275	280
Expenses for buy-back of equity shares	-	(49)
Tax on buy-back of equity shares	-	(4,192)
Buy-back of equity shares	-	(17,996)
Transfer from Special Economic Zone re-investment reserve	3,858	4,658
Transfer from general reserve	-	27
Purchase of non-controlling interests	(8)	-
	1,24,430	**1,00,641**
Less: Appropriations		
Dividend on equity shares	41,347	13,317
Transfer to capital redemption reserve	-	4
Transfer to Special Economic Zone re-investment reserve	8,380	9,407
Transfer from statutory reserve	(19)	(245)
	74,722	**78,158**

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Statutory reserve		
Opening balance	**162**	**407**
Transfer to retained earnings	(19)	(245)
	143	**162**
Investment revaluation reserve		
Opening balance	**488**	**828**
Change during the year (net)	(447)	(340)
	41	**488**
Cash flow hedging reserve (Refer note 8(k))		
Opening balance	**(26)**	**29**
Change during the year (net)	6	(55)
	(20)	**(26)**
Foreign currency translation reserve		
Opening balance	**2,189**	**2,137**
Change during the year (net)	659	52
	2,848	**2,189**
	90,058	**88,773**

12) Revenue recognition

The Group earns revenue primarily from providing IT services, consulting and business solutions. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Group expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Group is standing ready to provide services is recognised based on time elapsed mode and revenue is straight lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method .
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Group may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Group is acting as the principal or as an agent of the customer. The Group recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Group's contracts with customers could include promises to transfer multiple products and services to a customer. The Group assesses the products / services promised in a contract and identifies distinct performance obligations in the contract.

Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Group allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Group exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Group considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue (“contract liability”) is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Group recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Group reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Group disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Consultancy services	2,23,332	1,90,289
Sale of equipment and software licences	2,126	1,465
	2,25,458	**1,91,754**

Revenue disaggregation by industry vertical and geography has been included in segment information (Refer note 19).

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Group has applied the practical expedient in Ind AS 115. Accordingly, the Group has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,38,231 crore out of which 53.17% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**4,419**	**4,080**
Invoices raised that were included in the contract assets balance at the beginning of the year	(3,305)	(3,150)
Increase due to revenue recognised during the year, excluding amounts billed during the year	4,519	3,457
Translation exchange difference	198	32
Balance at the end of the year	**5,831**	**4,419**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**4,745**	**4,847**
Revenue recognised that was included in the unearned and deferred revenue balance at the beginning of the year	(3,071)	(3,251)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	3,088	3,094
Translation exchange difference	84	55
Balance at the end of the year	**4,846**	**4,745**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Contracted price	2,28,932	1,94,777
Reductions towards variable consideration components	(3,474)	(3,023)
Revenue recognised	**2,25,458**	**1,91,754**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

13) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest income	3,248	2,663
Dividend income	15	4
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	220	198
Net gain on sale of investments other than equity shares carried at fair value through OCI	4	-
Net gain on disposal of property, plant and equipment	26	23
Net gain / (loss) on lease modification	(2)	7
Net loss on sub-lease	-	(9)
Net foreign exchange gain / (loss)	(159)	1,045
Other income	97	87
	3,449	**4,018**
Interest income comprise:		
Interest on bank balances and bank deposits	291	295
Interest on financial assets carried at amortised cost	657	546
Interest on financial assets carried at fair value through OCI	2,131	1,818
Other interest (including interest on tax refunds)	169	4
Dividend income comprise:		
Dividend from mutual fund units and other investments	15	4

14) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Group provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Group provides benefits such as superannuation, provident fund (other than Company managed fund) and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligation at the balance sheet date using the Projected Unit Credit Method.

Employee benefit expenses consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Salaries, incentives and allowances	1,14,359	96,263
Contributions to provident and other funds	9,644	8,450
Staff welfare expenses	3,519	2,841
	1,27,522	**1,07,554**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Gratuity liability	11	13
Foreign defined benefit plans	383	490
Other employee benefit obligations	142	174
	536	**677**

Employee benefit obligations – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Compensated absences	4,027	3,760
Other employee benefit obligations	38	50
	4,065	**3,810**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, Tata Consultancy Services Limited and its subsidiaries in India operate a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas subsidiaries of the Company also provide for retirement benefit pension plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2023					Year ended March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in benefit obligations										
Benefit obligations, beginning of the year	**4,482**	**3**	**2,294**	**269**	**7,048**	**4,315**	**12**	**2,292**	**237**	**6,856**
Translation exchange difference	-	-	94	29	123	-	-	(17)	4	(13)
Plan participants' contribution	-	-	18	-	18	-	-	15	-	15
Service cost	515	-	37	50	602	539	-	51	47	637
Interest cost	332	-	30	11	373	296	-	19	3	318
Remeasurement of the net defined benefit liability	(158)	-	(627)	(39)	(824)	(188)	1	(34)	(9)	(230)
Past service cost / (credit)	-	-	(7)	-	(7)	-	-	3	-	3
Benefits paid	(504)	-	(6)	(26)	(536)	(489)	(1)	(35)	(13)	(538)
Shift of plan from unfunded to funded position	-	-	-	-	-	9	(9)	-	-	-
Benefit obligations, end of the year	**4,667**	**3**	**1,833**	**294**	**6,797**	**4,482**	**3**	**2,294**	**269**	**7,048**

(₹ crore)

	Year ended March 31, 2023					Year ended March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in plan assets										
Fair value of plan assets, beginning of the year	**5,527**	**-**	**2,132**	**-**	**7,659**	**4,706**	**-**	**2,073**	**-**	**6,779**
Translation exchange difference	-	-	111	-	111	-	-	(21)	-	(21)
Interest income	425	-	26	-	451	335	-	16	-	351
Employers' contributions	1,060	-	19	-	1,079	980	-	48	-	1,028

(₹ crore)

	Year ended March 31, 2023					Year ended March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Plan participants' contribution	-	-	18	-	18	-	-	15	-	15
Benefits paid	(504)	-	(6)	-	(510)	(489)	-	(35)	-	(524)
Remeasurement- return on plan assets excluding amount included in interest income	(103)	-	(371)	-	(474)	(5)	-	36	-	31
Fair value of plan assets, end of the year	**6,405**	**-**	**1,929**	**-**	**8,334**	**5,527**	**-**	**2,132**	**-**	**7,659**

(₹ crore)

	As at March 31, 2023					As at March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Funded status										
Deficit of plan assets over obligations	(8)	(3)	(89)	(294)	(394)	(10)	(3)	(221)	(269)	(503)
Surplus of plan assets over obligations	1,746	-	185	-	1,931	1,055	-	59	-	1,114
	1,738	**(3)**	**96**	**(294)**	**1,537**	**1,045**	**(3)**	**(162)**	**(269)**	**611**

(₹ crore)

	As at March 31, 2023					As at March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Category of assets										
Corporate bonds	1,832	-	287	-	2,119	1,697	-	369	-	2,066
Equity instruments	121	-	352	-	473	66	-	543	-	609
Government bonds and securities	2,917	-	-	-	2,917	2,625	-	195	-	2,820
Insurer managed funds	1,390	-	543	-	1,933	983	-	503	-	1,486
Bank balances	16	-	94	-	110	10	-	24	-	34
Others	129	-	653	-	782	146	-	498	-	644
	6,405	**-**	**1,929**	**-**	**8,334**	**5,527**	**-**	**2,132**	**-**	**7,659**

Notes forming part of Consolidated Financial Statements

Net periodic gratuity / pension cost, included in employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2023					Year ended March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Service cost	515	-	37	50	602	539	-	51	47	637
Net interest on net defined benefit (asset) / liability	(93)	-	4	11	(78)	(39)	-	3	3	(33)
Past service cost / (credit)	-	-	(7)	-	(7)	-	-	3	-	3
Net periodic gratuity / pension cost	**422**	**-**	**34**	**61**	**517**	**500**	**-**	**57**	**50**	**607**
Actual return on plan assets	**322**	**-**	**(345)**	**-**	**(23)**	**330**	**-**	**52**	**-**	**382**

Remeasurement of the net defined benefit (asset) / liability:

(₹ crore)

	Year ended March 31, 2023				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) and losses arising from changes in demographic assumptions	30	-	-	5	35
Actuarial (gains) and losses arising from changes in financial assumptions	(164)	-	(625)	(47)	(836)
Actuarial (gains) and losses arising from changes in experience adjustments	(24)	-	(2)	3	(23)
Remeasurement of the net defined benefit liability	**(158)**	**-**	**(627)**	**(39)**	**(824)**
Remeasurement- return on plan assets excluding amount included in interest income	103	-	371	-	474
Asset ceiling recognised in OCI	-	-	-	-	-
	(55)	**-**	**(256)**	**(39)**	**(350)**

(₹ crore)

	Year ended March 31, 2022				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) and losses arising from changes in demographic assumptions	(20)	-	(13)	(2)	(35)
Actuarial (gains) and losses arising from changes in financial assumptions	(166)	-	(55)	(25)	(246)
Actuarial (gains) and losses arising from changes in experience adjustments	(2)	1	34	18	51
Remeasurement of the net defined benefit liability	**(188)**	**1**	**(34)**	**(9)**	**(230)**
Remeasurement- return on plan assets excluding amount included in interest income	5	-	(36)	-	(31)
	(183)	**1**	**(70)**	**(9)**	**(261)**

The assumptions used in accounting for the defined benefit plan are set out below:

	Year ended March 31, 2023		Year ended March 31, 2022	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	7.25%- 7.50%	2.16%- 9.40%	4.50%-7.25%	0.77%-8.30%
Rate of increase in compensation levels of covered employees	4.00%- 8.00%	1.50%- 7.00%	4.00%-6.00%	1.50%-7.00%
Rate of return on plan assets	7.25%- 7.50%	2.16%- 9.40%	4.50%-7.25%	0.77%-8.30%
Weighted average duration of defined benefit obligations	2-13 Years	3-28 Years	2-16 years	3-31 years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure Group's defined benefit plan obligations as at March 31, 2023. The Group is expected to contribute ₹55 crore to defined benefit plan obligations funds for the year ending March 31, 2024 comprising domestic component of ₹8 crore and foreign component of ₹47 crore.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Increase of 0.50%	(265)	(372)
Decrease of 0.50%	290	422

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Increase of 0.50%	155	200
Decrease of 0.50%	(147)	(188)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

Each year an Asset-Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after year ended March 31, 2023 as follows:

(₹ crore)

Year ending March 31,	**Defined benefit obligations**
2024	755
2025	644
2026	617
2027	618
2028	609
2029-2033	2,722

Provident fund

In accordance with Indian law, all eligible employees of Tata Consultancy Services Limited in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in profit and loss under employee benefit expenses. In accordance with an actuarial valuation of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

All eligible employees of Indian subsidiaries of the Company are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to the Government administered provident fund plan. A part of the company's contribution is transferred to Government administered pension fund. This plan is a defined contribution plan as the obligation of the employer is limited to the monthly contributions made to the fund. The contributions made to the fund are recognised as an expense in profit and loss under employee benefit expenses.

The details of fund and plan assets are given below:

(₹ crore)

	As at March 31, 2023	**As at March 31, 2022**
Fair value of plan assets	25,511	22,814
Present value of defined benefit obligations	(25,511)	(22,814)
Net excess / (shortfall)	-	-

The plan assets have been primarily invested in Government securities and corporate bonds.

The principal assumptions used in determining the present value obligations of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2023	As at March 31, 2022
Discount rate	7.50%	7.00%
Average remaining tenure of investment portfolio	7 years	8 years
Guaranteed rate of return	8.15%	8.10%

The Group expensed ₹1,628 crore and ₹1,383 crore for the years ended March 31, 2023 and 2022, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Group makes monthly contributions until retirement or resignation of the employee. The Group recognises such contributions as an expense when incurred. The Group has no further obligation beyond its monthly contribution.

The Group expensed ₹394 crore and ₹383 crore for the years ended March 31, 2023 and 2022, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plans

The Group expensed ₹2,109 crore and ₹1,796 crore for the years ended March 31, 2023 and 2022, respectively, towards foreign defined contribution plans.

15) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Group are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for doubtful trade receivables and advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Raw materials, sub-assemblies and components consumed	37	29
Equipment and software licences purchased	1,846	1,137
	1,883	**1,166**
Finished goods and work-in-progress		
Opening stock	3	-*
Less: Closing stock	5	3
	(2)	**(3)**
	1,881	**1,163**

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Fees to external consultants	21,337	17,409
Facility expenses	2,655	2,139
Travel expenses	2,675	1,589
Communication expenses	2,246	2,050
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	140	135
Other expenses	7,743	6,658
	36,796	**29,980**

16) Finance costs

Finance costs consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest on lease liabilities	492	519
Interest on tax matters	46	218
Other interest costs	241	47
	779	**784**

17) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company and its subsidiaries in India and overseas. The current tax payable by the Company and its subsidiaries in India is Indian income tax payable after taking credit for tax relief available for export operations in Special Economic Zones (SEZs).

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company’s worldwide income.

The current income tax expense for overseas subsidiaries has been computed based on the tax laws applicable to each subsidiary in the respective jurisdiction in which it operates.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax liabilities are recognised for all taxable temporary differences except in respect of taxable temporary differences associated with investments in subsidiaries where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

For operations carried out in SEZs, deferred tax assets or liabilities, if any, have been established for the tax consequences of those temporary differences between the carrying values of assets and liabilities and their respective tax bases that reverse after the tax holiday ends.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Deferred tax assets include Minimum Alternate Tax (MAT) paid in accordance with the tax laws in India, to the extent it would be available for set off against future current income tax liability. Accordingly, MAT is recognised as deferred tax asset in the balance sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised.

The income tax expense consists of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Current tax		
Current tax expense for current year	15,389	14,333
Current tax benefit pertaining to prior years	(632)	(679)
	14,757	**13,654**
Deferred tax		
Deferred tax benefit for current year	(130)	(333)
Deferred tax benefit pertaining to prior years	(23)	(83)
	(153)	**(416)**
	14,604	**13,238**

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in consolidated statement of profit and loss is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Profit before tax	56,907	51,687
Indian statutory income tax rate	34.94%	34.94%
Expected income tax expense	19,887	18,062
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Tax holidays	(5,112)	(4,792)
Income exempt from tax	(236)	(396)
Undistributed earnings in branches and subsidiaries	276	(47)
Tax on income at different rates	508	980
Tax pertaining to prior years	(655)	(762)
Others (net)	(64)	193
Total income tax expense	**14,604**	**13,238**

Notes forming part of Consolidated Financial Statements

Tata Consultancy Services Limited benefits from the tax holiday available for units set up under the Special Economic Zone Act, 2005. These tax holidays are available for a period of fifteen years from the date of commencement of operations. Under the SEZ scheme, the unit which begins providing services on or after April 1, 2005 will be eligible for deductions of 100% of profits or gains derived from export of services for the first five years, 50% of such profits or gains for a further period of five years and 50% of such profits or gains for the balance period of five years subject to fulfilment of certain conditions. From April 1, 2011, profits from units set up under SEZ scheme are subject to Minimum Alternate Tax (MAT).

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2023 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Adjustments / Utilisation	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to						
Property, plant and equipment and intangible assets	434	250	-	-	2	686
Provision for employee benefits	1,042	73	(62)	-	3	1,056
Cash flow hedges	7	-	(1)	-	-	6
Receivables, financial assets at amortised cost	471	(46)	-	-	13	438
MAT credit entitlement	975	-	-	(975)	-	-
Branch profit tax	(77)	(58)	-	-	-	(135)
Undistributed earnings of subsidiaries	(355)	(179)	-	-	-	(534)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(320)	(1)	234	-	3	(84)
Lease liabilities	241	5	-	-	4	250
Others	700	109	-	-	23	832
	3,118	**153**	**171**	**(975)**	**48**	**2,515**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2023	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	788	102	686
Provision for employee benefits	1,065	9	1,056
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	438	-	438
Branch profit tax	-	135	(135)
Undistributed earnings of subsidiaries	-	534	(534)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(83)	1	(84)
Lease liabilities	250	-	250
Others	843	11	832
	3,307	**792**	**2,515**

Notes forming part of Consolidated Financial Statements

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2022 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Ajustments / utilisation	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to						
Property, plant and equipment and intangible assets	309	131	-	-	(6)	434
Provision for employee benefits	897	94	58	(2)	(5)	1,042
Cash flow hedges	(8)	-	16	-	(1)	7
Receivables, financial assets at amortised cost	424	42	-	-	5	471
MAT credit entitlement	1,710	-	-	(735)	-	975
Branch profit tax	(310)	233	-	-	-	(77)
Undistributed earnings of subsidiaries	(198)	(157)	-	-	-	(355)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(500)	-	180	-	-	(320)
Lease liabilities	261	(22)	-	-	2	241
Others	579	95	-	-	26	700
	3,164	**416**	**254**	**(737)**	**21**	**3,118**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2022	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	539	105	434
Provision for employee benefits	1,062	20	1,042
Cash flow hedges	7	-	7
Receivables, financial assets at amortised cost	471	-	471
MAT credit entitlement	975	-	975
Branch profit tax	-	77	(77)
Undistributed earnings of subsidiaries	-	355	(355)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(320)	-	(320)
Lease liabilities	240	(1)	241
Others	734	34	700
	3,708	**590**	**3,118**

Under the Income-tax Act, 1961, unabsorbed business losses expire 8 years after the year in which they originate. In respect of certain foreign subsidiaries, business losses can be carried forward indefinitely unless there is a substantial change in the ownership.

Unrecognised deferred tax assets relate primarily to business losses and tax credit entitlements which do not qualify for recognition as per the applicable accounting standards. These unexpired business losses will expire based on the year of origination as follows:

(₹ crore)

March 31,	Unabsorbed business losses
2028	35
	35

Under the Income-tax Act, 1961, Tata Consultancy Services Limited is liable to pay Minimum Alternate Tax in the tax holiday period. MAT paid can be carried forward for a period of 15 years and can be set off against the future tax liabilities. MAT is recognised as a deferred tax asset only when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised.

Deferred tax liability on temporary differences of ₹7,180 crore as at March 31, 2023, associated with investments in subsidiaries, has not been recognised, as it is the intention of Tata Consultancy Services Limited to reinvest the earnings of these subsidiaries for the foreseeable future.

Direct tax contingencies

The Company and its subsidiaries have ongoing disputes with income tax authorities in India and in some of the other jurisdictions where they operate. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. The Company and its subsidiaries have recognised contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions of ₹1,542 crore and ₹1,652 crore as at March 31, 2023 and 2022, respectively. These demand orders are being contested by the Company and its subsidiaries based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2023 and 2022, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Group periodically receives notices and inquiries from income tax authorities related to the Group's operations in the jurisdictions it operates in. The Group has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2018 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2017 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2018 and earlier.

18) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the years presented.

	Year ended March 31, 2023	Year ended March 31, 2022
Profit for the year attributable to shareholders of the Company (₹ crore)	42,147	38,327
Weighted average number of equity shares	365,90,51,373	369,88,32,195
Basic and diluted earnings per share (₹)	115.19	103.62
Face value per equity share (₹)	1	1

19) Segment information

Operating segments are defined as components of an enterprise for which discrete financial information is available that is evaluated regularly by the chief operating decision maker, in deciding how to allocate resources and assessing performance. The Group's chief operating decision maker is the Chief Executive Officer and Managing Director.

The Group has identified business segments ('industry vertical') as reportable segments. The business segments comprise: 1) Banking, Financial Services and Insurance, 2) Manufacturing, 3) Retail and Consumer Business, 4) Communication, Media and Technology, 5) Life Sciences and Healthcare and 6) Others such as Energy, Resources and Utilities, s-Governance and Products.

Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated since associated revenue of the segment or manpower efforts. All other expenses which are not attributable or allocable to segments have been disclosed as unallocable expenses.

The assets and liabilities of the Group are used interchangeably amongst segments. Allocation of such assets and liabilities is not practicable and any forced allocation would not result in any meaningful segregation. Hence assets and liabilities have not been identified to any of the reportable segments.

Summarised segment information for the years ended March 31,2023 and 2022, is as follows:

Year ended March 31, 2023 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Retail and Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**86,127**	**21,236**	**37,506**	**37,653**	**24,605**	**18,331**	**2,25,458**
Segment result	**22,345**	**5,842**	**9,636**	**10,667**	**6,894**	**3,875**	**59,259**
Total unallocable expenses							5,801
Operating income							**53,458**
Other income							3,449
Profit before tax							**56,907**
Tax expense							14,604
Profit for the year							**42,303**
Depreciation and amortisation expense (unallocable)							5,021
Significant non-cash items (allocable)	32	6	6	5	25	65	139

Year ended March 31, 2022 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Retail and Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**75,126**	**18,610**	**30,715**	**31,874**	**20,462**	**14,967**	**1,91,754**
Segment result	**20,174**	**5,602**	**8,534**	**9,518**	**6,139**	**3,090**	**53,057**
Total unallocable expenses							5,388
Operating income							**47,669**
Other income							4,018
Profit before tax							**51,687**
Tax expense							13,238
Profit for the year							**38,449**
Depreciation and amortisation expense (unallocable)							4,604
Significant non-cash items (allocable)	14	(3)	10	2	(1)	113	135

Information regarding geographical revenue is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Americas		
North America	1,20,336	96,865
Latin America	4,000	3,207
Europe		
United Kingdom	33,861	30,399
Continental Europe	33,575	30,743
Asia Pacific	18,132	16,927
India	11,271	9,805
Middle East and Africa	4,283	3,808
	2,25,458	**1,91,754**

Geographical revenue is allocated based on the location of the customers.

Information regarding geographical non-current assets is as follows:

(₹ crore)

Geography	As at March 31, 2023	As at March 31, 2022
Americas		
North America	1,899	1,637
Latin America	1,056	852
Europe		
United Kingdom	1,487	1,470
Continental Europe	2,422	2,164
Asia Pacific	848	743
India	19,254	19,494
Middle East and Africa	178	152
	27,144	**26,512**

Geographical non-current assets (property, plant and equipment, right-of-use assets, goodwill, other intangible assets, income tax assets and other non-current assets) are allocated based on the location of the assets.

Information about major customers

No single customer represents 10% or more of the Group's total revenue for the years ended March 31, 2023 and 2022, respectively.

20) Commitments and contingencies

Capital commitments

The Group has contractually committed (net of advances) ₹1,543 crore and ₹1,439 crore as at March 31, 2023 and 2022, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

  Refer note 17.

- **Indirect tax matters**

  The Company and its subsidiaries have ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company and its subsidiaries have demands amounting to ₹568 crore and ₹568 crore as at March 31, 2023 and 2022, respectively, from various indirect tax authorities which are being contested by the Company and its subsidiaries based on the management evaluation and advice of tax consultants.

- **Other claims**

  Claims aggregating ₹277 crore and ₹291 crore as at March 31, 2023 and 2022, respectively, against the Group have not been acknowledged as debts.

  In addition to above, in October 2014, Epic Systems Corporation (referred to as Epic) filed a legal claim against the Company in the Court of Western District Madison, Wisconsin alleging unauthorised access to and download of their confidential information and use thereof in the development of the Company's product MedMantra.

  In April 2016, the Company received an unfavourable jury verdict awarding damages of ₹7,730 crore (US $940 million) to Epic which was thereafter reduced by the Trial Court to ₹3,454 crore (US $420 million). Pursuant to reaffirmation of the District Court Order in March 2019, the Company filed an appeal in the Appeals Court to fully set aside the Order. Epic also filed a cross appeal challenging the reduction by the District Court judge of ₹822 crore (US $100 million) award and ₹1,645 crore (US $200 million) in punitive damages.

  On August 20, 2020, the Appeals Court (a) vacated the award of ₹2,303 crore (US $280 million) in punitive damages considering the award to be constitutionally excessive and remanded the case back to District Court with instructions to reassess and reduce the punitive damages award to at most ₹1,151 crore (US $140 million), (b) affirmed the District Court's decision vacating the jury's award of ₹822 crore (US $100 million) in compensatory damages for alleged use of "other confidential information" by the Company, and, (c) affirmed the District Court's decision upholding the jury's award of ₹1,151 crore (US $140 million) in compensatory damages for use of the comparative analysis by the Company. Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided ₹1,218 crore (US $165 million) towards this legal claim in its statement of profit and loss for three month period ended September 30, 2020. This was presented as an "exceptional item" in the consolidated statement of profit and loss. On April 8, 2021, Epic approached the Supreme Court seeking review of the Order of the Appeals Court which was denied by the Supreme Court on March 21, 2022.

  On April 21, 2022, Epic invoked payment of ₹1,151 crore (US $140 million) out of ₹3,618 crore (US $440 million) Letter of Credit provided as security, towards compensatory damages awarded by the District Court and confirmed by the Appeals Court, already provided for in the earlier years.

  On July 1, 2022, the District Court passed an Order affirming the punitive damages at ₹1,151 crore (US $140 million). The Company has filed an appeal on November 16, 2022, in the Appeals Court to reduce the punitive damages awarded by the District Court, which is pending.

  Pursuant to encashment of the Letter of Credit towards compensatory damages, the value of Letter of Credit made available to Epic stands reduced to ₹1,250 crore (US $152 million).

- **Letter of comfort**

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

21) Statement of net assets, profit and loss and other comprehensive income attributable to owners and non-controlling interests

Name of the entity	Country of incorporation	% of voting power as at March 31, 2023	% of voting power as at March 31, 2022	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Tata Consultancy Services Limited	India	-	-	76.39	74,538	87.24	39,106	243.21	(394)	86.67	38,712
Subsidiaries (held directly)											
Indian											
APTOnline Limited	India	89.00	89.00	0.12	116	0.04	16	-	-	0.04	16
MP Online Limited	India	89.00	89.00	0.13	127	0.06	26	-	-	0.06	26
C-Edge Technologies Limited	India	51.00	51.00	0.37	361	0.19	86	-	-	0.19	86
MahaOnline Limited	India	74.00	74.00	0.09	86	0.02	7	-	-	0.02	7
TCS e-Serve International Limited	India	100.00	100.00	0.26	249	0.21	92	-	-	0.21	92
TCS Foundation	India	100.00	100.00	1.34	1,306	(0.36)	(161)	-	-	(0.36)	(161)
Foreign											
Diligenta Limited	U.K.	100.00	100.00	1.56	1,525	0.28	124	23.46	(38)	0.19	86
Tata Consultancy Services Canada Inc.	Canada	100.00	100.00	1.40	1,367	1.86	835	-	-	1.87	835
Tata America International Corporation	U.S.A.	100.00	100.00	1.68	1,642	2.15	962	1.23	(2)	2.15	960
Tata Consultancy Services Asia Pacific Pte Ltd.	Singapore	100.00	100.00	1.04	1,011	0.62	278	-	-	0.62	278
Tata Consultancy Services Belgium	Belgium	100.00	100.00	0.48	465	0.22	97	-	-	0.22	97
Tata Consultancy Services Deutschland GmbH	Germany	100.00	100.00	0.82	804	0.60	269	(17.28)	28	0.66	297
Tata Consultancy Services Netherlands BV	Netherlands	100.00	100.00	3.16	3,080	1.05	469	-	-	1.05	469
Tata Consultancy Services Sverige AB	Sweden	100.00	100.00	0.93	906	0.44	198	-	-	0.44	198
TCS FNS Pty Limited	Australia	100.00	100.00	0.15	143	0.10	43	-	-	0.10	43
TCS Iberoamerica SA	Uruguay	100.00	100.00	1.85	1,806	0.39	174	-	-	0.39	174
Tata Consultancy Services (Africa) (PTY) Ltd.	South Africa	100.00	100.00	0.05	49	0.06	27	-	-	0.06	27
Tata Consultancy Services Qatar L.L.C.	Qatar	100.00	100.00	0.04	35	-	(2)	-	-	-	(2)
Tata Consultancy Services UK Limited	U.K.	100.00	100.00	0.03	29	-	1	-	-	-	1

Name of the entity	Country of incorporation	% of voting power as at March 31, 2023	% of voting power as at March 31, 2022	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Tata Consultancy Services Ireland Limited	Ireland	100.00	100.00	0.34	329	0.14	64	-	-	0.14	64
Subsidiaries (held indirectly)											
Foreign											
Tata Consultancy Services (China) Co., Ltd.	China	100.00	93.20	0.32	309	0.10	47	-	-	0.11	47
Tata Consultancy Services Japan, Ltd.	Japan	66.00	66.00	1.72	1,677	0.72	323	-	-	0.72	323
Tata Consultancy Services Malaysia Sdn Bhd	Malaysia	100.00	100.00	0.07	69	0.04	17	-	-	0.04	17
PT Tata Consultancy Services Indonesia	Indonesia	100.00	100.00	0.03	31	0.03	14	-	-	0.03	14
Tata Consultancy Services (Philippines) Inc.	Philippines	100.00	100.00	0.13	127	0.18	80	(1.23)	2	0.18	82
Tata Consultancy Services (Thailand) Limited	Thailand	100.00	100.00	0.01	6	-	1	-	-	-	1
Tata Consultancy Services Italia s.r.l.	Italy	100.00	100.00	0.08	78	-	-	-	-	-	-
Tata Consultancy Services Luxembourg S.A.	Capellen (G.D. de Luxembourg)	100.00	100.00	0.12	118	0.12	53	-	-	0.12	53
Tata Consultancy Services Switzerland Ltd.	Switzerland	100.00	100.00	0.86	844	0.46	207	(16.05)	26	0.52	233
Tata Consultancy Services Osterreich GmbH	Austria	100.00	100.00	-	4	-	-	-	-	-	-
Tata Consultancy Services Danmark ApS	Denmark	-	100.00	-	-	(0.01)	(5)	-	-	(0.01)	(5)
Tata Consultancy Services De Espana S.A.	Spain	100.00	100.00	0.12	121	0.10	43	-	-	0.10	43
Tata Consultancy Services (Portugal) Unipessoal, Limitada	Portugal	100.00	100.00	0.04	35	0.04	19	-	-	0.04	19
Tata Consultancy Services France	France	100.00	100.00	(0.38)	(367)	0.05	24	(9.88)	16	0.09	40
Tata Consultancy Services Saudi Arabia	Saudi Arabia	100.00	100.00	0.14	134	0.02	11	(1.23)	2	0.03	13
TCS Business Services GmbH	Germany	100.00	100.00	0.08	76	0.01	4	(29.01)	47	0.11	51
TCS Technology Solutions AG	Germany	100.00	100.00	0.73	716	0.66	295	(86.43)	140	0.98	435

Name of the entity	Country of incorporation	% of voting power as at March 31, 2023	% of voting power as at March 31, 2022	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Saudi Desert Rose Holding B.V.	Netherlands	100.00	100.00	-	2	-	-	-	-	-	-
Tata Consultancy Services (South Africa) (PTY) Ltd.	South Africa	100.00	100.00	0.10	93	0.08	38	-	-	0.09	38
TCS Financial Solutions Beijing Co., Ltd.	China	100.00	100.00	0.04	37	(0.01)	(4)	-	-	(0.01)	(4)
TCS Financial Solutions Australia Pty Limited	Australia	100.00	100.00	0.11	74	0.08	34	-	-	0.08	34
Tata Consultancy Services Bulgaria EOOD	Bulgaria	100.00	100.00	0.03	26	0.04	16	-	-	0.04	16
TCS Solution Center S.A.	Uruguay	100.00	100.00	0.34	329	0.25	117	-	-	0.26	117
TCS Uruguay S.A.	Uruguay	100.00	100.00	0.25	240	0.23	101	-	-	0.23	101
Tata Consultancy Services Argentina S.A.	Argentina	100.00	100.00	0.01	5	0.01	4	-	-	0.01	4
Tata Consultancy Services Do Brasil Ltda	Brazil	100.00	100.00	0.42	406	0.17	85	-	-	0.19	85
Tata Consultancy Services De Mexico S.A., De C.V.	Mexico	100.00	100.00	1.18	1,150	0.83	370	(6.79)	11	0.84	381
MGDC S.C.	Mexico	100.00	100.00	0.06	59	0.01	6	(0.62)	1	0.02	7
TCS Inversiones Chile Limitada	Chile	100.00	100.00	0.33	344	0.15	74	-	-	0.16	74
Tata Consultancy Services Chile S.A.	Chile	100.00	100.00	0.42	428	0.19	83	-	-	0.18	83
Tata Consultancy Services Guatemala, S.A.	Guatemala	100.00	100.00	0.01	20	0.02	7	-	-	0.02	7
TATASOLUTION CENTER S.A.	Ecuador	100.00	100.00	0.11	120	0.11	49	0.62	(1)	0.10	48
Trusts	India	-	-	0.29	295	0.01	3	-	-	0.01	3
TOTAL				**100.00**	**97,580**	**100.00**	**44,827**	**100.00**	**(162)**	**100.00**	**44,665**
a) Adjustments arising out of consolidation					**(6,374)**		**(2,524)**		**654**		**(1,870)**
b) Non-controlling interests											
Indian subsidiaries											
APTOnline Limited					(13)		(2)		-		(2)
MP Online Limited					(14)		(3)		-		(3)

Name of the entity	Country of incorporation	% of voting power as at March 31, 2023	% of voting power as at March 31, 2022	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
C-Edge Technologies Limited					(177)		(42)		-		(42)
MahaOnline Limited					(22)		(2)		-		(2)
Foreign subsidiaries											
Tata Consultancy Services (China) Co., Ltd.					-		-		-		-
Tata Consultancy Services Japan, Ltd.					(557)		(107)		1		(106)
TOTAL					**(782)**		**(156)**		**1**		**(155)**
TOTAL					**90,424**		**42,147**		**493**		**42,640**

Notes:

1. On May 18, 2022, Tata Consultancy Services Asia Pacific Pte Ltd. acquired additional 6.8% ownership interest in Tata Consultancy Services (China) Co., Ltd. for a purchase consideration of ₹25 crore thereby making it a wholly owned subsidiary.

2. Tata Consultancy Services Danmark ApS liquidated w.e.f. July 27, 2022.

Notes forming part of Consolidated Financial Statements

22) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Group's material related party transactions and outstanding balances are with related parties with whom the Group routinely enter into transactions in the ordinary course of business. Refer note 21 for list of subsidiaries of the Company.

Transactions and balances with its own subsidiaries are eliminated on consolidation.

Transactions with related parties are as follows:

(₹ crore)

	Year ended March 31, 2023				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	38	1,174	3,050	-	4,262
Purchases of goods and services (including reimbursements)	1	610	225	-	836
Brand equity contribution	227	-	-	-	227
Facility expenses	1	25	59	-	85
Lease rental	-	56	47	-	103
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	(1)	-	-	(1)
Contribution and advance to post employment benefit plans	-	-	-	2,955	2,955
Purchase of property, plant and equipment	-	13	137	-	150
Advances given	-	1	45	-	46
Advances recovered	-	1	15	-	16
Advances taken	-	25	4	-	29
Dividend paid	29,881	16	6	-	29,903

(₹ crore)

	Year ended March 31, 2022				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	40	789	2,785	-	3,614
Purchases of goods and services (including reimbursements)	-	571	159	-	730
Brand equity contribution	204	-	-	-	204
Facility expenses	1	20	45	-	66
Lease rental	-	73	24	-	97
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	(3)	1	-	(2)
Contribution and advance to post employment benefit plans	-	-	-	2,322	2,322
Purchase of property, plant and equipment	-	15	147	-	162
Advances given	-	3	6	-	9
Advances recovered	-	4	17	-	21
Dividend paid	9,609	5	2	-	9,616
Buy-back of shares	11,164	4	6	-	11,174

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2023				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	2	434	1,004	-	1,440
Loans, other financial assets and other assets	10	95	85	-	190
	12	**529**	**1,089**	**-**	**1,630**

(₹ crore)

	As at March 31, 2022				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	11	245	925	-	1,181
Loans, other financial assets and other assets	10	53	31	-	94
	21	**298**	**956**	**-**	**1,275**

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2023				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	213	377	322	278	1,190
Commitments and guarantees	-	12	50	-	62

(₹ crore)

	As at March 31, 2022				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	189	499	146	-	834
Commitments and guarantees	-	37	201	-	238

Material related party transactions are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Revenue from operations		
Jaguar Land Rover Limited	1,707	1,500
Tata Steel IJmuiden BV	533	558
Tata Digital Private Limited	502	269

Material related party balances are as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Trade receivables and contract assets		
Jaguar Land Rover Limited	482	379

Transactions with key management personnel are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Short-term benefits	58	53
Dividend paid during the year	2	1
	60	**54**

The remuneration of directors and key executives is determined by the remuneration committee having regard to the performance of individuals and market trends.

The above figures do not include provisions for encashable leave, gratuity and premium paid for group health insurance, as separate actuarial valuation / premium paid are not available.

23) No funds have been advanced/loaned/invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Group to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

No funds have been received by the Group from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Group shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

24) The sitting fees and commission paid to non-executive directors is ₹13 crore and ₹12 crore as at March 31, 2023 and 2022, respectively.

25) The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the Company towards Provident Fund and Gratuity. The Ministry of Labour and Employment had released draft rules for the Code on Social Security, 2020 on November 13, 2020. The Company and its Indian subsidiaries will assess the impact and its evaluation once the subject rules are notified. The Company and its Indian subsidiaries will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

26) On May 18, 2022, Tata Consultancy Services Asia Pacific Pte Ltd. acquired additional 6.8% ownership interest in Tata Consultancy Services (China) Co., Ltd. for a purchase consideration of ₹25 crore thereby making it a wholly owned subsidiary.

Notes forming part of Consolidated Financial Statements

27) On March 16, 2023, Tata Consultancy Services (China) Co., Ltd., acquired control of 100 % equity interest in TCS Financial Solutions Beijing Co., Ltd., from TCS Financial Solutions Australia Pty Limited. The entities are engaged in the business of developing and selling computer software and providing information technology services. The transaction has been accounted as combination of entities under common control. There is no impact in the consolidated financial statements of the Group as the entities are under the same parent.

28) Tata Consultancy Services Danmark ApS liquidated w.e.f. July 27, 2022.

29) Dividends

Dividends paid during the year ended March 31, 2023 include an amount of ₹22.00 per equity share towards final dividend for the year ended March 31,2022 and an amount of ₹91.00 per equity share towards interim dividends for the year ended March 31, 2023. Dividends paid during the year ended March 31, 2022 include an amount of ₹15.00 per equity share towards final dividend for the year ended March 31, 2021 and an amount of ₹21.00 per equity share towards interim dividends for the year ended March 31, 2022.

Dividends declared by the Company are based on profits available for distribution. On April 12, 2023, the Board of Directors of the Company have proposed a final dividend of ₹24.00 per share in respect of the year ended March 31, 2023 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in a cash outflow of approximately ₹8,782 crore.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Standalone **Financial Statements**

Independent Auditor's Report

To the Members of
Tata Consultancy Services Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Tata Consultancy Services Limited (the "Company") which comprise the standalone balance sheet as at 31 March 2023, and the standalone statement of profit and loss (including other comprehensive income), standalone statement of changes in equity and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2023, and its profit and other comprehensive loss, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Key Audit Matter(s)

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Revenue recognition– Fixed price contracts where revenue is recognized using percentage of completion method	
Refer Note 4(a) and 10 to the standalone financial statements	
The key audit matter	**How the matter was addressed in our audit**
The Company inter alia engages in Fixed-price contracts, wherein, revenue is recognized using the percentage of completion computed as per the input method based on the Company's estimate of contract costs. We identified revenue recognition of fixed price contracts where the percentage of completion is used as a Key Audit Matter since – 1. there is an inherent risk and presumed fraud risk around the accuracy and existence of revenues recognised considering the customised and complex nature of these contracts and significant inputs of IT systems;	Our audit procedures included the following: 1. Obtained an understanding of the systems, processes and controls implemented by the Company for recording and computing revenue and the associated contract assets, unearned and deferred revenue balances. 2. Involvement of our Information technology ('IT') specialists, as required: i. Assessed the IT environment in which the business systems operate and tested system controls over computation of revenue recognised; ii. Tested the IT controls over appropriateness of cost and revenue reports generated by the system;

The key audit matter	How the matter was addressed in our audit
2. application of revenue recognition accounting standard (Ind AS 115, Revenue from Contracts with customers) is complex and involves a number of key judgments and estimates mainly in identifying performance obligations, related transaction price and estimating the future cost-to-completion of these contracts, which is used to determine the percentage of completion of the relevant performance obligation; 3. these contracts may involve onerous obligations which requires critical assessment of foreseeable losses to be made by the Company; and 4. at year-end, significant amount of work in progress (Contract assets), related to these contracts are recognised on the balance sheet.	iii. Tested the controls pertaining to allocation of resources and budgeting systems which prevent the unauthorized recording/ changes to costs incurred; and iv. Tested on a random sampling basis the controls relating to the estimation of contract costs required to complete the respective projects. 3. On selected specific and statistical samples of contracts, we tested that the revenue recognized is in accordance with the revenue recognition accounting standard including– i. Evaluated the identification of performance obligations and the ascribed transaction price; ii. For testing Company's computation of the estimation of contract costs and onerous obligations, if any. We: • assessed that the estimates of costs to complete were reviewed and approved by appropriate designated management personnel; • performed a retrospective analysis of costs incurred with estimated costs to identify significant variations and challenged whether those variations are required to be considered in estimating the remaining costs to complete the contract; • assessed the appropriateness of work in progress (contract assets) on balance sheet date by evaluating the underlying documentation to identify possible changes in estimated costs to complete the remaining performance obligations; and • inspected underlying documents and performed analytics to determine reasonableness of contract costs.

Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's annual report, but does not include the financial statements and auditor's report(s) thereon. The Company's annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the standalone financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Management's and Board of Directors' Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.

- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

   b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

   c. The standalone balance sheet, the standalone statement of profit and loss (including other comprehensive income), the standalone statement of changes in equity and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.

   d. In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.

   e. On the basis of the written representations received from the directors as on 31 March 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2023 from being appointed as a director in terms of Section 164(2) of the Act.

f. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company has disclosed the impact of pending litigations as at 31 March 2023 on its financial position in its standalone financial statements- Refer income tax liabilities disclosed in the balance sheet along with Note 8(f) and Note 19 to the standalone financial statements.

b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

c. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

d. (i) The management has represented that, to the best of it's knowledge and belief, as disclosed in the Note 21 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of it's knowledge and belief, as disclosed in the Note 21 to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The interim dividend declared and paid by the Company during the year and until the date of this audit report is in accordance with Section 123 of the Act.

The final dividend paid by the Company during the year, in respect of the same declared for the previous year is in accordance with Section 123 of the Act to the extent it applies to payment of dividend.

As stated in note 25 to the standalone financial statements, the Board of Directors of the Company has proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

f. As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the Company only with effect from 1 April 2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 is not applicable.

C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the remuneration paid by the Company to its directors during the current year is in accordance with the provisions of Section 197 of the Act. The remuneration paid to any director is not in excess of the limit laid down under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.: 101248W/W-100022

Amit Somani
Partner
Membership No.: 060154
ICAI UDIN: 23060154BGXCZS4294

Place: Mumbai
Date: 12 April 2023

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Tata Consultancy Services Limited for the year ended 31 March 2023

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner over a period of three years. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee) disclosed in the standalone financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks are in agreement with the books of account of the Company. The Company has not been sanctioned any working capital limit from the financial institutions.

(iii) According to the information and explanations given to us and on the basis of our examination of the records, the Company has made investments in other parties during the year. The Company has granted unsecured loans to a company and other parties and has granted unsecured advances in the nature of loans to other parties during the year, in respect of which the requisite information is as below. The Company has not made any investments in companies, firms or limited liability partnerships. The Company has not granted any loans, unsecured, to firms or limited liability partnerships and has not granted any advances in the nature of loans, unsecured, to companies, firms or limited liability partnerships during the year. The Company has not provided any guarantee or security or granted any loans or advances in the nature of loans, secured, to companies, firms, limited liability partnerships or any other parties during the year.

(a) A. Based on the audit procedures carried on by us and as per the information and explanations given to us, the Company has not given any loans or advances in the nature of loans or stood guarantee or provided security to subsidiaries. The Company does not hold any investment in any joint ventures or associates.

B. Based on the audit procedures carried on by us and as per the information and explanations given to us, the Company has given unsecured loans and unsecured advances in the nature of loans to parties other than subsidiaries as listed below. The Company has not stood guarantee or provided security to parties other than subsidiaries.

Particulars	Guarantees	Security	Loans	Advances in nature of loans
Aggregate amount during the year				
Subsidiaries*	-	-	-	-
Joint ventures*	-	-	-	-
Associates*	-	-	-	-
Others	-	-	₹ 7,588.90 Crores	₹ 196.35 Crores
Balance outstanding as at balance sheet date-				
Subsidiaries*	-	-	-	-
Joint ventures*	-	-	-	-
Associates*	-	-	-	-
Others*	-	-	₹ 12.59 Crores	₹ 262.39 Crores

*As per the Companies Act, 2013

(b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the investment made and the terms and conditions of the grant of loans and advances in the nature of loans during the year are, prima facie, not prejudicial to the interest of the Company.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of loans given and in case of advances in the nature of loans given, in our opinion the repayment of principal and payment of interest has been stipulated and the repayments or receipts have been regular.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given and advances in the nature of loan given.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.

(f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment.

(iv) According to the information and explanations given to us and on the basis of our examination of the records, the Company has not given any loans, or provided any guarantee or security as specified under Section 185 of the Companies Act, 2013 and the Company has not provided any guarantee or security as specified under Section 186 of the Companies Act, 2013. Further, the Company has complied with the provisions of Section 186 of the Companies Act, 2013 in relation to loans given and investments made.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the products manufactured by it (and/or services provided by it). Accordingly, clause 3(vi) of the Order is not applicable.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues have generally been regularly deposited with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2023 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us, there are no statutory dues of Goods and Service Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales tax, Service tax, Duty of Customs, Value added tax, Cess or other statutory dues which have not been deposited by the Company on account of any dispute except for the following:

Name of the Statute	Nature of the dues	Amount (₹ in crores)	Period to which the amount relates	Forum where dispute is pending	Remarks, if any
The Income-tax Act, 1961	Income-tax	4,181	Assessment Year- 2007-08, 2011-12, 2017-18, 2018-19	Commissioner of Income-tax (Appeals)	
		193	Assessment Year- 2006-07	Income-tax Appellate Tribunal	
		39	Assessment Year- 2008-09, 2009-10, 2010-11, 2016-17	Assessing Officer / National Faceless Assessment Centre	
The Central Sales Tax Act, 1956 and Value Added Tax Act	Sales tax and VAT	233	Financial Year- 1994-1995, 2004-2005, 2007-2008, 2008-2009, 2009-2010, 2010-2011, 2011-2012, 2012-2013, 2013-2014, 2014-2015, 2015-2016, 2016-2017, 2017-2018	High Court	
		10	Financial Year- 1990-1991, 2002-2003, 2003-2004, 2004-2005, 2005-2006, 2006-2007, 2011-2012, 2012-2013	Tribunal	
		2	Financial Year- 1995-1996, 1997-1998, 2004-2005, 2011-2012, 2016-2017, 2017-2018	Assistant Commissioner	
		3	Financial Year- 2008-2009, 2010-2011, 2011-2012, 2012-2013, 2015-2016, 2016-2017	Deputy Commissioner	
		18	Financial Year- 1997-1998, 2005-2006, 2013-2014, 2014-2015, 2015-2016, 2016-2017, 2017-2018	Joint Commissioner	
The Finance Act, 1994	Service tax	2	Financial Year- 2002-2003, 2003-2004, 2004-2005, 2008-09, 2009-2010, 2010-2011, 2011-2012, 2012-2013, 2014-2015, 2015-2016, 2016-2017, 2017-2018	Commissioner Appeals	
		212	Financial Year- 2006-2007, 2007-2008, 2009-2010, 2010-2011, 2012-2013, 2013-2014, 2014-2015, 2015-2016, 2016-2017, 2017-2018	Tribunal	
Goods and Service Tax Act	GST	2	Financial Year – 2020-21	Commissioner Appeals	

** These amounts are net of amount paid/ adjusted under protest ₹ 327 crores.

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) According to the information and explanations given to us by the management, the Company has not obtained any term loans during the year. Accordingly, clause 3(ix)(c) of the Order is not applicable.

(d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries as defined under the Act. The Company does not hold any investment in any associate or joint venture (as defined under the Act) during the year ended 31 March 2023.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries (as defined under the Act). The Company does not hold any investment in any associate or joint venture (as defined under the Act) during the year ended 31 March 2023.

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, considering the principles of materiality outlined in Standards on Auditing, we report that no fraud by the Company or on the Company has been noticed or reported during the course of the audit.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) We have taken into consideration the whistle blower complaints received by the Company during the year while determining the nature, timing and extent of our audit procedures.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) In our opinion and according to the information and explanations given to us, the transactions with related parties are in compliance with Section 177 and 188 of the Act, where applicable, and the details of the related party transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) According to the information and explanations provided to us, the Group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) has more than one CIC as part of the Group. The Group has six CICs as part of the Group.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

Also refer to the Other Information paragraph of our main audit report which explains that the other information comprising the information included in Company's annual report is expected to be made available to us after the date of this auditor's report.

(xx) (a) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project other than ongoing projects. Accordingly, clause 3(xx)(a) of the Order is not applicable.

(b) In our opinion and according to the information and explanations given to us and based on an independent legal opinion obtained by the Company, upon irrevocable transfer of funds by the Company to implementing agencies for designated multi-year projects undertaken through them, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to ongoing projects. Accordingly, clause 3(xx)(b) of the Order is not applicable.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.: 101248W/W-100022

Amit Somani
Partner
Membership No.: 060154
ICAI UDIN: 23060154BGXCZS4294

Place: Mumbai
Date: 12 April 2023

Annexure B to the Independent Auditor's Report on the standalone financial statements of Tata Consultancy Services Limited for the year ended 31 March 2023

Report on the internal financial controls with reference to the aforesaid standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Tata Consultancy Services Limited ("the Company") as of 31 March 2023 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2023, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.: 101248W/W-100022

Amit Somani
Partner
Membership No.: 060154
ICAI UDIN: 23060154BGXCZS4294

Place: Mumbai
Date: 12 April 2023

Standalone Balance Sheet

(₹ crore)

	Note	As at March 31, 2023	As at March 31, 2022
ASSETS			
Non-current assets			
Property, plant and equipment	8(a)	9,186	9,669
Capital work-in-progress	8(a)	1,103	1,146
Right-of-use assets	7	5,695	5,837
Intangible assets	8(b)	809	1,018
Financial assets			
Investments	6(a)	2,405	2,405
Trade receivables			
Billed	6(b)	125	90
Unbilled		196	53
Loans	6(e)	3	8
Other financial assets	6(f)	532	626
Income tax assets (net)		2,115	1,643
Deferred tax assets (net)	15	2,464	2,779
Other assets	8(c)	2,410	1,797
Total non-current assets		**27,043**	**27,071**
Current assets			
Inventories	8(d)	27	19
Financial assets			
Investments	6(a)	35,738	29,262
Trade receivables			
Billed	6(b)	35,534	29,852
Unbilled		7,264	6,250
Cash and cash equivalents	6(c)	1,462	8,197
Other balances with banks	6(d)	3,081	5,495
Loans	6(e)	332	5,653
Other financial assets	6(f)	1,557	1,432
Other assets	8(c)	7,789	8,032
Total current assets		**92,784**	**94,192**
TOTAL ASSETS		**1,19,827**	**1,21,263**
EQUITY AND LIABILITIES			
Equity			
Share capital	6(n)	366	366
Other equity	9	74,172	76,807
Total equity		**74,538**	**77,173**
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease liabilities		4,698	4,879
Other financial liabilities	6(i)	340	518
Employee benefit obligations	12	95	103
Deferred tax liabilities (net)	15	190	129
Unearned and deferred revenue		642	560
Total non-current liabilities		**5,965**	**6,189**
Current liabilities			
Financial liabilities			
Lease liabilities		961	976
Trade payables			
Dues of small enterprises and micro enterprises	6(g)	-	-
Dues of creditors other than small enterprises and micro enterprises	6(h)	13,768	10,082
Other financial liabilities	6(i)	6,948	5,826
Unearned and deferred revenue		2,962	3,013
Other liabilities	8(e)	3,113	7,033
Provisions	8(f)	279	1,377
Employee benefit obligations	12	3,022	2,844
Income tax liabilities (net)		8,271	6,750
Total current liabilities		**39,324**	**37,901**
TOTAL EQUITY AND LIABILITIES		**1,19,827**	**1,21,263**

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Standalone Statement of Profit and Loss

(₹ crore)

	Note	Year ended March 31, 2023	Year ended March 31,2022
Revenue from operations	10	1,90,354	1,60,341
Other income	11	5,328	7,486
TOTAL INCOME		**1,95,682**	**1,67,827**
Expenses			
Employee benefit expenses	12	96,218	81,097
Cost of equipment and software licences	13(a)	1,416	1,010
Finance costs	14	695	486
Depreciation and amortisation expense		3,940	3,522
Other expenses	13(b)	41,723	31,989
TOTAL EXPENSES		**1,43,992**	**1,18,104**
PROFIT BEFORE TAX		**51,690**	**49,723**
Tax expense			
Current tax	15	12,946	11,931
Deferred tax	15	(362)	(395)
TOTAL TAX EXPENSE		**12,584**	**11,536**
PROFIT FOR THE YEAR		**39,106**	**38,187**
OTHER COMPREHENSIVE INCOME (OCI)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined employee benefit plans		54	180
Income tax on items that will not be reclassified subsequently to profit or loss		(12)	(39)
Items that will be reclassified subsequently to profit or loss			
Net change in fair values of investments other than equity shares carried at fair value through OCI		(679)	(516)
Net change in intrinsic value of derivatives designated as cash flow hedges		(25)	(37)
Net change in time value of derivatives designated as cash flow hedges		32	(34)
Income tax on items that will be reclassified subsequently to profit or loss		236	196
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		**(394)**	**(250)**
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**38,712**	**37,937**
Earnings per equity share:- Basic and diluted (₹)	16	106.88	103.24
Weighted average number of equity shares		365,90,51,373	369,88,32,195

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Standalone Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2022	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2022	Changes in equity share capital during the year	Balance as at March 31, 2023
366	-	366	-	366

(₹ crore)

Balance as at April 1, 2021	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2021	Changes in equity share capital during the year*	Balance as at March 31, 2022
370	-	370	(4)	366

*Refer note 6(n).

B. OTHER EQUITY

(₹ crore)

	Reserves and surplus				Items of other comprehensive income			Total Equity
	Capital reserve*	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Investment revaluation reserve	Cash flow hedging reserve – Intrinsic value	Cash flow hedging reserve – Time value	
Balance as at April 1, 2022	**-**	**17**	**7,287**	**68,949**	**580**	**27**	**(53)**	**76,807**
Profit for the year	-	-	-	39,106	-	-	-	39,106
Other comprehensive income / (losses)	-	-	-	42	(442)	(19)	25	(394)
Total comprehensive income	**-**	**-**	**-**	**39,148**	**(442)**	**(19)**	**25**	**38,712**
Dividend	-	-	-	(41,347)	-	-	-	(41,347)
Transfer to Special Economic Zone re-investment reserve	-	-	8,380	(8,380)	-	-	-	-
Transfer from Special Economic Zone re-investment reserve	-	-	(3,858)	3,858	-	-	-	-
Balance as at March 31, 2023	**-**	**17**	**11,809**	**62,228**	**138**	**8**	**(28)**	**74,172**
Balance as at April 1, 2021	**-**	**13**	**2,538**	**70,928**	**916**	**56**	**(27)**	**74,424**
Profit for the year	-	-	-	38,187	-	-	-	38,187
Other comprehensive income / (losses)	-	-	-	141	(336)	(29)	(26)	(250)
Total comprehensive income	**-**	**-**	**-**	**38,328**	**(336)**	**(29)**	**(26)**	**37,937**
Dividend	-	-	-	(13,317)	-	-	-	(13,317)
Expenses for buy-back of equity shares	-	-	-	(49)	-	-	-	(49)
Tax on buy-back of equity shares	-	-	-	(4,192)	-	-	-	(4,192)
Buy-back of equity shares	-	4	-	(18,000)	-	-	-	(17,996)
Transfer to Special Economic Zone re-investment reserve	-	-	9,407	(9,407)	-	-	-	-
Transfer from Special Economic Zone re-investment reserve	-	-	(4,658)	4,658	-	-	-	-
Balance as at March 31, 2022	**-**	**17**	**7,287**	**68,949**	**580**	**27**	**(53)**	**76,807**

*Represents values less than ₹0.50 crore.

Gain of ₹42 crore and ₹141 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for the years ended March 31, 2023 and 2022, respectively.

Nature and purpose of reserves

(a) Capital reserve

The Company recognises profit and loss on purchase, sale, issue or cancellation of the Company's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Company for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Company as on the balance sheet date.

(e) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and profit and loss respectively, when such instruments are disposed.

(f) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Standalone Statement of Cash Flows

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the year	39,106	38,187
Adjustments for:		
Depreciation and amortisation expense	3,940	3,522
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	110	107
Tax expense	12,584	11,536
Net (gain) / loss on lease modification	3	(2)
Net gain on sub-lease	(7)	-
Unrealised foreign exchange gain	(185)	(119)
Net gain on disposal of property, plant and equipment	(27)	(25)
Net gain on disposal / fair valuation of investments	(209)	(186)
Interest income	(3,046)	(2,555)
Dividend income (including exchange impact)	(2,112)	(3,554)
Finance costs	695	486
Operating profit before working capital changes	**50,852**	**47,397**
Net change in		
Inventories	(8)	(12)
Trade receivables		
Billed	(5,817)	(4,761)
Unbilled	(1,157)	(644)
Loans and other financial assets	192	(152)
Other assets	(384)	747
Trade payables	3,686	2,120
Unearned and deferred revenue	31	412
Other financial liabilities	1,222	968
Other liabilities and provisions	(654)	388
Cash generated from operations	**47,963**	**46,463**
Taxes paid (net of refunds)	(10,934)	(10,336)
Net cash generated from operating activities	**37,029**	**36,127**
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(3,528)	(14,653)
Inter-corporate deposits placed	(7,580)	(13,655)
Purchase of investments	(1,22,721)	(70,826)
Payment for purchase of property, plant and equipment	(2,041)	(2,147)
Payment including advances for acquiring right-of-use assets	(94)	(13)
Payment for purchase of intangible assets	(340)	(457)
Proceeds from bank deposits	5,930	11,201
Proceeds from inter-corporate deposits	12,966	18,560
Proceeds from disposal / redemption of investments	1,15,825	69,451
Proceeds from sub-lease receivable	5	4

Standalone Statement of Cash Flows

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Proceeds from disposal of property, plant and equipment	29	29
Interest received	2,933	2,594
Dividend received from subsidiaries	1,866	3,554
Net cash generated from investing activities	**3,250**	**3,642**
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities	(1,006)	(935)
Interest paid	(697)	(478)
Dividend paid	(41,347)	(13,317)
Transfer of funds to buy-back escrow account	-	(180)
Transfer of funds from buy-back escrow account	18	162
Expenses for buy-back of equity shares	-	(49)
Tax on buy-back of equity shares	(4,192)	-
Buy-back of equity shares	-	(18,000)
Net cash used in financing activities	**(47,224)**	**(32,797)**
Net change in cash and cash equivalents	**(6,945)**	**6,972**
Cash and cash equivalents at the beginning of the year	8,197	1,112
Exchange difference on translation of foreign currency cash and cash equivalents	210	113
Cash and cash equivalents at the end of the year	**1,462**	**8,197**
Components of cash and cash equivalents		
Balances with banks		
In current accounts	776	809
In deposit accounts	686	7,388
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	-*	-*
	1,462	**8,197**

*Represents values less than ₹ 0.50 crore.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

Refer note 13(c) for amount spent during the years ended March 31, 2023 and 2022 on construction / acquisition of any asset and other purposes relating to CSR activities.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Notes forming part of Standalone Financial Statements

1) Corporate information

Tata Consultancy Services Limited (referred to as "TCS Limited" or "the Company") provides IT services, consulting and business solutions and has been partnering with many of the world's largest businesses in their transformation journeys. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai- 400001. As at March 31, 2023, Tata Sons Private Limited, the holding company owned 72.27% of the Company's equity share capital.

The Board of Directors approved the standalone financial statements for the year ended March 31, 2023 and authorised for issue on April 12, 2023.

2) Statement of compliance

These standalone financial statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These standalone financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Company has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value to be cash equivalents.

These standalone financial statements have been prepared in Indian Rupee (₹) which is the functional currency of the Company. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The significant accounting policies used in preparation of the standalone financial statements have been discussed in the respective notes.

4) Use of estimates and judgements

The preparation of standalone financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Company to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of standalone financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Company uses the following critical accounting estimates in preparation of its standalone financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Company uses judgement to estimate the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

(b) Useful lives of property, plant and equipment

The Company reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods.

(c) Impairment of investments in subsidiaries

The Company reviews its carrying value of investments carried at cost (net of impairment, if any) annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the statement of profit and loss.

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Provision for income tax and deferred tax assets

The Company uses estimates and judgements based on the relevant rulings in the areas of allocation of revenue, costs, allowances and disallowances which is exercised while determining the provision for income tax. A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Company exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(f) Provisions and contingent liabilities

The Company estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are recognised when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the standalone financial statements.

(g) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Company to use assumptions. These assumptions have been explained under employee benefits note.

(h) Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

5) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On March 31, 2023, MCA amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from April 1, 2023, as below:

Ind AS 1 – Presentation of Financial Statements

The amendments require companies to disclose their material accounting policies rather than their significant accounting policies. Accounting policy information, together with other information, is material when it can reasonably be expected to influence decisions of primary users of general purpose financial statements. The Company does not expect this amendment to have any significant impact in its financial statements.

Ind AS 12 – Income Taxes

The amendments clarify how companies account for deferred tax on transactions such as leases and decommissioning obligations. The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12 (recognition exemption) so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. The Company is evaluating the impact, if any, in its financial statements.

Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a change in accounting estimates has been replaced with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Company does not expect this amendment to have any significant impact in its financial statements.

6) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired.

Cash and cash equivalents

The Company considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value, to be cash equivalents. Cash and cash equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Company has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Investment in subsidiaries

Investment in subsidiaries are measured at cost less impairment loss, if any.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received net of direct issue cost.

Derivative accounting

- **Instruments in hedging relationship**

  The Company designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

  The Company uses hedging instruments that are governed by the policies of the Company which are approved by the Board of Directors. The policies provide written principles on the use of such financial derivatives consistent with the risk management strategy of the Company.

  The hedge instruments are designated and documented as hedges at the inception of the contract. The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

  The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

  The Company separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in the statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

- **Instruments not in hedging relationship**

  The Company enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)
The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowances for doubtful trade receivables, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Investment in subsidiaries		
Fully paid equity shares (unquoted)	2,405	2,405
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Taj Air Limited	19	19
Less: Impairment in value of investments	(19)	(19)
	2,405	**2,405**

Investments - Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	1,147	884
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	26,128	25,667
Corporate bonds (quoted)	3,110	1,242
Investments carried at amortised cost		
Certificate of deposits (quoted)	2,955	99
Commercial papers (quoted)	2,398	381
Treasury bills (quoted)	-	989
	35,738	**29,262**

Government bonds and securities includes bonds pledged with bank for credit facility and with manager to the buy-back amounting to ₹1,650 crore and ₹3,560 crore as at March 31, 2023 and 2022, respectively.

Aggregate value of quoted and unquoted investments is as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Aggregate value of quoted investments	35,738	29,262
Aggregate value of unquoted investments (net of impairment)	2,405	2,405
Aggregate market value of quoted investments	35,736	29,263
Aggregate value of impairment of investments	19	19

Market value of quoted investments carried at amortised cost is as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Certificate of deposits	2,951	99
Commercial papers	2,400	381
Treasury bills	-	990

Notes forming part of Standalone Financial Statements

Carrying value of investment in equity instruments is as follows:

(₹ crore)

In Numbers	Currency	Face value per share	Investment in subsidiaries	As at March 31, 2023	As at March 31, 2022
			Fully paid equity shares (unquoted)		
212,27,83,424	UYU	1	TCS Iberoamerica SA	461	461
15,75,300	INR	10	APTOnline Limited	-	-
1,300	EUR	-	Tata Consultancy Services Belgium	1	1
66,000	EUR	1,000	Tata Consultancy Services Netherlands BV	403	403
1,000	SEK	100	Tata Consultancy Services Sverige AB	19	19
1	EUR	-	Tata Consultancy Services Deutschland GmbH	2	2
20,000	USD	10	Tata America International Corporation	453	453
75,82,820	SGD	1	Tata Consultancy Services Asia Pacific Pte Ltd.	19	19
3,72,58,815	AUD	1	TCS FNS Pty Limited	212	212
10,00,001	GBP	1	Diligenta Limited	429	429
1,000	USD	-	Tata Consultancy Services Canada Inc.	-*	-*
100	CAD	70,653.61	Tata Consultancy Services Canada Inc.	31	31
51,00,000	INR	10	C-Edge Technologies Limited	5	5
8,90,000	INR	10	MP Online Limited	1	1
1,40,00,000	ZAR	1	Tata Consultancy Services (Africa) (PTY) Ltd.	66	66
18,89,005	INR	10	MahaOnline Limited	2	2
-	QAR	-	Tata Consultancy Services Qatar L.L.C.	2	2
10,00,000	INR	100	TCS e-Serve International Limited	10	10
1,00,500	GBP	0.00001	Tata Consultancy Services UK Limited	66	66
2,50,00,000	EUR	1	Tata Consultancy Services Ireland Limited	224	224
10,00,000	INR	10	TCS Foundation	-	-
				2,405	**2,405**

(₹ crore)

In Numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at March 31, 2023	As at March 31, 2022
			Fully paid equity shares (unquoted)		
1,90,00,000	INR	10	Taj Air Limited	19	19
			Less : Impairment in value of investments	(19)	(19)
				-	-

*Represents value less than ₹0.50 crore.

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**580**	**916**
Net loss arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(675)	(516)
Deferred tax relating to net loss arising on revaluation of investments other than equities carried at fair value through other comprehensive income	236	180
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(4)	-
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	1	-
Balance at the end of the year	**138**	**580**

(b) Trade receivables - Billed

Trade receivables- Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Trade receivables- Billed	771	932
Less: Allowance for doubtful trade receivables- Billed	(646)	(842)
Considered good	**125**	**90**

Ageing for trade receivables- billed – non-current outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	12	39	75	613	739
Disputed trade receivables – considered good	-	-	-	-	8	24	32
	-	**-**	**12**	**39**	**83**	**637**	**771**
Less: Allowance for doubtful trade receivables - Billed							**(646)**
							125
Trade receivables - Unbilled							**196**
							321

Notes forming part of Standalone Financial Statements

Ageing for trade receivables- billed – non-current outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	12	93	227	584	916
Disputed trade receivables – considered good	-	-	-	-	-	16	16
	-	**-**	**12**	**93**	**227**	**600**	**932**
Less: Allowance for doubtful trade receivables - Billed							**(842)**
							90
Trade receivables - Unbilled							**53**
							143

Trade receivables - Billed – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Trade receivables- Billed	35,731	30,010
Less: Allowance for doubtful trade receivables- Billed	(275)	(173)
Considered good	**35,456**	**29,837**
Trade receivables- Billed	256	137
Less: Allowance for doubtful trade receivables- Billed	(178)	(122)
Credit impaired	**78**	**15**
	35,534	**29,852**

Above balances of trade receivables- billed include balances with related parties (Refer note 20).

Ageing for trade receivables- billed – current outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	28,935	5,292	1,124	135	16	191	35,693
Undisputed trade receivables – credit impaired	66	42	-	11	18	119	256
Disputed trade receivables – considered good	-	-	12	1	-	25	38
	29,001	**5,334**	**1,136**	**147**	**34**	**335**	**35,987**
Less: Allowance for doubtful trade receivables - Billed							**(453)**
							35,534
Trade receivables - Unbilled							**7,264**
							42,798

Ageing for trade receivables- billed – current outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	23,985	4,069	903	594	224	211	29,986
Undisputed trade receivables – credit impaired	-	-	-	57	6	67	130
Disputed trade receivables – considered good	-	-	-	-	-	24	24
Disputed trade receivables – credit impaired	-	-	-	-	-	7	7
	23,985	**4,069**	**903**	**651**	**230**	**309**	**30,147**
Less: Allowance for doubtful trade receivables - Billed							**(295)**
							29,852
Trade receivables - Unbilled							**6,250**
							36,102

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Balances with banks		
In current accounts	776	809
In deposit accounts	686	7,388
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	-*	-*
	1,462	**8,197**

*Represents value less than ₹0.50 crore.

(d) Other balances with banks

Other balances with banks consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Earmarked balances with banks	653	195
Short-term bank deposits	2,428	5,300
	3,081	**5,495**

Earmarked balances with banks primarily relate to margin money for purchase of investments, margin money of derivative contracts and unclaimed dividends.

Notes forming part of Standalone Financial Statements

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Loans and advances to employees	3	8
	3	**8**

Loans – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Inter-corporate deposits	-	5,386
Loans and advances to employees	332	267
Credit impaired		
Loans and advances to employees	31	22
Less: Allowance on loans and advances to employees	(31)	(22)
	332	**5,653**

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions, who are authorized to accept and use such inter-corporate deposits as per regulations applicable to them.

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	508	613
Others	24	13
	532	**626**

Other financial assets – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	296	161
Fair value of foreign exchange derivative assets	190	388
Interest receivable	624	597
Others	447	286
	1,557	**1,432**

(g) Dues of small enterprises and micro enterprises

The disclosure pursuant to the Micro, Small and Medium Enterprises Development Act, 2006, (MSMED Act) for dues to micro enterprises and small enterprises as at March 31, 2023 and March 31, 2022 is as under**:**

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Dues remaining unpaid to any supplier		
Principal	-	-
Interest on the above	-	-
Amount of interest paid in terms of section 16 of the MSMED Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year	32	33
Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006	-	-
Amount of interest accrued and remaining unpaid	-	-
Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act, 2006	-*	-*

*Represents value less than ₹0.50 crore.

(h) Trade Payables

Ageing for trade payables outstanding as at March 31, 2023 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
Others	3,774	4,715	18	7	42	8,556
Disputed dues- Others	-	-	-	-	29	29
	3,774	**4,715**	**18**	**7**	**71**	**8,585**
Accrued expenses						**5,183**
						13,768

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006.

Ageing for trade payables outstanding as at March 31, 2022 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
Others	2,673	2,541	46	27	80	5,367
Disputed dues- Others	-	-	-	-	32	32
	2,673	**2,541**	**46**	**27**	**112**	**5,399**
Accrued expenses						**4,683**
						10,082

(i) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Capital creditors	111	289
Others	229	229
	340	**518**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at March 31, 2023 and 2022, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities is payable to the seller.

Other financial liabilities – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Accrued payroll	4,970	3,914
Unclaimed dividends	51	46
Fair value of foreign exchange derivative liabilities	141	128
Capital creditors	635	723
Liabilities towards customer contracts	1,075	972
Others	76	43
	6,948	**5,826**

(j) Financial instruments by category

The carrying value of financial instruments by categories as at March 31, 2023 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	1,462	1,462
Bank deposits	-	-	-	-	2,428	2,428
Earmarked balances with banks	-	-	-	-	653	653
Investments (other than in subsidiary)	1,147	29,238	-	-	5,353	35,738
Trade receivables						
Billed	-	-	-	-	35,659	35,659
Unbilled	-	-	-	-	7,460	7,460
Loans	-	-	-	-	335	335
Other financial assets	-	-	37	153	1,899	2,089
	1,147	**29,238**	**37**	**153**	**55,249**	**85,824**
Financial liabilities						
Trade payables	-	-	-	-	13,768	13,768
Lease liabilities	-	-	-	-	5,659	5,659
Other financial liabilities	-	-	-	141	7,147	7,288
	-	**-**	**-**	**141**	**26,574**	**26,715**

The carrying value of financial instruments by categories as at March 31, 2022 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	8,197	8,197
Bank deposits	-	-	-	-	5,300	5,300
Earmarked balances with banks	-	-	-	-	195	195
Investments (other than in subsidiary)	884	26,909	-	-	1,469	29,262
Trade receivables						
Billed	-	-	-	-	29,942	29,942
Unbilled	-	-	-	-	6,303	6,303
Loans	-	-	-	-	5,661	5,661
Other financial assets	-	-	124	264	1,670	2,058
	884	**26,909**	**124**	**264**	**58,737**	**86,918**
Financial liabilities						
Trade payables	-	-	-	-	10,082	10,082
Lease liabilities	-	-	-	-	5,855	5,855
Other financial liabilities	-	-	22	106	6,216	6,344
	-	**-**	**22**	**106**	**22,153**	**22,281**

Loans include inter-corporate deposits of ₹5,386 crore, with original maturity period within 10 months.

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at March 31, 2023 and 2022, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is ₹5,351 crore and ₹1,470 crore as at March 31, 2023 and 2022, respectively

(k) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

Notes forming part of Standalone Financial Statements

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

(₹ crore)

As at March 31, 2023	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,147	-	-	1,147
Equity shares	-	-	-	-
Government bonds and securities	26,128	-	-	26,128
Corporate bonds	3,110	-	-	3,110
Certificate of deposits	2,951	-	-	2,951
Commercial papers	2,400	-	-	2,400
Treasury bills	-	-	-	-
Fair value of foreign exchange derivative assets	-	190	-	190
	35,736	**190**	**-**	**35,926**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	141	-	141
	-	**141**	**-**	**141**

(₹ crore)

As at March 31, 2022	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	884	-	-	884
Equity shares	-	-	-	-
Government bonds and securities	25,667	-	-	25,667
Corporate bonds	1,242	-	-	1,242
Certificate of deposits	99	-	-	99
Commercial papers	381	-	-	381
Treasury bills	990	-	-	990
Fair value of foreign exchange derivative assets	-	388	-	388
	29,263	**388**	**-**	**29,651**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	128	-	128
	-	**128**	**-**	**128**

(l) Derivative financial instruments and hedging activity

The Company's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Company to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Company which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Company uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

Foreign currency	As at March 31, 2023			As at March 31, 2022		
	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)
US Dollar	8	225	13	63	1,635	44
Great Britain Pound	22	200	14	41	338	55
Euro	22	203	10	53	382	25
Australian Dollar	-	-	-	30	202	(21)
Canadian Dollar	-	-	-	25	137	(1)

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Year ended March 31, 2023		Year ended March 31, 2022	
	Intrinsic value	Time value	Intrinsic value	Time value
Balance at the beginning of the year	**27**	**(53)**	**56**	**(27)**
(Gain) / loss transferred to profit or loss on occurence of forecasted hedge transactions	(376)	488	(636)	525
Deferred tax on (gain) / loss transferred to profit or loss on occurrence of forecasted hedge transactions	90	(144)	139	(122)
Change in the fair value of effective portion of cash flow hedges	351	(456)	599	(559)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(84)	137	(131)	130
Balance at the end of the year	**8**	**(28)**	**27**	**(53)**

The Company has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at March 31, 2023 and 2022, the notional amount of outstanding contracts aggregated to ₹46,102 crore and ₹46,392 crore, respectively, and the respective fair value of these contracts have a net gain of ₹12 crore and ₹158 crore.

Exchange loss of ₹1,159 crore and gain of ₹645 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone statement of profit and loss for the years ended March 31, 2023 and 2022, respectively.

Net foreign exchange gain / (loss) include loss of ₹112 crore and gain of ₹111 crore transferred from cash flow hedging reserve for the years ended March 31, 2023 and 2022, respectively.

Net loss on derivative instruments of ₹20 crore recognised in cash flow hedging reserve as at March 31, 2023, is expected to be transferred to the statement of profit and loss by March 31, 2024. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2023.

Following table summarises approximate gain / (loss) on the Company's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
10% Appreciation of the underlying foreign currencies	-	(387)
10% Depreciation of the underlying foreign currencies	544	2,034

(m) Financial risk management

The Company is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Company has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Company.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the Company. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Company, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currency of the various operations of the Company against major foreign currencies may impact the Company's revenue in international business.

The Company evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The following analysis has been worked out based on the net exposures of the Company as of the date of balance sheet which could affect the statements of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Company as disclosed in note 6(l).

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2023:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,747	91	436	2,736
Net financial liabilities	(12,419)	(723)	(1,923)	(1,108)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹1,016 crore for the year ended March 31, 2023.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2022:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	515	89	147	1,709
Net financial liabilities	(8,981)	(513)	(1,403)	(1,049)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹949 crore for the year ended March 31, 2022.

- **Interest rate risk**

  The Company's investments are primarily in fixed rate interest bearing investments. Hence, the Company is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Financial instruments that are subject to concentrations of credit risk principally consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Bank deposits include an amount of ₹2,428 crore held with three banks having high credit rating which is individually in excess of 10% or more of the Company's total bank deposits as at March 31, 2023. None of the other financial instruments of the Company result in material concentration of credit risk.

- **Exposure to credit risk**

  The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹90,655 crore and ₹90,388 crore as at March 31, 2023 and 2022, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments excluding equity and preference investments, trade receivables, loans, contract assets and other financial assets.

  The Company's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivable and contract assets as at March 31, 2023 and March 31, 2022.

- **Geographic concentration of credit risk**

  Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2023		As at March 31, 2022	
	Gross%	Net%	Gross%	Net%
United States of America	54.14	55.13	52.43	53.78
India	12.03	10.37	12.73	10.68
United Kingdom	15.48	15.80	16.47	16.84

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit loss on trade receivables for the years ended March 31, 2023 and 2022 was ₹98 crore and ₹96 crore, respectively. The reconciliation of allowance for doubtful trade receivables is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**1,137**	**1,082**
Change during the year	98	96
Bad debts written off	(137)	(39)
Translation Exchange difference	1	(2)
Balance at the end of the year	**1,099**	**1,137**

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

(₹ crore)

March 31, 2023	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	13,768	-	-	-	13,768
Lease liabilities	1,333	1,129	2,430	2,531	7,423
Other financial liabilities	6,828	42	301	9	7,180
	21,929	**1,171**	**2,731**	**2,540**	**28,371**
Derivative financial liabilities	141	-	-	-	141
	22,070	**1,171**	**2,731**	**2,540**	**28,512**

(₹ crore)

March 31, 2022	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	10,082	-	-	-	10,082
Lease liabilities	1,345	1,186	2,460	2,732	7,723
Other financial liabilities	5,721	294	228	5	6,248
	17,148	**1,480**	**2,688**	**2,737**	**24,053**
Derivative financial liabilities	128	-	-	-	128
	17,276	**1,480**	**2,688**	**2,737**	**24,181**

(n) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Authorised		
460,05,00,000 equity shares of ₹1 each	460	460
(March 31, 2022: 460,05,00,000 equity shares of ₹1 each)		
105,02,50,000 preference shares of ₹1 each	105	105
(March 31, 2022: 105,02,50,000 preference shares of ₹1 each)		
	565	**565**
Issued, Subscribed and Fully paid up		
365,90,51,373 equity shares of ₹1 each	366	366
(March 31, 2022: 365,90,51,373 equity shares of ₹1 each)		
	366	**366**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

Notes forming part of Standalone Financial Statements

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share in the previous year. The equity shares bought back were extinguished on March 29, 2022.

I. Reconciliation of number of shares

	As at March 31, 2023		As at March 31, 2022	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**365,90,51,373**	**366**	**369,90,51,373**	**370**
Shares extinguished on buy-back	-	-	(4,00,00,000)	(4)
Closing balance	**365,90,51,373**	**366**	**365,90,51,373**	**366**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding company, its Subsidiaries and Associates

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Equity shares		
Holding company		
264,43,17,117 equity shares (March 31, 2022: 264,43,17,117 equity shares) are held by Tata Sons Private Limited	264	264
Subsidiaries and Associates of Holding company		
7220 equity shares (March 31, 2022: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,14,172 equity shares (March 31, 2022: 10,14,172 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2022: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2022: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	264	**264**

*Equity shares having value less than ₹0.50 crore.

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2023	As at March 31, 2022
Equity shares		
Tata Sons Private Limited, the holding company	264,43,17,117	264,43,17,117
% of shareholding	72.27%	72.27%

V. Equity shares movement during the 5 years preceding March 31, 2023

- **Equity shares issued as bonus**

The Company allotted 191,42,87,591 equity shares as fully paid up bonus shares by capitalisation of profits transferred from retained earnings amounting to ₹86 crore and capital redemption reserve amounting to ₹106 crore in three month period ended June 30, 2018, pursuant to an ordinary resolution passed after taking the consent of shareholders through postal ballot.

- **Equity shares extinguished on buy-back**

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

The Company bought back 7,61,90,476 equity shares for an aggregate amount of ₹16,000 crore being 1.99% of the total paid up equity share capital at ₹2,100 per equity share. The equity shares bought back were extinguished on September 26, 2018.

VI. Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at March 31, 2023 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2023		As at March 31, 2022		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	264,43,17,117	72.27%	264,43,17,117	72.27%	-
Total	**264,43,17,117**	**72.27%**	**264,43,17,117**	**72.27%**	**-**

Disclosure of shareholding of promoters as at March 31, 2022 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2022		As at March 31, 2021		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	264,43,17,117	72.27%	266,91,25,829	72.16%	0.11%
Total	**264,43,17,117**	**72.27%**	**266,91,25,829**	**72.16%**	**0.11%**

7) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Company recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For leases with reasonably similar characteristics, the Company, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Company is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Company applies Ind AS 115 Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Company is as follows:

(₹ crore)

	Additions for the year ended March 31, 2023	Net carrying amount as at March 31, 2023
Leasehold land	179	940
Buildings	799	4,608
Leasehold improvement	-	2
Computer equipment	-	49
Software licences	-	96
Vehicles	-	-*
	978	**5,695**

*Represents value less than ₹0.50 crore.

(₹ crore)

	Additions for the year ended March 31, 2022	Net carrying amount as at March 31, 2022
Leasehold land	100	774
Buildings	779	4,860
Leasehold improvement	-	4
Computer equipment	3	66
Software licences	145	133
Vehicles	-*	-*
	1,027	**5,837**

*Represents value less than ₹0.50 crore.

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Leasehold land	10	9
Buildings	1,034	991
Leasehold improvement	2	3
Computer equipment	16	15
Software licences	37	38
Vehicles	-*	1
	1,099	**1,057**

*Represents value less than ₹0.50 crore.

Interest on lease liabilities is ₹421 crore and ₹451 crore for the years ended March 31, 2023 and 2022, respectively.

The Company incurred ₹211 crore and ₹162 crore for the years ended March 31, 2023 and 2022, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹1,732 crore and ₹1,561 crore for the years ended March 31, 2023 and 2022, respectively, including cash outflow for short term and low value leases.

The Company has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹786 crore and ₹722 crore as at March 31, 2023 and 2022, respectively.

Lease contracts entered by the Company majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Company does not have any lease restrictions and commitment towards variable rent as per the contract.

8) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years
Leasehold improvements	Lease term
Plant and equipment	10 years
Computer equipment	4 years
Vehicles	4 years
Office equipment	2-5 years
Electrical installations	4-10 years
Furniture and fixtures	5 years

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2022	**323**	**7,737**	**1,885**	**752**	**9,925**	**35**	**2,395**	**1,872**	**1,512**	**26,436**
Additions	-	234	48	56	1,291	8	151	63	53	1,904
Disposals	-	(5)	(8)	-	(269)	(3)	(54)	(9)	(12)	(360)
Cost as at March 31, 2023	**323**	**7,966**	**1,925**	**808**	**10,947**	**40**	**2,492**	**1,926**	**1,553**	**27,980**
Accumulated depreciation as at April 1, 2022	**-**	**(3,286)**	**(1,221)**	**(366)**	**(7,061)**	**(33)**	**(2,085)**	**(1,367)**	**(1,348)**	**(16,767)**
Depreciation	-	(393)	(127)	(78)	(1,386)	(4)	(186)	(130)	(81)	(2,385)
Disposals	-	4	8	-	268	3	54	9	12	358
Accumulated depreciation as at March 31, 2023	**-**	**(3,675)**	**(1,340)**	**(444)**	**(8,179)**	**(34)**	**(2,217)**	**(1,488)**	**(1,417)**	**(18,794)**
Net carrying amount as at March 31, 2023	**323**	**4,291**	**585**	**364**	**2,768**	**6**	**275**	**438**	**136**	**9,186**
Capital work-in-progress*										**1,103**
Total										**10,289**

*₹1,904 crore has been capitalised and transferred to property, plant and equipment during the year ended March 31, 2023.

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2021	**323**	**7,688**	**1,817**	**718**	**8,781**	**36**	**2,302**	**1,883**	**1,509**	**25,057**
Additions	-	51	86	35	1,606	-	160	33	41	2,012
Disposals	-	(2)	(18)	(1)	(462)	(1)	(67)	(44)	(38)	(633)
Cost as at March 31, 2022	**323**	**7,737**	**1,885**	**752**	**9,925**	**35**	**2,395**	**1,872**	**1,512**	**26,436**
Accumulated depreciation as at April 1, 2021	**-**	**(2,897)**	**(1,108)**	**(293)**	**(6,349)**	**(31)**	**(2,001)**	**(1,270)**	**(1,287)**	**(15,236)**
Depreciation	-	(391)	(131)	(73)	(1,172)	(3)	(151)	(140)	(99)	(2,160)
Disposals	-	2	18	-	460	1	67	43	38	629
Accumulated depreciation as at March 31, 2022	**-**	**(3,286)**	**(1,221)**	**(366)**	**(7,061)**	**(33)**	**(2,085)**	**(1,367)**	**(1,348)**	**(16,767)**
Net carrying amount as at March 31, 2022	**323**	**4,451**	**664**	**386**	**2,864**	**2**	**310**	**505**	**164**	**9,669**
Capital work-in-progress*										**1,146**
Total										**10,815**

*₹2,012 crore has been capitalised and transferred to property, plant and equipment during the year ended March 31, 2022.

Capital work-in-progress

- **Capital work-in-progress ageing**

  Ageing for capital work-in-progress as at March 31, 2023 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	543	203	37	320	1,103
	543	**203**	**37**	**320**	**1,103**

Ageing for capital work-in-progress as at March 31, 2022 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	639	97	37	373	1,146
	639	**97**	**37**	**373**	**1,146**

- Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling annual plan.

(b) Intangible assets

Intangible assets purchased are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences which are amortised over licence period which equates the economic useful life ranging between 2-5 years on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences
Cost as at April 1, 2022	**1,530**
Additions	247
Disposals / Derecognised	(50)
Cost as at March 31, 2023	**1,727**
Accumulated amortisation as at April 1, 2022	**(512)**
Amortisation	(456)
Disposals / Derecognised	50
Accumulated amortisation as at March 31, 2023	**(918)**
Net carrying amount as at March 31, 2023	**809**

(₹ crore)

	Rights under licensing agreement and software licences
Cost as at April 1, 2021	**580**
Additions	961
Disposals / Derecognised	(11)
Cost as at March 31, 2022	**1,530**
Accumulated amortisation as at April 1, 2021	**(218)**
Amortisation	(305)
Disposals / Derecognised	11
Accumulated amortisation as at March 31, 2022	**(512)**
Net carrying amount as at March 31, 2022	**1,018**

The estimated amortisation for years subsequent to March 31, 2023 is as follows:

(₹ crore)

Year ending March 31,	Amortisation expense
2024	434
2025	259
2026	76
2027	40
	809

(c) Other assets

Other assets consist of the following:

Other assets – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Capital advances	67	75
Advances to related parties	63	23
Contract assets	153	136
Prepaid expenses	1,907	1,197
Contract fulfillment costs	33	81
Others	187	285
	2,410	**1,797**
Advances to related parties, considered good, comprise:		
Voltas Limited	-*	-*
Tata Realty and Infrastructure Ltd	-*	-*
Tata Projects Limited	54	23
Titan Engineering and Automation Limited	-	-*
Saankhya Labs Private Limited	8	-
Universal MEP Projects & Engineering Services Limited	1	-

*Represents value less than ₹0.50 crore.

Other assets – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Considered good		
Advance to suppliers	48	117
Advance to related parties	18	8
Contract assets	4,678	3,334
Prepaid expenses	1,332	2,735
Prepaid rent	4	7
Contract fulfillment costs	531	616
Indirect taxes recoverable	853	1,001
Others	325	214
Considered doubtful		
Advance to suppliers	2	2
Other advances	2	2
Less: Allowance on doubtful assets	(4)	(4)
	7,789	**8,032**
Advance to related parties, considered good comprise:		
Tata Sons Private Limited	7	7
Tata AIG General Insurance Company Limited	1	1
Tata Consultancy Services Deutschland GmbH	7	-
Tata Consultancy Services De Mexico S.A.,De C.V.	2	-
Titan Company Limited	1	-

Non-current – Others includes advance of ₹177 crore and ₹271 crore towards acquiring right-of-use of leasehold land as at March 31, 2023 and 2022, respectively.

Contract fulfillment costs of ₹631 crore and ₹564 crore for the years ended March 31, 2023 and 2022, respectively, have been amortised in the standalone statement of profit and loss. Refer note 10 for the changes in contract asset.

(d) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Company includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Raw materials, sub-assemblies and components	22	16
Finished goods and work-in-progress	5	3
	27	**19**

(e) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Advance received from customers	457	473
Indirect taxes payable and other statutory liabilities	2,429	2,271
Tax liability on buy-back of equity shares	-	4,192
Others	227	97
	3,113	**7,033**

(f) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Provision towards legal claim (Refer note 19)	206	1,249
Provision for foreseeable loss	70	125
Other provisions	3	3
	279	**1,377**

9) Other equity

Other equity consist of the following:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Capital reserve*	**-**	**-**
Capital redemption reserve		
Opening balance	**17**	**13**
Transfer from retained earnings	-	4
	17	**17**
Special Economic Zone re-investment reserve		
Opening balance	**7,287**	**2,538**
Transfer from retained earnings	8,380	9,407
Transfer to retained earnings	(3,858)	(4,658)
	11,809	**7,287**
Retained earnings		
Opening balance	**68,949**	**70,928**
Profit for the year	39,106	38,187
Remeasurement of defined employee benefit plans	42	141
Expenses for buy-back of equity shares	-	(49)
Tax on buy-back of equity shares	-	(4,192)
Buy-back of equity shares	-	(17,996)
Transfer from Special Economic Zone re-investment reserve	3,858	4,658
	1,11,955	**91,677**

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Less: Appropriations		
Dividend on equity shares	41,347	13,317
Transfer to capital redemption reserve	-	4
Transfer to Special Economic Zone re-investment reserve	8,380	9,407
	62,228	**68,949**
Investment revaluation reserve		
Opening balance	**580**	**916**
Change during the year (net)	(442)	(336)
	138	**580**
Cash flow hedging reserve (Refer note 6(l))		
Opening balance	**(26)**	**29**
Change during the year (net)	6	(55)
	(20)	**(26)**
	74,172	**76,807**

*Represents value less than ₹0.50 crore.

10) Revenue recognition

The Company earns revenue primarily from providing IT services, consulting and business solutions. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Company is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Company may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Company is acting as the principal or as an agent of the customer. The Company recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

Notes forming part of Standalone Financial Statements

The Company's contracts with customers could include promises to transfer multiple products and services to a customer. The Company assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Company allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Company exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Company considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Revenue from subsidiaries is recognised based on transaction price which is at arm's length.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Company recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Company disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Consultancy services	1,88,748	1,59,106
Sale of equipment and software licences	1,606	1,235
	1,90,354	**1,60,341**

Revenue disaggregation by industry vertical is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Banking, Financial Services and Insurance	68,240	58,614
Manufacturing	16,905	14,576
Retail and Consumer Business	33,169	26,966
Communication, Media and Technology	33,606	28,778
Life Sciences and Healthcare	22,398	18,341
Others	16,036	13,066
	1,90,354	**1,60,341**

Revenue disaggregation by geography is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Americas		
North America	1,13,208	90,630
Latin America	382	314
Europe		
United Kingdom	30,676	27,595
Continental Europe	19,209	17,595
Asia Pacific	12,017	11,178
India	10,941	9,547
Middle East and Africa	3,921	3,482
	1,90,354	**1,60,341**

Geographical revenue is allocated based on the location of the customers.

Information about major customers

No single customer represents 10% or more of the Company's total revenue during the years ended March 31, 2023 and March 31, 2022.

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially) satisfied performance obligations, along with the broad time band for the expected time to recognise those revenues, the Company has applied the practical expedient in Ind AS 115. Accordingly, the Company has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,13,145 crore out of which 55.41% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**3,470**	**3,051**
Invoices raised that were included in the contract assets balance at the beginning of the year	(2,632)	(2,464)
Increase due to revenue recognised during the year, excluding amounts billed during the year	3,826	2,828
Translation exchange difference	167	55
Balance at the end of the year	**4,831**	**3,470**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Balance at the beginning of the year	**3,573**	**3,161**
Revenue recognised that was included in the contract liability balance at the beginning of the year	(2,643)	(2,311)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	2,589	2,735
Translation exchange difference	85	(12)
Balance at the end of the year	**3,604**	**3,573**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Contracted price	1,93,451	1,62,898
Reductions towards variable consideration components	(3,097)	(2,557)
Revenue recognised	**1,90,354**	**1,60,341**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

11) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest income	3,046	2,555
Dividend income	2,106	3,548
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	205	186
Net gain on sale of investments other than equity shares carried at fair value through OCI	4	-
Net gain on disposal of property, plant and equipment	27	25
Net gain / (loss) on lease modification	(3)	2

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Net gain on sub-lease	7	-
Net foreign exchange gain / (loss)	(173)	1,068
Rent income	22	21
Other income	87	81
	5,328	**7,486**
Interest income comprise:		
Interest on bank balances and bank deposits	173	256
Interest on financial assets carried at amortised cost	574	481
Interest on financial assets carried at fair value through OCI	2,131	1,818
Other interest (including interest on tax refunds)	168	-
Dividend income comprise:		
Dividend from subsidiaries	2,106	3,548

12) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Company provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Company provides benefits such as superannuation and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligation at the balance sheet date using the Projected Unit Credit Method.

Employee benefit expenses consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Salaries, incentives and allowances	87,049	73,115
Contributions to provident and other funds	6,450	5,734
Staff welfare expenses	2,719	2,248
	96,218	**81,097**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Foreign defined benefit plans	28	25
Other employee benefit obligations	67	78
	95	**103**

Employee benefit obligations – Current

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Compensated absences	2,991	2,802
Other employee benefit obligations	31	42
	3,022	**2,844**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, the Company operates a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas branches of the Company also provide for retirement benefit plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	As at March 31, 2023				As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in benefit obligations								
Benefit obligations, beginning of the year	**4,464**	**1**	**25**	**4,490**	**4,313**	**1**	**19**	**4,333**
Translation exchange difference	-	-	2	2	-	-	1	1
Changes due to inter-company transfers	(3)	-	-	(3)	(3)	-	-	(3)
Service cost	512	-	5	517	536	-	5	541
Interest cost	330	-	1	331	296	-	-	296
Remeasurement of the net defined benefit liability	(158)	-	1	(157)	(190)	-	5	(185)
Benefits paid	(502)	-	(6)	(508)	(488)	-	(5)	(493)
Benefit obligations, end of the year	**4,643**	**1**	**28**	**4,672**	**4,464**	**1**	**25**	**4,490**

(₹ crore)

	As at March 31, 2023				As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in plan assets								
Fair value of plan assets, beginning of the year	**5,517**	**1**	**-**	**5,518**	**4,704**	**1**	**-**	**4,705**
Changes due to inter-company transfers	(3)	-	-	(3)	(3)	-	-	(3)
Interest income	424	-	-	424	334	-	-	334
Employers' contributions	1,056	-	-	1,056	975	-	-	975
Benefits paid	(502)	-	-	(502)	(488)	-	-	(488)
Remeasurement- return on plan assets excluding amount included in interest income	(103)	-	-	(103)	(5)	-	-	(5)
Fair value of plan assets, end of the year	**6,389**	**1**	**-**	**6,390**	**5,517**	**1**	**-**	**5,518**

(₹ crore)

	As at March 31, 2023				As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Funded status								
Deficit of plan assets over obligations	-	-	(28)	(28)	-	-	(25)	(25)
Surplus of plan assets over obligations	1,746	-	-	1,746	1,053	-	-	1,053
	1,746	**-**	**(28)**	**1,718**	**1,053**	**-**	**(25)**	**1,028**

(₹ crore)

	As at March 31, 2023				As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Category of assets								
Corporate bonds	1,832	-	-	1,832	1,696	-	-	1,696
Equity instruments	121	-	-	121	66	-	-	66
Government bonds and securities	2,917	-	-	2,917	2,624	-	-	2,624
Insurer managed funds	1,387	1	-	1,388	981	1	-	982
Bank balances	6	-	-	6	5	-	-	5
Others	126	-	-	126	145	-	-	145
	6,389	**1**	**-**	**6,390**	**5,517**	**1**	**-**	**5,518**

Net periodic gratuity cost, included in employee cost consists of the following components:

(₹ crore)

	As at March 31, 2023				As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Service cost	512	-	5	517	536	-	5	541
Net interest on net defined benefit asset	(94)	-	1	(93)	(38)	-	-	(38)
Net periodic gratuity / pension cost	**418**	**-**	**6**	**424**	**498**	**-**	**5**	**503**
Actual return on plan assets	**321**	**-**	**-**	**321**	**329**	**-**	**-**	**329**

Remeasurement of the net defined benefit (asset) / liability:

(₹ crore)

	As at March 31, 2023			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial losses arising from changes in demographic assumptions	30	-	1	31
Actuarial gains arising from changes in financial assumptions	(164)	-	(3)	(167)
Actuarial (gains) and losses arising from changes in experience adjustments	(24)	-	3	(21)
Remeasurement of the net defined benefit liability	**(158)**	**-**	**1**	**(157)**
Remeasurement- return on plan assets excluding amount included in interest income	103	-	-	103
	(55)	**-**	**1**	**(54)**

(₹ crore)

	As at March 31, 2022			
	Domestic plans Funded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) and losses arising from changes in demographic assumptions	(20)	-	2	(18)
Actuarial gains arising from changes in financial assumptions	(165)	-	(1)	(166)
Actuarial (gains) and losses arising from changes in experience adjustments	(5)	-	4	(1)
Remeasurement of the net defined benefit liability	**(190)**	**-**	**5**	**(185)**
Remeasurement- return on plan assets excluding amount included in interest income	5	-	-	5
	(185)	**-**	**5**	**(180)**

The assumptions used in accounting for the defined benefit plan are set out below:

	As at March 31, 2023		As at March 31, 2022	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	7.50%	3.90%-4.80%	7.00%	1.50%-2.70%
Rate of increase in compensation levels of covered employees	6.00%	1.95%-3.62%	6.00%	2.24%-3.80%
Rate of return on plan assets	7.50%	3.90%-4.80%	7.00%	1.50%-2.70%
Weighted average duration of defined benefit obligations	7 Years	3-8 Years	8 years	3-6.4 years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure the Company's defined benefit plan obligations as at March 31, 2023. The Company does not expect to contribute to defined benefit plan obligations funds for year ending March 31, 2024 in view of adequate surplus plan assets as at March 31, 2023.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Increase of 0.50%	(121)	(159)
Decrease of 0.50%	127	170

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2023	As at March 31, 2022
Increase of 0.50%	129	171
Decrease of 0.50%	(123)	(161)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

Each year an Asset- Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the year ended March 31, 2023 as follows:

(₹ crore)

Year ending March 31,	**Defined benefit obligations**
2024	636
2025	556
2026	534
2027	523
2028	508
2029-2033	2,106

Provident fund

In accordance with Indian law, all eligible employees of the Company in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss under employee benefit expenses. In accordance with an actuarial valuation of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

The details of fund and plan assets are given below:

(₹ crore)

	As at March 31, 2023	**As at March 31, 2022**
Fair value of plan assets	25,511	22,814
Present value of defined benefit obligations	(25,511)	(22,814)
Net excess / (shortfall)	**-**	**-**

The plan assets have been primarily invested in Government securities and corporate bonds.

The principal assumptions used in determining the present value obligation of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2023	**As at March 31, 2022**
Discount rate	7.50%	7.00%
Average remaining tenure of investment portfolio	7 Years	8 years
Guaranteed rate of return	8.15%	8.10%

The Company expensed ₹1,614 crore and ₹1,372 crore for the years ended March 31, 2023 and 2022, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Company makes monthly contributions until retirement or resignation of the employee. The Company recognises such contributions as an expense when incurred. The Company has no further obligation beyond its monthly contribution.

The Company expensed ₹278 crore and ₹271 crore for the years ended March 31, 2023 and 2022, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plan

The Company expensed ₹1,070 crore and ₹885 crore for the years ended March 31, 2023 and 2022, respectively, towards foreign defined contribution plans.

13) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Company are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for doubtful trade receivables and advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Raw materials, sub-assemblies and components consumed	37	29
Equipment and software licences purchased	1,381	984
	1,418	**1,013**
Finished goods and work-in-progress		
Opening stock	3	-*
Less: Closing stock	5	3
	(2)	**(3)**
	1,416	**1,010**

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Fees to external consultants	25,539	19,338
Facility expenses	2,178	1,707
Travel expenses	2,100	1,361
Communication expenses	1,588	1,303
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	110	107
Other expenses	10,208	8,173
	41,723	**31,989**

Other expenses include ₹4,777 crore and ₹3,733 crore for the years ended March 31, 2023 and 2022, respectively, towards sales, marketing and advertisement expenses and ₹2,544 crore and ₹1,708 crore for the years ended March 31, 2023 and 2022, respectively, towards project expenses.

(c) Corporate Social Responsibility (CSR) expenditure

(₹ crore)

		Year ended March 31, 2023	Year ended March 31, 2022
1	Amount required to be spent by the company during the year	773	716
2	Amount of expenditure incurred on:		
	(i) Construction/acquisition of any asset	-	-
	(ii) On purposes other than (i) above	783	727
3	Shortfall at the end of the year	-	-
4	Total of previous years shortfall	-	-
5	Reason for shortfall	NA	NA
6	Nature of CSR activities	Disaster Relief, Education, Skilling, Employment, Entrepreneurship, Health, Wellness and Water, Sanitation and Hygiene, Heritage	
7	Details of related party transactions in relation to CSR expenditure as per relevant Accounting Standard:		
	Contribution to TCS Foundation in relation to CSR expenditure	543	680

14) Finance costs

Finance costs consist of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest on lease liabilities	421	451
Interest on tax matters	49	7
Other interest costs	225	28
	695	**486**

15) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company having its branches in India and overseas where it operates. The current tax payable by the Company in India is Indian income tax payable on income after taking credit for tax relief available for export operations in Special Economic Zones (SEZs).

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction.

Notes forming part of Standalone Financial Statements

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

For operations carried out in SEZs, deferred tax assets or liabilities, if any, have been established for the tax consequences of those temporary differences between the carrying values of assets and liabilities and their respective tax bases that reverse after the tax holiday ends.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Deferred tax assets include Minimum Alternate Tax (MAT) paid in accordance with the tax laws in India, to the extent it would be available for set off against future current income tax liability. Accordingly, MAT is recognised as deferred tax asset in the balance sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised.

The income tax expense consists of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Current tax		
Current tax expense for current year	13,623	12,912
Current tax benefit pertaining to prior years	(677)	(981)
	12,946	**11,931**
Deferred tax		
Deferred tax benefit for current year	(362)	(395)
Deferred tax benefit pertaining to prior years	-	-
	(362)	**(395)**
	12,584	**11,536**

The reconciliation of estimated income tax expense at statutory income tax rate to income tax expense reported in statement of profit and loss is as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Profit before taxes	51,690	49,723
Indian statutory income tax rate	34.94%	34.94%
Expected income tax expense	18,063	17,375
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Tax holidays	(5,097)	(4,604)
Income exempt from tax	(736)	(1,240)
Undistributed earnings in branches	58	(232)
Tax on income at different rates	963	1,107
Tax pertaining to prior years	(677)	(981)
Others (net)	10	111
Total income tax expense	**12,584**	**11,536**

The Company benefits from the tax holiday available for units set up under the Special Economic Zone Act, 2005. These tax holidays are available for a period of fifteen years from the date of commencement of operations. Under the SEZ scheme, the unit which begins providing services on or after April 1, 2005 will be eligible for deductions of 100% of profits or gains derived from export of services for the first five years, 50% of such profit or gains for a further period of five years and 50% of such profits or gains for the balance period of five years subject to fulfillment of certain conditions. From April 1, 2011 profits from units set up under SEZ scheme are subject to Minimum Alternate Tax (MAT).

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2023 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Adjustments / utilisation	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	374	223	-	-	597
Provision for employee benefit obligations	733	53	-	-	786
Cash flow hedges	8	-	(1)	-	7
Receivables, financial assets at amortised cost	372	31	-	-	403
MAT credit entitlement	974	-	-	(974)	-
Branch profit tax	(77)	(58)	-	-	(135)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(320)	-	237	-	(83)
Lease liabilities	181	7	-	-	188
Others	405	106	-	-	511
	2,650	**362**	**236**	**(974)**	**2,274**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2023	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	651	54	597
Provision for employee benefit obligations	786	-	786
Cash flow hedges	7	-	7
Receivables, financial assets at amortised cost	403	-	403
Branch profit tax	-	135	(135)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(83)	-	(83)
Lease liabilities	188	-	188
Others	512	1	511
	2,464	**190**	**2,274**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2022 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Adjustments / utilisation	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	290	84	-	-	374
Provision for employee benefit obligations	639	94	-	-	733
Cash flow hedges	(8)	-	16	-	8
Receivables, financial assets at amortised cost	336	36	-	-	372
MAT credit entitlement	1,710	-	-	(736)	974
Branch profit tax	(310)	233	-	-	(77)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(500)	-	180	-	(320)
Lease liabilities	210	(29)	-	-	181
Others	428	(23)	-	-	405
	2,795	**395**	**196**	**(736)**	**2,650**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2022	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	426	52	374
Provision for employee benefit obligations	733	-	733
Cash flow hedges	8	-	8
Receivables, financial assets at amortised cost	372	-	372
MAT credit entitlement	974	-	974
Branch profit tax	-	77	(77)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(320)	-	(320)
Lease liabilities	181	-	181
Others	405	-	405
	2,779	**129**	**2,650**

Under the Income-tax Act, 1961, the Company is liable to pay Minimum Alternate Tax in the tax holiday period. MAT paid can be carried forward for a period of 15 years and can be set off against the future tax liabilities. MAT is recognised as a deferred tax asset only when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised.

Direct tax contingencies

The Company has ongoing disputes with income tax authorities in India and in some of the other jurisdictions where it operates. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. The Company has recognised contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions of ₹1,471 crore and ₹1,616 crore as at March 31, 2023 and 2022, respectively. These demand orders are being contested by the Company based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2023 and 2022, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Company periodically receives notices and inquiries from income tax authorities related to the Company's operations in the jurisdictions it operates in. The Company has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2020 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2019 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2019 and earlier.

16) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Year ended March 31, 2023	Year ended March 31, 2022
Profit for the year (₹ crore)	39,106	38,187
Weighted average number of equity shares	365,90,51,373	369,88,32,195
Basic and diluted earnings per share (₹)	106.88	103.24
Face value per equity share (₹)	1	1

17) Auditor's remuneration

Auditor's remuneration consists of the following:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Auditor	11	9
For taxation matters	1	1
For other services	4	4
For reimbursement of expenses	1	1

18) Segment information

The Company publishes the standalone financial statements of the Company along with the consolidated financial statements. In accordance with Ind AS 108, Operating Segments, the Company has disclosed the segment information in the consolidated financial statements.

19) Commitments and contingencies

Capital commitments

The Company has contractually committed (net of advances) ₹1,454 crore and ₹1,315 crore as at March 31, 2023 and 2022, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

  Refer note 15.

- **Indirect tax matters**

  The Company has ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company has demands amounting to ₹498 crore and ₹500 crore as at March 31, 2023 and 2022, respectively, from various indirect tax authorities which are being contested by the Company based on the management evaluation and advice of tax consultants.

- **Other claims**

  Claims aggregating ₹218 crore and ₹235 crore as at March 31, 2023 and 2022, respectively, against the Company have not been acknowledged as debts.

  In addition to above, in October 2014, Epic Systems Corporation (referred to as Epic) filed a legal claim against the Company in the Court of Western District Madison, Wisconsin alleging unauthorised access to and download of their confidential information and use thereof in the development of the Company's product MedMantra.

  In April 2016, the Company received an unfavourable jury verdict awarding damages of ₹7,730 crore (US $940 million) to Epic which was thereafter reduced by the Trial Court to ₹3,454 crore (US $420 million). Pursuant to reaffirmation of the District Court Order in March 2019, the Company filed an appeal in the Appeals Court to fully set aside the Order. Epic also filed a cross appeal challenging the reduction by the District Court judge of ₹822 crore (US $100 million) award and ₹1,645 crore (US $200 million) in punitive damages.

  On August 20, 2020, the Appeals Court (a) vacated the award of ₹2,303 crore (US $280 million) in punitive damages considering the award to be constitutionally excessive and remanded the case back to District Court with instructions to reassess and reduce the punitive damages award to at most ₹1,151 crore (US $140 million), (b) affirmed the District Court's decision vacating the jury's award of ₹822 crore (US $100 million) in compensatory damages for alleged use of "other confidential information" by the Company, and, (c) affirmed the District Court's decision upholding the jury's award of ₹1,151 crore (US $140 million) in compensatory damages for use of the comparative analysis by the Company. Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided ₹1,218 crore (US $165 million) towards this legal claim in its statement of profit and loss for three month period ended September 30, 2020. This was presented as an "exceptional item" in the standalone statement of profit and loss. On April 8, 2021, Epic approached the Supreme Court seeking review of the Order of the Appeals Court which was denied by the Supreme Court on March 21, 2022.

  On April 21, 2022, Epic invoked payment of ₹1,151 crore (US $140 million) out of ₹3,618 crore (US $440 million) Letter of Credit provided as security, towards compensatory damages awarded by the District Court and confirmed by the Appeals Court, already provided for in the earlier years.

  On July 1, 2022, the District Court passed an Order affirming the punitive damages at ₹1,151 crore (US $140 million). The Company has filed an appeal on November 16, 2022, in the Appeals Court to reduce the punitive damages awarded by the District Court, which is pending.

  Pursuant to encashment of the Letter of Credit towards compensatory damages, the value of Letter of Credit made available to Epic stands reduced to ₹1,250 crore (US $152 million).

- **Guarantees and letter of comfort**

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

  The Company has provided guarantees to third parties on behalf of its subsidiaries. The Company does not expect any outflow of resources in respect of the above.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

20) Related party transactions

The Company's principal related parties consist of its holding company, Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Company's material related party transactions and outstanding balances are with related parties with whom the Company routinely enter into transactions in the ordinary course of business. Refer note 21 of consolidated financial statement for list of subsidiaries of the Company.

Transactions with related parties are as follows:

(₹ crore)

	Year ended March 31, 2023					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	38	23,753	1,152	2,506	-	27,449
Dividend income	-	2,106	-	-	-	2,106
Rent income	-	33	-	-	-	33
Other income	-	36	-	-	-	36
Purchases of goods and services (including reimbursements)	-	15,069	564	226	-	15,859
Brand equity contribution	99	-	-	-	-	99
Facility expenses	1	109	23	59	-	192
Lease rental	-	-	56	47	-	103
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	-	(1)	1	-	-
Contribution and advance to post employment benefit plans	-	-	-	-	2,955	2,955
Purchase of property, plant and equipment	-	1	13	137	-	151
Advances given	-	-	1	45	-	46
Advances recovered	-	-	1	15	-	16
Advances taken	-	2	25	5	-	32
Dividend paid	29,881	-	16	6	-	29,903
Guarantees given	-	237	-	-	-	237
Cost recovery	-	3,591	-	-	-	3,591
Transfer out of employee benefit obligations	-	6	-	-	-	6
Transfer in of employee benefit obligations	-	1	-	-	-	1

(₹ crore)

	Year ended March 31, 2022					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	40	21,358	770	2,233	-	24,401
Dividend income	-	3,548	-	-	-	3,548
Rent income	-	26	-	-	-	26
Other income	-	44	-	-	-	44
Purchases of goods and services (including reimbursements)	-	11,045	534	159	-	11,738
Brand equity contribution	100	-	-	-	-	100
Facility expenses	1	101	19	45	-	166
Lease rental	-	-	73	24	-	97

Notes forming part of Standalone Financial Statements

(₹ crore)

	Year ended March 31, 2022					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	-	(3)	1	-	(2)
Contribution and advance to post employment benefit plans	-	-	-	-	2,322	2,322
Purchase of property, plant and equipment	-	-	15	147	-	162
Advances given	-	2	3	6	-	11
Advances recovered	-	1	3	17	-	21
Advances taken	-	158	-	1	-	159
Dividend paid	9,609	-	5	2	-	9,616
Guarantees given	-	29	-	-	-	29
Buy-back of shares	11,164	-	4	6	-	11,174
Cost recovery	-	2,799	-	-	-	2,799
Sale of property, plant and equipment	-	1	-	-	-	1

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2023					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	2	7,279	429	794	-	8,504
Loans, other financial assets and other assets	10	458	95	85	-	648
	12	**7,737**	**524**	**879**	**-**	**9,152**

(₹ crore)

	As at March 31, 2022					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	11	6,704	242	673	-	7,630
Loans, other financial assets and other assets	10	157	52	30	-	249
	21	**6,861**	**294**	**703**	**-**	**7,879**

Notes forming part of Standalone Financial Statements

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2023					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	90	6,771	364	314	278	7,817
Commitments and guarantees	-	4,427	12	50	-	4,489

(₹ crore)

	As at March 31, 2022					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	92	5,067	499	111	-	5,769
Commitments and guarantees	-	4,610	37	201	-	4,848

Material related party transactions are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Revenue from operations		
Tata Consultancy Services Deutschland GmbH	3,221	3,038
Tata Consultancy Services Netherlands BV	3,402	3,006
Tata Consultancy Services Canada Inc.	3,544	2,804
Tata Consultancy Services Switzerland Ltd.	2,699	2,285
Tata Consultancy Services Sverige AB	2,274	2,172
Jaguar Land Rover Limited	1,706	1,500
Tata Digital Private Limited	502	269
Purchases of goods and services (including reimbursements) and net of cost recovery		
Tata America International Corporation	3,824	3,156
Tata Consultancy Services De Mexico S.A., De C.V.	2,946	2,130
TCS Foundation	542	679
Tata Consultancy Services Canada Inc.	1,280	495
Dividend income		
Tata America International Corporation	643	707
TCS Iberoamerica SA	190	682
Tata Consultancy Services Canada Inc.	304	649
Tata Consultancy Services Netherlands BV	211	646

Material related party balances are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Trade receivables and contract assets		
Tata America International Corporation	1,366	1,291
Tata Consultancy Services France	1,227	1,063
Diligenta Limited	463	745
Tata Consultancy Services Netherlands BV	634	594
Tata Consultancy Services Asia Pacific Pte Ltd.	474	345
Tata Consultancy Services Sverige AB	185	88
Jaguar Land Rover Limited	482	379
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tata America International Corporation	2,688	2,044
Tata Consultancy Services De Mexico S.A., De C.V.	933	433

Transactions with key management personnel are as follows:

(₹ crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Short-term benefits	58	53
Dividend paid during the year	2	1
	60	**54**

The remuneration of directors and key executives is determined by the remuneration committee having regard to the performance of individuals and market trends.

The above figures do not include provisions for encashable leave, gratuity and premium paid for group health insurance, as separate actuarial valuation / premium paid are not available.

21) No funds have been advanced / loaned / invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Company to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

No funds have been received by the Company from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Company shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

22) The sitting fees and commission paid to non-executive directors is ₹13 crore and ₹12 crore as at March 31, 2023 and 2022, respectively.

23) The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the company towards Provident Fund and Gratuity. The Ministry of Labour and Employment had released draft rules for the Code on Social Security, 2020 on November 13, 2020. The Company will assess the impact and its evaluation once the subject rules are notified. The Company will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

Notes forming part of Standalone Financial Statements

24) Additional Regulatory Information

- **Ratios**

Ratio	Numerator	Denominator	Current year	Previous year
Current ratio (in times)	Total current assets	Total current liabilities	2.4	2.5
Debt-Equity ratio (in times)	Debt consists of borrowings and lease liabilities.	Total equity	0.1	0.1
Debt service coverage ratio (in times)	Earning for Debt Service = Net Profit after taxes + Non-cash operating expenses + Interest + Other non-cash adjustments	Debt service = Interest and lease payments + Principal repayments	23.4	23.2
Return on equity ratio (in %)	Profit for the year less Preference dividend (if any)	Average total equity	51.6%	50.3%
Trade receivables turnover ratio (in times)	Revenue from operations	Average trade receivables	4.8	4.8
Trade payables turnover ratio (in times)	Cost of equipment and software licences + Other expenses	Average trade payables	3.6	3.7
Net capital turnover ratio (in times)	Revenue from operations	Average working capital (i.e. Total current assets less Total current liabilities)	3.5	2.9
Net profit ratio (in %)	Profit for the year	Revenue from operations	20.5%	23.8%
Return on capital employed (in %)	Profit before tax and finance costs	Capital employed = Net worth + Lease liabilities + Deferred tax liabilities	65.2%	60.4%
Return on investment (in %)	Income generated from invested funds	Average invested funds in treasury investments	7.4%	6.1%

25) Dividend

Dividends paid during the year ended March 31, 2023 include an amount of ₹22.00 per equity share towards final dividend for the year ended March 31, 2022 and an amount of ₹91.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2023. Dividends paid during the year ended March 31, 2022 include an amount of ₹15.00 per equity share towards final dividend for the year ended March 31, 2021 and an amount of ₹21.00 per equity share towards interim dividends for the year ended March 31, 2022.

Dividends declared by the Company are based on the profit available for distribution. On April 12, 2023, the Board of Directors of the Company have proposed a final dividend of ₹24.00 per share in respect of the year ended March 31, 2023 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in a cash outflow of approximately ₹8,782 crore.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Amit Somani
Partner
Membership No: 060154

Mumbai, April 12, 2023

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Statement pursuant to first proviso to sub-section (3) of section 129 of the Companies Act 2013,read with rule 5 of Companies (Accounts) Rules, 2014 in the prescribed Form AOC-1 relating to subsidiary companies

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
							₹ crore											
1	APTOnline Limited	August 9, 2004	April 1, 2022	March 31, 2023	INR	1.000000	2	114	179	63	25	134	22	6	16	-	89%	India
2	MP Online Limited	September 8, 2006	April 1, 2022	March 31, 2023	INR	1.000000	1	126	181	54	47	92	35	9	26	-	89%	India
3	C-Edge Technologies Limited	January 19, 2006	April 1, 2022	March 31, 2023	INR	1.000000	10	351	441	80	-	356	115	29	86	-	51%	India
4	MahaOnline Limited	September 23, 2010	April 1, 2022	March 31, 2023	INR	1.000000	3	83	149	63	33	1	9	2	7	-	74%	India
5	TCS e-Serve International Limited	December 31, 2008	April 1, 2022	March 31, 2023	INR	1.000000	10	239	1,087	838	155	2,046	128	35	93	-	100%	India
6	Diligenta Limited	August 23, 2005	January 1, 2022	December 31, 2022	GBP	101.647598	10	1,515	2,838	1,313	391	4,258	153	23	130	-	100%	U.K.
7	Tata Consultancy Services Canada Inc.	October 1, 2009	April 1, 2022	March 31, 2023	CAD	60.661331	43	1,324	3,241	1,874	-	10,217	1,133	299	834	-	100%	Canada
8	Tata America International Corporation	August 9, 2004	April 1, 2022	March 31, 2023	USD	82.232500	2	1,640	5,000	3,358	412	5,017	1,314	337	977	-	100%	U.S.A.
9	Tata Consultancy Services Asia Pacific Pte Ltd.	August 9, 2004	April 1, 2022	March 31, 2023	USD	82.232500	36	975	2,099	1,088	916	2,798	321	38	283	-	100%	Singapore
10	Tata Consultancy Services (China) Co., Ltd.	November 16, 2006	January 1, 2022	December 31, 2022	CNY	11.965790	242	67	468	159	41	1,050	73	24	49	-	100%	China
11	Tata Consultancy Services Japan, Ltd.	July 1, 2014	April 1, 2022	March 31, 2023	JPY	0.616829	267	1,410	2,996	1,319	-	5,260	488	154	334	-	66%	Japan
12	Tata Consultancy Services Malaysia Sdn Bhd	August 9, 2004	April 1, 2022	March 31, 2023	MYR	18.634149	4	65	272	203	-	518	28	11	17	-	100%	Malaysia

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
							₹ crore											
13	PT Tata Consultancy Services Indonesia	October 5, 2006	April 1, 2022	March 31, 2023	IDR	0.005484	1	30	100	69	-	105	21	6	15	-	100%	Indonesia
14	Tata Consultancy Services (Philippines) Inc.	September 19, 2008	April 1, 2022	March 31, 2023	PHP	1.512530	(42)	169	542	415	-	991	94	10	84	-	100%	Philippines
15	Tata Consultancy Services (Thailand) Limited	May 12, 2008	April 1, 2022	March 31, 2023	THB	2.405866	2	4	40	34	-	90	1	-	1	-	100%	Thailand
16	Tata Consultancy Services Belgium	August 9, 2004	April 1, 2022	March 31, 2023	EUR	89.444305	2	463	998	533	-	2,626	140	37	103	-	100%	Belgium
17	Tata Consultancy Services Deutschland GmbH	August 9, 2004	April 1, 2022	March 31, 2023	EUR	89.444305	1	803	2,309	1,505	-	6,812	415	132	283	-	100%	Germany
18	Tata Consultancy Services Sverige AB	August 9, 2004	April 1, 2022	March 31, 2023	SEK	7.933748	-	906	1,528	622	-	4,258	258	55	203	-	100%	Sweden
19	Tata Consultancy Services Netherlands BV	August 9, 2004	April 1, 2022	March 31, 2023	EUR	89.444305	590	2,490	5,030	1,950	1,744	7,625	611	104	507	-	100%	Netherlands
20	Tata Consultancy Services Italia s.r.l.	August 9, 2004	April 1, 2022	March 31, 2023	EUR	89.444305	20	58	211	133	-	400	9	9	-	-	100%	Italy
21	Tata Consultancy Services Luxembourg S.A.	October 28, 2005	April 1, 2022	March 31, 2023	EUR	89.444305	50	68	313	195	-	798	80	23	57	-	100%	Capellen (G.D. de Luxembourg)
22	Tata Consultancy Services Switzerland Ltd.	October 31, 2006	April 1, 2022	March 31, 2023	CHF	89.881408	13	831	1,757	913	-	4,708	272	51	221	-	100%	Switzerland

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
							₹ crore											
23	Tata Consultancy Services Osterreich GmbH	March 9, 2012	April 1, 2022	March 31, 2023	EUR	89.444305	-	4	65	61	-	78	-	-	-	-	100%	Austria
24	Tata Consultancy Services Danmark ApS	March 16, 2012	April 1, 2022	March 31, 2023	DKK	12.007023	-	-	-	-	-	(2)	(5)	-	(5)	-	0%	Denmark
25	Tata Consultancy Services De Espana S.A.	August 9, 2004	April 1, 2022	March 31, 2023	EUR	89.444305	1	120	244	123	-	567	53	6	47	-	100%	Spain
26	Tata Consultancy Services (Portugal) Unipessoal, Limitada	July 4, 2005	April 1, 2022	March 31, 2023	EUR	89.444305	-	35	73	38	-	107	26	5	21	-	100%	Portugal
27	Tata Consultancy Services France	June 28, 2013	April 1, 2022	March 31, 2023	EUR	89.444305	4	(371)	1,674	2,041	-	2,849	34	8	26	-	100%	France
28	Tata Consultancy Services Saudi Arabia	July 2, 2015	January 1, 2022	December 31, 2022	SAR	21.907052	8	126	290	156	-	597	14	3	11	-	100%	Saudi Arabia
29	Tata Consultancy Services (Africa) (PTY) Ltd.	October 23, 2007	January 1, 2022	December 31, 2022	ZAR	4.616432	6	43	49	-	49	-	26	-	26	-	100%	South Africa
30	Tata Consultancy Services (South Africa) (PTY) Ltd.	October 31, 2007	January 1, 2022	December 31, 2022	ZAR	4.616432	8	85	498	405	-	994	52	15	37	-	100%	South Africa
31	TCS FNS Pty Limited	October 17, 2005	April 1, 2022	March 31, 2023	AUD	54.914864	205	(62)	143	-	2	-	44	-	44	-	100%	Australia
32	TCS Financial Solutions Beijing Co., Ltd.	December 29, 2006	January 1, 2022	December 31, 2022	CNY	11.965790	44	(7)	52	15	-	55	(3)	-	(3)	-	100%	China
33	TCS Financial Solutions Australia Pty Limited	October 19, 2005	April 1, 2022	March 31, 2023	AUD	54.914864	-	74	121	47	-	60	49	16	33	-	100%	Australia

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
							₹ crore											
34	TCS Iberoamerica SA	August 9, 2004	January 1, 2022	December 31, 2022	USD	82.232500	809	997	1,806	-	1,787	-	188	7	181	-	100%	Uruguay
35	TCS Solution Center S.A.	August 9, 2004	January 1, 2022	December 31, 2022	UYU	2.120487	76	253	481	152	-	893	159	40	119	-	100%	Uruguay
36	Tata Consultancy Services Argentina S.A.	August 9, 2004	January 1, 2022	December 31, 2022	ARS	0.394254	2	3	43	38	-	43	3	-	3	-	100%	Argentina
37	Tata Consultancy Services Do Brasil Ltda	August 9, 2004	January 1, 2022	December 31, 2022	BRL	16.140477	284	122	724	318	-	1,495	142	53	89	-	100%	Brazil
38	Tata Consultancy Services De Mexico S.A., De C.V.	August 9, 2004	January 1, 2022	December 31, 2022	MXN	4.544387	1	1,149	2,275	1,125	-	4,697	597	182	415	-	100%	Mexico
39	Tata Consultancy Services Chile S.A.	August 9, 2004	January 1, 2022	December 31, 2022	CLP	0.104115	177	251	611	183	58	851	106	14	92	-	100%	Chile
40	TCS Inversiones Chile Limitada	August 9, 2004	January 1, 2022	December 31, 2022	CLP	0.104115	159	185	362	18	334	36	87	2	85	-	100%	Chile
41	TATASOLUTION CENTER S.A.	December 28, 2006	January 1, 2022	December 31, 2022	USD	82.232500	25	95	252	132	-	459	65	15	50	-	100%	Ecuador
42	TCS Uruguay S.A.	January 1, 2010	January 1, 2022	December 31, 2022	UYU	2.120487	-	240	401	161	75	731	109	4	105	-	100%	Uruguay
43	MGDC S.C.	January 1, 2010	January 1, 2022	December 31, 2022	MXN	4.544387	77	(18)	90	31	-	68	3	(5)	8	-	100%	Mexico
44	Tata Consultancy Services Qatar L.L.C.	December 20, 2011	January 1, 2022	December 31, 2022	QAR	22.580800	5	30	55	20	-	42	(2)	-	(2)	-	100%	Qatar
45	Tata Consultancy Services UK Limited	October 31, 2018	January 1, 2022	December 31, 2022	GBP	101.647598	-	29	29	-	-	-	-	(1)	1	-	100%	U.K.
46	TCS Business Services GmbH	March 9, 2020	April 1, 2022	March 31, 2023	EUR	89.444305	-	76	156	80	56	138	5	2	3	-	100%	Germany
47	Tata Consultancy Services Ireland Limited	December 02, 2020	January 1, 2022	December 31, 2022	EUR	89.444305	224	105	529	200	-	1,315	78	9	69	-	100%	Ireland

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
							₹ crore											
48	TCS Technology Solutions AG	January 01, 2021	January 1, 2022	December 31, 2022	EUR	89.444305	29	687	1,767	1,051	-	1,907	385	70	315	-	100%	Germany
49	Saudi Desert Rose Holding B.V.	May 26,2021	January 1, 2022	December 31, 2022	EUR	89.444305	-	2	2	-	-	-	-	-	-	-	100%	Netherlands
50	Tata Consultancy Services Bulgaria EOOD	August 31, 2021	January 1, 2022	December 31, 2022	BGN	45.763537	-	26	62	36	-	72	19	2	17	-	100%	Bulgaria
51	Tata Consultancy Services Guatemala, S.A.	September 01, 2021	January 1, 2022	December 31, 2022	GTQ	10.543439	8	12	46	26	-	59	10	3	7	-	100%	Guatemala
52	TCS Foundation	March 25, 2015	April 1, 2022	March 31, 2023	INR	1.000000	1	1,305	1,857	551	33	-	(100)	61	(161)	-	100%	India

Notes:

1. Indian rupee equivalents of the figures given in foreign currencies in the accounts of the subsidiary companies, are based on the exchange rates as on March 31, 2023.
2. On May 18, 2022, Tata Consultancy Services Asia Pacific Pte Ltd. acquired additional 6.8% ownership interest in Tata Consultancy Services (China) Co., Ltd. for a purchase consideration of ₹25 crore thereby making it a wholly owned subsidiary.
3. Tata Consultancy Services Danmark ApS liquidated w.e.f. July 27, 2022.

For and on behalf of the Board

Rajesh Gopinathan
CEO and Managing Director

N Ganapathy Subramaniam
COO and Executive Director

Samir Seksaria
CFO

Pradeep Manohar Gaitonde
Company Secretary

Mumbai, April 12, 2023

Glossary

5G	Fifth generation wireless technology for digital cellular networks. 5G is expected to be much faster and enable much higher volumes of data sharing than earlier generations of cellular networks. Its massive capacity and ultra-low latency are expected to usher in an era of hyper-connectivity, enabling newer use cases such as autonomous cars, and accelerating the adoption of IoT.
ADM	See Application Development and Maintenance
Agile	A collaborative approach for IT and business teams to develop software incrementally and faster. TCS has pioneered the Location Independent Agile™ model that allows for deployment at scale, and helps globally distributed organization execute large transformational programs quickly, while ensuring stability and quality.
AgilityDebt™	AgilityDebt™ is a simple index developed by TCS, which uniquely indicates the burden carried by an organization that restricts its Agility. The index is arrived at based on a holistic Agile maturity assessment framework that measures the gap against required Agile talent, roles, team composition, delivery practices, Agile culture, Agile technology and DevOps enablers. TCS uses AgilityDebt™ to assess where the customer's teams are in the Agile journey, find the bottlenecks, and accelerate their Agile transformations.
Agile Workspaces	These are key enablers of TCS' Location Independent Agile model, and represent the next generation work environment that facilitate greater collaboration among teams. It is characterized by partition-less open offices, informal seating, interactive surfaces for information capture, and modern collaboration devices for increased productivity.
AI	See Artificial Intelligence
Algo Retail™	TCS' proprietary approach and suite of intellectual property that enables retailers to seamlessly integrate and orchestrate data flows across the retail value chain, harnessing the power of analytics, AI and machine learning in the areas of personalization, pricing optimization, marketing, online search and commerce to unlock exponential business value.
Amortization	Systematic allocation of the depreciable amount of an intangible asset over its useful life.
Analytics	In the enterprise context, this is the discovery, interpretation, and communication of meaningful patterns in business data to predict and improve business performance.
Annuity Contracts	A long-term contract which can guarantee regular payments.
APAC	Acronym for Asia Pacific
API	See Application Programming Interface

APIfication	The process of exposing a discrete business function or data within an enterprise's systems through APIs.
Application Development and Maintenance	Design, development, and deployment of custom software; ongoing support, upkeep, and enhancement of such software over its lifetime.
Application Programming Interface	A set of easily accessible protocols for communication among various software components.
AR	See Augmented Reality
Artificial Intelligence	Technology that emulates human performance by learning, coming to its own conclusions, understanding complex content, engaging in natural dialogs with people, augmenting human effort or replacing people on execution of non-routine tasks. Also known as Cognitive Computing.
ASEAN	Acronym for Association of Southeast Asian Nations
Assets Under Custody	A measure of the total assets for which a financial institution, typically a custodian bank, provides custodian services.
Attrition	Measures what portion of the workforce left the organization (voluntarily and involuntarily) over the last 12 months (LTM). Attrition (LTM) = Total number of departures in the LTM / closing headcount
AUC	See Assets Under Custody
Augmented Reality	Technology that superimposes a computer-generated image on a user's view of the real world to enrich the interaction.
Automation	The execution of work by machines in accordance with rules that have either been explicitly coded by a human or 'learned' by the machine through pattern recognition of data. Popular types include Robotic Process Automation and Cognitive Automation.
Avatar	An avatar is a digital representation of yourself, whether it's in a video game, the metaverse, or wherever else it might be applicable.
Basis Point	One hundredth of a percentage point, that is, 0.01 percent.
BFSI	Acronym for Banking, Financial Services and Insurance
Big Data	A high volume, high velocity, and/or high variety information asset that require new forms of processing to enable enhanced decision making, insight discovery, and process optimization.
Blockchain	A distributed database that maintains a continuously growing list of records, called blocks, secured from tampering and revision.
Bp	See Basis Point
BPaaS	See Business Process as a Service
BPS	See Business Process Services
Business 4.0	TCS' thought leadership framework that helps enterprises leverage technology to further their growth and transformation agenda. Successful Business 4.0 enterprises use technology to deliver mass personalization, leverage ecosystems, embrace risk and create exponential value. Such enterprises are agile, intelligent, automated and on the cloud.
Business Process as a Service	Refers to the delivery of BPS over a cloud computing model. Whereas traditional BPS relies on labor arbitrage to reduce costs, BPaaS aggregates demand using the cloud, servicing multiple customers with a single instance, multi-tenant platform and shared services, thereby delivering significant operating efficiencies. The pricing model is usually outcome based.
Business Process Services	Designing, enabling, and executing business operations including data management, analytics, interactions and experience management.
Buyback	A corporate action in which a company returns excess cash to shareholders by buying back its shares from them and usually extinguishing those shares thereafter. The company's equity share capital and the number of shares outstanding in the market correspondingly reduced.
CAGR	See Compounded Annual Growth Rate
Capital Expenditure (CapEx)	Funds used by a company to acquire, upgrade, and maintain physical assets such as property, buildings, an industrial plant, technology, or equipment.
Carbon Neutral	Not adding new greenhouse gas (GHG) emissions to the atmosphere through reduction initiatives and where emissions continue, they are compensated by absorbing an equivalent amount from the atmosphere through carbon offset.

Carbon Offset	Market-based instrument used to compensate for the emission of greenhouse gases into the atmosphere because of the organization's activity by reducing them somewhere else. Certified Emission Reductions (CERs) and Verified Emission Reductions (VERs) are some of the popular carbon offsets.
Cash and Cash Equivalents	Cash comprises cash on hand and demand deposits. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Cash and cash equivalents are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes.
Cash Flow	Inflows and outflows of cash and cash equivalents.
Cash Flow from Operating Activities	Primarily derived from the principal revenue producing activities. Therefore, they generally result from the transactions and other events that enter into the determination of profit or loss.
CBO	See Cognitive Business Operations
CC	See Constant Currency
Chatbots	Computer programs designed to simulate conversation with human users, especially over the internet. They are typically used in dialog systems for various practical purposes like customer service or information acquisition.
Cloud	See Cloud Computing
Cloud Computing	The delivery of easily provisionable computing resources – servers, storage, databases, networking, software, analytics and more – over the internet, consumed on a pay-as-you-go basis.
Cloud Native	A cloud native application consists of discrete, reusable components known as microservices that are designed to integrate into any cloud environment.
CMT	Acronym for Communication, Media and Technology
CMMI-SVC	Acronym for Capability Maturity Model® Integration For Services
Cognitive Automation	The use of AI and machine learning to automate relatively more complex tasks that require reasoning capability and contextual awareness. TCS' ignio™ a leading cognitive automation software product in the market today.
Cognitive Business Operations (CBO)	An integrated offering where TCS takes responsibility for the outcome of an entire slice of the customers' operations including the business processes and the underlying IT infrastructure, and uses cognitive automation to transform that operational stack.
Cognitive Computing	See Artificial Intelligence
COIN	See Co-Innovation Network
Co-Innovation Network	This is an extended, global innovation ecosystem curated by TCS, to harness the innovation efforts of start-ups and academia, and incorporate them into transformational solutions built by TCS for its customers.
Compounded Annual Growth Rate (CAGR)	The annual growth rate between any two points in time, assuming that it has been compounding during that period.
Connected Clinical Trials (CCT) Platform	Part of the TCS ADD suite, CCT is an innovative software-as-a-service platform that enables life sciences companies to significantly transform patient engagement in clinical trials and improve adherence to protocols, as well as the efficiency and accountability of clinical trials.
Constant Currency	The basis for restating the current period's growth after eliminating the impact of movements in exchange rates during the period.
Contextual Knowledge	This is tacit knowledge pertaining to, and specific to, the granular nuances of a customer's business and IT landscape, acquired on the job over a period of time. TCS teams use their contextual knowledge to design technology solutions that are uniquely tailored for that customer, and therefore, a potential source of competitive differentiation.
Conversational AI	Conversational artificial intelligence (AI) refers to technologies, like chatbots or virtual agents, which users can talk to. They use large volumes of data, machine learning, and natural language processing to help imitate human interactions, recognizing speech and text inputs and translating their meanings across various languages.
CO2e	Acronym for "Carbon dioxide equivalent". It is a standard unit for accounting greenhouse gas (GHG) emissions from carbon dioxide or another greenhouse gases, such as SOX, NOX, methane, etc.
CPG	Acronym for Consumer Packaged Goods
Core Banking System	A back-end system that processes daily banking transactions and posts updates to accounts and other financial records; typically includes deposit, loan and credit processing capabilities, with interfaces to general ledger systems and reporting tools.

Core Transformation	Modernization initiatives that target the one or more elements of the organization's operations stack consisting of business processes, software systems and underlying infrastructure, usually to enable greater agility, scalability, resilience and a superior customer experience. These are typically large in scale and scope, and entail the integrated delivery of multiple capabilities.
Cyber Security	Technologies, processes and practices designed to protect networks, computers, programs and data from attack, damage or unauthorized access.
Days' Sales Outstanding (DSO)	A popular way of depicting the Trade Receivable relative to the company's Revenue. DSO = Trade Receivable * 365 / LTM Revenue
DSO Data Mining	Data mining is the practice of obtaining valuable information from data sets. The data can be in any form, such as text, audio, or video data. Data mining aims to find actionable insights in the data that can improve business decisions or solve problems. For instance, data mining can discover customer buying patterns and target ads towards people who would likely purchase a product.
Depreciation	Systematic allocation of the depreciable amount of an asset over its useful life.
DevOps	Represents a new way of working to rapidly deploy new releases of a software in production using high levels of automation and tooling. TCS recommends adoption of DevOps, along with Agile for speed to market.
Digital	Represents new age technologies such as Social Media, Mobility, Analytics, Big Data, Cloud, Artificial Intelligence and Internet of Things. Increasingly, with these technologies becoming mainstream, this word is becoming redundant.
Digital Divide	Digital Divide refers to the unequal spread of technology and the opportunities it affords between different socioeconomic groups in a society.
Digital Twin	A digital replica of a physical entity. For instance, a digital twin of a factory is a virtual model of the factory built using its data, process, people information. Impact of any change in a process in the real factory can be studied by simulating the change in the digital twin.
Discretionary Spend	Also known as Change the Business (CTB) spend, it is that portion of the IT budget which is used to fund projects that are not, strictly speaking, essential for day to day operations, but are more transformational in nature. In uncertain economic times, when businesses are forced to cut spends in response to decline in income, discretionary spend is often the first to be scrutinized. However, what is considered discretionary is subjective and may differ considerably amongst businesses even within the same sector.
Distributed Ledger Technology	See Blockchain
Dividend	One form of distribution of profits earned by the Company and is usually declared as an amount per equity share held by the Shareholders. TCS has a policy of declaring quarterly interim dividends and the final dividend is approved by the shareholders in the Annual General Meeting.
DLT	See Distributed Ledger Technology
EACs	Energy Attribute Certificates (EACs) are market-based instruments that can be used by the bearer to claim renewable energy consumption. Each EAC is equivalent to 1 MWh of electricity.
Earnings Per Share (EPS)	The amount of that period's Net Income attributable to a single share after deducting any preference dividend and related taxes. EPS = [Net profit attributable to Shareholders of the Company – Preference dividend, if any] / Weighted average number of equity shares outstanding during the period.
Edge Computing	Computing and storage that is located on servers on the edge of the network, in close proximity to the users, but not through an on-premise data center; usually reserved for low latency use cases.
EFF1	European Efficiency Classification standard, Level 1
Effective Tax Rate (ETR)	The proportion of the Profit Before Tax that is provided towards income taxes. ETR = Tax expense / Profit Before Tax
EIA	Acronym for Environmental Impact Assessment. It is an environmental impact study which needs to be conducted as per Ministry of Environment and Forest (MoEF) requirements for new construction/ expansion projects.
Engineering and Industrial Services	Consists of next generation product engineering, manufacturing operations transformation, services transformation, embedded software and Internet of Things.

Enterprise Agile	The adoption of Agile methods across all the business functions of the enterprise, designed to empower employees, foster collaboration and drive a culture of continuous innovation at scale.
Environmental, Social and Governance	Environmental, social and governance (ESG) is a system for how to measure the sustainability of a company in three specific categories: environmental, social and governance.
EPEAT	Acronym for Electronic Product Environmental Assessment Tool
EPS	See Earnings Per Share
ESG	See Environmental, Social and Governance
ETR	See Effective Tax rate
Fair Value	The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
Fintech	Businesses that use technology to make financial services more efficient. Some fintech developments have improved traditional services, for example mobile banking apps, while others have revolutionized services such as pay per mile car insurance, or created new products, such as Bitcoin.
Fixed Price Contracts	A form of services contracts where the vendor takes a turnkey responsibility for delivering a solution for a certain price and within a mutually agreed timeframe. The customer is billed on completion of key project milestones and related deliverables. This arrangement gives the vendor considerable flexibility in the staffing and execution of the project. On the other hand, it also means bearing the project risk.
Framework	A kind of intellectual property, consisting of software which provides generic functionality for a certain business use case, and which is customized for a specific customer's needs with additional code. Use of such pre-built code reduces time to market and results in more stable, reliable solutions.
Free Cash Flow	Represents the cash a company generates through its operations, less the capital expenditure. Free cash flow = Cash flow from operating activities – Capital expenditure
FTE	Acronym Full Time Equivalent
Function Point	A function point is a granular building block of a software, based on a functional view of that system, represented by a code snippet whose logic helps the user accomplish something. The concept is used while estimating the effort for building a new application, by decomposing it into its constituent function points of varying levels of complexity.
Furlough	A temporary cessation of work without pay for the employees, usually implemented by organizations facing under difficult economic conditions, and in lieu of laying off employees.
Gamification	The process of adding games or game-like elements to any activity in order to enrich experiences and encourage user participation.
GDPR	Acronym for General Data Protection Regulation, a European Union regulation for data protection and privacy.
Generative AI	Generative AI describes any type of artificial intelligence (AI) that is is capable of generating new content, including text, images, video, audio, simulations, code or synthetic data. The most popular example is ChatGPT, a large language model that uses deep learning to produce text that looks like it is written by humans.
GHGs	Acronym for Greenhouse Gas. These are gases that trap heat in the atmosphere leading to global warming and climate change.
Global Capability Centers (GCC) / Captive units	Captive units include both MNC-owned units that undertake work for the parents' global operations and the company owned units of domestic firms, set up in offshore locations offering cheaper labor pool, helping the parent to reduce its operational costs.
Growth and Transformation	Initiatives launched to improve the enterprise's revenues, leveraging technology to adopt new business models, drive new revenue streams, enhance customer experience or target new customer segments. This is in contrast to traditional outsourcing engagements where the focus is on improving efficiency and saving costs.
G&T	See Growth and Transformation
HVAC	Acronym for Heating Ventilation and Air Conditioning System
Hybrid Cloud	An enterprise IT infrastructure model that combines private clouds, public clouds and on premise data centers, to meet the compute and storage needs of the business.
IE3	International Electrotechnical Commission (IEC) standards, Level 3
IGBT	Acronym for Insulated Gate Bipolar Transistors
Innovation Days	Focused workshops with a TCS customer where researchers and business leaders from both organizations participate to explore emerging technologies for specific customer problems.

Innovation Forum	TCS' thought leadership event that is held in North America, UK, Latin America and Japan. It brings together researchers from academia, innovators from the start-up ecosystem, technology watchers, futurists and customers to brainstorm around emerging technologies.
Inorganic Growth	Growth in revenue due to mergers, acquisitions or takeovers, rather than due to an increase in the company's own business activity.
ISO	Acronym for International Organization for Standardization
Internet of Things	A network of interconnected machines or devices embedded with sensors, software, network connectivity, and necessary electronics to generate and share run-time data that can be studied and used to monitor or control remotely, predict failure, and optimize the design of those machines / devices.
Intellectual Property	An asset that is the result of a creative design or idea, such as patents, copyrights, reusable code, software products and platforms, and gives the owner exclusive rights over its usage, such that no one can copy or reuse the creation without the owner's permission.
Interactive Technology	Allows for a two-way flow of information through an interface between the user and the technology; the user usually communicates a request for data or action to the technology with the technology returning the requested data or result of the action back to the user.
Invested Funds	Funds that are highly liquid in nature and can be readily converted into cash. Invested funds = Cash and Cash Equivalents + Investments + Deposits with banks + Inter-corporate deposits
Involuntary Attrition	A reduction in the workforce due to the employer's decision to terminate employment, instead of the employees' decision to leave.
IoT	See Internet of Things
IP	See Intellectual Property
Key Managerial Personnel	At TCS, this refers to the Chief Executive Officer, Managing Director, Chief Operating Officer, Chief Financial Officer, and the Company Secretary. Please refer to the Company's policy on KMP: http://www.tcs.com/ir-corporate-governance
kL	Acronym for the unit kilo-liters used to measure volume. It is a unit used to measure and report water usage in TCS' offices.
KMP	See Key Managerial Personnel
kWh	Acronym for kilowatt hours used as a unit of measurement of electricity
Large Language Models	This is a language model used to train generative AI, and consists of a neural network with many parameters (typically billions of weights), trained on large volumes of unlabeled text. By tracking words in sequences, it learns both context and meaning in language, enabling it to generate text artifacts that look they were written by humans.
LatAm	Acronym for Latin America
Location Independent Agile	A method to orchestrate globally distributed stakeholders and talent into Agile teams for improved speed to market in large transformational programs. It comprises processes, structure, and the technology that allows enterprises to overcome location constraints and embrace Agile methods on a global scale.
Low-Code, No Code	New software development platforms that offer a drag and drop user interface to allow business users to build custom web or mobile applications without actually having to write the code. The difference between the two is related the extent of programming ability needed. The former might still require some amount of programming, while the latter is entirely drag and drop. In addition to boosting innovation within the enterprise, these platforms also drive up productivity of programmers.
Machine First™ Delivery Model	A model that integrates analytics, AI and automation deep within the enterprise to redefine how humans and machines work together and to effectively deliver superior outcomes.
Machine Learning	A type of artificial intelligence that provides computers with the ability to learn behaviors without being explicitly programmed.
Managed Services	This is the practice of outsourcing to one service provider, also knowns as the Managed Services Provider (MSP), the end-to-end responsibility for providing, or orchestrating the provision through third party providers of, services around a range of processes and functions, in order to improve efficiency, service quality, agility and scalability.
Managed Services Provider	Service providers with the sole, end-to-end responsibility of providing Managed Services.
Market Capitalization	The total market value of a company's total outstanding equity shares at a point in time. Market Capitalization = Last Trading Price * Total number of outstanding shares
MEA	Acronym for Middle East and Africa

Metaverse	A virtual 3D environment that a user can experience explore on a computer or VR headset. Users can interact with each other in several ways, including social networking, gaming, and shopping.
MFDM™	Acronym for Machine First Delivery Model
Minimum Viable Product	The most basic version of a new product built in an agile development cycle, with the bare minimum functionality, made available to users at the earliest to get user feedback and validate product value with minimum investment. Once validated, its features and functionalities are continually augmented in subsequent iterative cycles.
MJ	Acronym for Mega Joule used as a unit of measurement of energy (electricity as well as fuel use)
Mobility	Information, convenience, and social media all combined together, and made available across a variety of screen sizes and hand-held devices.
Moonlighting	Working more than one job at a time, taking on assignments from third parties in addition to a regular employment, usually without the employer's knowledge.
MSP	See Managed Services Provider
MVP	See Minimum Viable Product
MWh	Acronym for megawatt hours used as a unit of measurement of electricity. 1 MWh=1000kWh
Net Zero	Greenhouse gases emitted into the atmosphere due the company's activity are minimized through a series of initiatives and the residual emission is compensated by removal of equivalent amount of GHG emissions elsewhere through carbon offsets.
Non-Controlling Interests	The share of the net worth attributable to non-controlling shareholders of the subsidiaries.
Non-discretionary Spend	Also known as Run the Business (RTB) spend, is that portion of the IT budget that covers the basic IT activities required to keep a business running. Even in tough economic times, non-discretionary spend remains relatively unaffected.
Operating Model	The manner in which processes are defined and activities are organized to create and deliver value to a target audience. An IT operating model covers activities around new system development, application and infrastructure support whereas business operating models address execution of actions specific to a business function.
Operating Model Transformation	Redefining individual processes by embedding AI, machine learning and other forms of automation to reduce the need for human intervention, resulting in a leaner operating model that is faster, more agile and more resilient. Such transformations – whether in IT or business – can be significantly accelerated by the use of TCS Cognix.
Options Contract	A hedging instrument that offers the buyer the right to buy or sell the underlying asset (such as stocks or currency) on a future date, at a specified price, for small upfront fee called options premium. Eg: TCS purchases an options contract to sell USD 1million @ ₹ 87/$ after 3 months, paying an option premium of ₹ 1 million. With this, TCS will have the right to sell USD 1million at an exchange rate of ₹ 87, even if the prevailing market rate at the end of three months is, say ₹ 85. On the other hand, if the market rate is higher, say ₹ 89, then TCS can choose to let the options contract lapse and instead sell at the market rate.
Order Book	See Total Contract Value
Organic Growth	The revenue growth a company can achieve by increasing its existing business activity. This does not include growth attributable to takeovers, acquisitions or mergers.
PAS 2060	It is an internationally recognized standard by the British Standards Institution to verify and substantiate an organization' claim of carbon neutrality.
PaaS	See Platform as a Service
Personalization	Segmentation and responding to individual transactions, customized for a single customer in a single instance.
Platforms	A group of technologies that are used as a base upon which other applications, processes or technologies are developed. Useful for optimizing costs and efforts, and eliminating iterative tasks to drive strategic business initiatives.
Platform as a Service (PaaS)	A category of cloud computing that provides a platform and environment to allow developers to build applications and services over the internet. PaaS services are hosted in the cloud and accessed by users simply via their web browser.
Power Usage Effectiveness	It is the ratio of total amount of electricity used by a data center facility to the electricity used by the computing equipment in the data center.

Pricing	The price charged to the customer for a billable effort, turnkey project or a certain process outcome, depending on the nature of the contract. Some use this term interchangeably (and somewhat inaccurately) with the average revenue realized by the company per utilized effort on an aggregate basis. See Realization.
Private Cloud	Refers to a model of cloud computing where IT infrastructure, in terms of compute and storage resources, are provisioned for the dedicated use of a single organization.
Product	In the technology context, refers to a packaged software program that is made available to multiple customers either on a license basis, or on a subscription basis, to enable the execution of certain common tasks or processes or business functions in a standardized way. This is the opposite of bespoke or custom software which is built to specifications to meet a customer's unique needs.
Public Cloud	A computing service model used for the provisioning of storage and computational services to the general public over the internet. Public cloud facilitates access to IT resources on a 'pay as you go' billing model.
PUE	See Power Usage Effectiveness
R&I	Acronym for Research & Innovation
Realization	The revenue received by the company per utilized effort. Pricing varies by service and by market. Consequently, there can be changes in realization compared to a prior period, due to changes in the underlying business or geographic mix during the period. This does not necessarily mean that like-to-like pricing has changed. Also, realization doesn't take into account the costs and therefore, higher realization is not necessarily more profitable.
RECs/ GOs	Renewable Energy Certificates / Guarantees of Origin are EACs used in different markets.
Related Party Transactions	Any transaction between a company and its related party involving transfer of services, resources or any obligation, regardless of whether a price is charged. Please refer to the Company's policy on Related Party Transactions: http://www.tcs.com/ir-corporate-governance.
Revenue	The income earned by the Company from operations by providing IT and consulting services, software licenses, and hardware equipment to customers.
RFP	Acronym for Request for Proposal, meaning a document that solicits proposal, often made through a bidding process, by an entity interested in procurement of IT services, to potential service providers to submit business proposals. An RFP is floated early in the procurement cycle and requested information may include basic corporate information and history, financial information, technical capability and estimated completion period, and customer references.
Robotic Process Automation	The use of software tools to automate high-volume, repeatable tasks that previously required humans to perform. RPA is best suited for relatively simple and stable processes. Dynamic changes in the environment require ongoing upkeep of the robots, diluting the economic benefit of the automation. Increasingly, customers are preferring cognitive automation over RPA.
RPA	See Robotic Process Automation
SBWS™	See Secure Borderless Workspaces
Scope 1, Scope 2, Scope 3 emissions	Green house gas emission accounting categories as per the Greenhouse Gas Protocol.
Secure Borderless Workspaces™	TCS' innovative operating model rolled out in response to the COVID-19 disruption. It is a fully location agnostic extension of the Location Independent Agile model, enabling employees to work remotely, while retaining the same high rigor in project management, governance and security. The fully distributed nature of this model is better suited to ensure business continuity. It leverages TCS' prior investments and incorporates the learnings and best practices around network management, standard service delivery environment, digitized governance processes, heavy use of collaborative and cloud based technologies and an internal SOC benchmarked to the best in the industry.
Security Operations Center	A Security Operations Center is responsible for protecting an organization against cyber threats. SOC analysts perform round-the-clock monitoring of an organization's network and investigate any potential security incidents.
SEZ	See Special Economic Zone
Shareholder Payout Ratio	The proportion of earnings paid to shareholders as compared to the Company's earnings, i.e. Net Income attributable to Shareholders of the Company. Payout can be in the form of dividend and share buyback, including taxes thereon.
Simplification	The rationalization of IT architectures through consolidation of systems and elimination of redundant systems and layers. The primary purpose is to shrink the IT footprint and make operations leaner and more efficient.
SOC	See Security Operations Center

Sole Sourced Contract	Non-competitive agreements that allow a single vendor to fulfill the needs of the contractual requirements. These types of contracts can be won when the competitor set narrows down significantly and comes down to a single vendor discussion, given the nature of the client's solution requirements.
Special Economic Zone	In India, these are designated areas in which business and trade laws are different from the rest of the country, with various benefits and tax breaks to promote exports, attract investments, and create local jobs.
STEM	An acronym for education in the fields of science, technology, engineering and math.
T&M	See Time and Materials Contract
TCFD	Acronym for Task Force on Climate-related Financial Disclosures
tCO2e	Acronym for tonnes of carbon dioxide equivalent
TCS Pace™	A brand promise that represents the way TCS channels its domain knowledge and organizational units – business and technology services, industry solutions units, and the research and innovation organization – into internal and external co-innovation programs.
TCS Pace Port™	Physical spaces where TCS Pace can be experienced. These spaces are close to academic and start-up hubs, and enclose innovation showcases, Agile workspaces and think spaces. They encourage brainstorming, design thinking and collaborative innovation with internal and external partners.
TCV	See Total Contract Value
Time and Materials Contract	A form of services contract where the customer is billed for the effort (in hours, days, weeks, etc.) logged by the project team members. Project risk is borne by the customer. This contrasts with Fixed Price Contracts.
Total Contract Value	An aggregation of the value of all the contracts signed during a period and a useful indicator of demand, and near term business visibility.
Turnkey Contracts	See Fixed Price Contracts
Unearned and Deferred Revenue	For invoices raised in line with agreed milestones for services yet to be delivered. In other words, it is the amount that has been invoiced although the underlying effort is yet to be expended.
Vendor Consolidation	A strategy to reduce costs and the overheads of managing a large number of vendors. Usually entails aggregating work currently outsourced to a large number of small providers, and transferring it to a smaller, select set of winning bidders. Besides cost reduction, clients use this to reduce complexity and accelerate their cloud transformation journeys. Selecting a single strategic partner with end to end capabilities to maintain the legacy estate and support the modernization drives efficiency, accountability and speed.
Virtual Reality	Artificial, computer-generated simulation or recreation of a real-life environment or situation. It engages users by offering simulated reality experiences firsthand, primarily by stimulating their vision and hearing.
Virtualization	The abstraction of IT resources – like a server, client, storage or network – that masks the physical nature and boundaries of those resources from the users of those resources.
Voluntary Attrition	Refers to reduction in workforce resulting from employees willingly leaving the organization to pursue other opportunities, spend time with family, or for some other personal reason.
VR	See Virtual Reality
XR	Extended reality, an umbrella term that covers augmented reality, virtual reality and mixed reality.
Y-o-Y	Year-on-Year

Disclaimer: This glossary is intended to help understand commonly used terms and phrases in this report. The explanations are not intended to be technical definitions. If explanations provided here are found to be different from what is described in the Company's periodic financial statements (not limited to Notes to Accounts), then the definition provided in the certified financial statements will prevail.

Sustainability **Disclosures**

Identification of Material Topics[1]

TCS conducts annual materiality assessments to update the list of material topics. The key elements of that assessment include:

Key Elements of Annual Materiality Assessments:

Engagement with stakeholders	Stakeholder interactions result in the identification of a broad funnel of issues important to each of the constituencies. TCS' Sustainability Council uses discussions with internal and external stakeholders, as well as its own judgment, to prioritize and arrive at a list of material topics with significant economic, environmental, or social impacts on TCS' business, reputation, and operations.
Sustainability context and value chain	The company looks at the role of TCS in wider sustainability issues, the impact the company has through its customer engagements and its operations, and the role that the company experts play in professional associations, industry forums and other thought leadership activities to address important issues raised by stakeholders.

[1] GRI 3-1

Key Material Topics[2], Key Concerns, Boundary of impact and TCS approach[3] to them are listed below:

Material Topics	Why this is material	Key Concerns	TCS Approach (Page Reference Number)*	Boundary of impact	GRI Indicators
Corporate Governance	Strong corporate governance that considers- stakeholder concerns, engenders trust, oversees business strategies, and ensures fiscal accountability, ethical corporate behavior, and fairness to all stakeholders is core to achieving the organization's longer-term mission.	• Governance Structure and composition	• CG>> Pg 113	Internal	2-9, 2-10, 2-11, 2-12, 2-13, 2-14, 2-15, 2-19
		• Independence of the Board and Minority Interest	• CG>> Pg 113, 114		
		• Avoidance of conflict of interest	• CG>> Pg 114		
		• Board oversight	• CG>> Pg 115		
		• Disclosure and Transparency	• CG>>Disclosures >> Pgs 125 to 127 • MDA >> Internal financial control systems and their adequacy >> Pg 105		
		• Value, ethics and compliance	• CG>> Pg 114		
		• Enterprise Risk Management	• MDA>> Pgs 95 to 104		
		• Succession Planning	• CG>> Pg 115		
		• Remuneration Policy	• CG>> Pg 122		
Business Sustainability	A financially strong, viable business that is able to adapt to changing technology landscapes to remain relevant to customers and profitably grow its revenues year-on-year is essential to meet longer term expectations of stakeholders.	• Economic performance	• Financial Capital >> Pg 16,17 • Letter to Shareholders >> Pgs 8 to 11	Internal	2-22, 201-1
		• Demand sustainability	• MDA >> Strategy for sustainable growth >> Pgs 86 to 88 • MDA >> Business outlook >> Pg 94,95		
		• Investments in capability development	• MDA >> Enabling investments >> Pg 87 • Intellectual Capital >> Pg 20,21		
Talent Management	The company's ability to attract, develop, motivate, and retain talent is critical to business success.	• Talent acquisition	• MDA >> Pg 89	Internal	401-1, 401-2, 401-3, 403-1, 403-2, 403-5, 403-6, 403-9, 403-10, 404-1, 405-1, 405-2, 406-1
		• Talent development	• MDA >> Pg 90		
		• Culture and Diversity	• MDA >> Pg 89, 90		
		• Employee retention	• MDA >> Pg 91		
		• Employee Enagagement	• MDA >> Pg 91		
		• Competitive Compensation	• MDA >> Pg 91		
		• Occupational Health and safety	• MDA >> Pg 91		

2 GRI 3-2

3 GRI 3-3

* MDA: Management Discussion and Analysis, CG: Corporate Governance Report, BRSR: Business Responsibility and Sustainability Report

Material Topics	Why this is material	Key Concerns	TCS Approach (Page Reference Number)*	Boundary of impact	GRI Indicators
Social Responsibility	The business must be rooted in community and be aligned with the community's larger interests. Any adversarial relationship can hurt the company's ability to create longer term value.	• Local communities	• Social Capital >> Pg 23	External	204-1, 207-1, 207-2, 207-3 308-1, 308-2, 413-1, 414-2
		• Supplier Social and Environmental Assessment	• BRSR >> Pg 162, 177		
		• Education and skill development	• Social Capital >> Pg 23		
		• Job creation	• Social Capital >> Pg 23		
		• Taxes payable in different regions	• CG >> Tax strategy >> Pg 115 • Consolidated Financial Statements >> Income taxes >> Pgs 235 to 239 • Country-wise subsidiary income taxes >> Pgs 316 to 320		
		• Environmental stewardship	• Natural Capital >> Pg 24, 25		
Environmental Footprint	Business sustainability is linked to the planet's sustainability. Moreover, good environmental practices result in greater operational efficiency, adding to financial sustainability.	• Energy consumption	• Natural Capital >> Pg 24, 25 • BRSR >> Pg 168	Internal	302-1, 302-3, 303-1, 303-2, 303-3, 303-4, 303-5, 305-1, 305-2, 305-3, 305-4, 305-5, 306-2, 306-3, 306-4, 306-5
		• GHG emissions	• BRSR >> Pgs 169, 170, 175		
		• Water management	• BRSR >> Pg 173, 174		
		• Waste management	• BRSR >> Pg 171, 172		

Climate change risk and opportunities assessment and management

Aligned with Taskforce on Climate-related Financial Disclosures (TCFD) Framework

Governance[4]

A) Describe the board's oversight of climate-related risks & opportunities.

Different Board committees oversee different aspects of climate-related risks and opportunities.

Stakeholder Relationship Committee (SRC)

- The SRC is chaired by an independent director and comprises of 3 members including the CEO. It reviews the climate change strategy, approach, and performance of the organization.
- The SRC formally meets twice every year to review policies and sustainability performance, including climate change and carbon performance. The board oversight helps drive the program effectively with greater accountability.
- The CEO as a part of the SRC, is directly responsible for the efficient operations of the facility and hence is better able to review performance and drive improvement. The quarterly updates go from the Chief Human Resources Officer (CHRO) and is supported by the Head- Environmental Sustainability, Health and Safety.
- TCS' carbon reduction goal to reduce its absolute greenhouse gas emissions across Scope 1 and Scope 2 by 70% by 2025 (over 2016 base year), and to achieve net zero emissions by 2030, was reviewed and approved by the committee.

Risk Management Committee (RMC)

- The RMC is chaired by an independent director and comprises of 5 members including one additional independent director, 2 executive directors, i.e..CEO, COO, and one company executive, CFO.
- The RMC formulates, monitors, and reviews the company's risk management policy.
- Climate change risks and opportunities are covered under the strategic and operational risks for the Company and are reviewed in the RMC committee meetings.

Corporate Social Responsibility Committee (CSRC)

- The CSRC is chaired by the Company's Chairman and additionally comprises one independent director and one executive director. The committee formulates, monitors, and reviews the company's CSR policy and outcomes, including climate action related projects.
- The Board members meet on a quarterly basis and review their activities.

B) Describe management's role in assessing & managing climate-related risks & opportunities[5].

- The Chief Operating Officer is responsible for overall ESG related challenges, targets and achievements.
- Responsibility for driving and tracking climate change mitigation initiatives lies with the Chief Human Resources Officer. He reports to the Board sub-committee on sustainability related matters. Head, Environmental Sustainability Health and Safety (ESHS) reports to the CHRO. The ESHS team comprises of environmental sustainability professionals who monitor various climate change related data points including emissions and support the implementation of emission reduction initiatives across TCS locations in collaboration with action owners within the organization. Location level targets are monitored by the location level operations and ESHS teams.
- For environmental risk assessment, mitigation, and adaptation, TCS has a well-defined structure with an Enterprise Risk Management Unit which is headed by a Chief Risk Officer. This unit reviews all risks associated with the company operations. ERM categorizes risks and opportunities into Strategic, Operational, Financial, Compliance and Catastrophic.
- The risk identification process is carried out for the entire organization and its value chain to assess all risks including the physical, compliance, operational and reputational risks due to climate change and the business opportunities associated with it. Unit level risk assessments are done to assess the physical risks of climate change. These are then rolled up to the enterprise-level risk portfolio register and suitably included. These risks are reviewed on a half yearly basis or as required.
- As TCS' customers respond to climate change actions, the company is seeing opportunities to provide technology-led solutions to help them achieve their sustainability goals. Recent events have accelerated digital adoption, put the spotlight on supply chain resilience and added urgency to the sustainability imperative. TCS leveraged its deep expertise in IoT, advanced analytics,

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4 TCFD Governance A and B

5 GRI 2-13

and machine learning to come up with a suite of offerings in this space, including intellectual property such as Clever Energy™, IP2™, and TCS Envirozone™. Clients across industries such as retail, manufacturing, utilities and consumer goods are engaging the company to develop innovative technology led solutions to reduce energy consumption, or to measure and track green-house gas emissions across their end-to-end supply chain, reduce their carbon footprint, reduce waste and promote recycling.

Strategy [6]

A) Describe the climate-related risks and opportunities the organization has identified over the short, medium, and long term.

Current regulation	TCS is required to follow all the environmental regulations around emissions, water discharge, waste recycling etc. Compliance to these regulations is monitored as part of the company's risk management function and integrated into its mitigation plans. TCS discloses its performance against various environmental parameters as per the Securities and Exchange Board of India (SEBI) mandated Business Responsibility & Sustainability Reporting (BRSR) framework, which is a part of this Integrated Annual Report.
Emerging regulation	Emerging regulations including carbon taxes (coal or fossil fuel taxes leading to escalation in the electricity tariff), mandatory energy audits are examples which impact TCS. Regulations around procurement of renewable energy, which is a key driver of the company's climate change mitigation plan, is also ever evolving in all major geographies. TCS keeps a close watch on the emerging regulations and plans its organizational sustainability strategy and roadmap to adapt to those changes.
Technology	With more energy efficient and eco-friendly building and IT equipment coming in the market, keeping TCS offices eco-efficient is an ongoing process wherein the company evaluates the technology and suitability and works on a phaseout plan to move to the new more efficient technology. These are considered as operational risks and opportunities which drive the company to make its infrastructure more climate resilient. Additionally, TCS is one of the market leaders in the cloud migration opportunity, helping clients migrate their workloads from owned data centers to hyperscaler clouds, significantly reducing the carbon footprint associated with those workloads.
Legal	TCS tracks environmental legal compliance (air emissions, water discharges, waste management and others) on a periodic basis and has a robust internal compliance management system to identify and comply with all legal requirements of current, amended and new regulations.
Market	Climate change is driving a lot of changes in TCS' customer behaviour, thus creating new markets and new opportunities, giving the company an opportunity to partner with them in their climate change mitigation journey by providing solutions, services, and process automation which helps in emission reduction.
Reputation	Reputational risk is relevant to the company as the investor and customer community is becoming increasingly aware of climate change related issues. It is important to demonstrate leadership in climate action to maintain TCS' reputation.
Acute physical	Acute physical risks associated with extreme weather events is relevant as TCS has substantial operations in coastal cities in India which are exposed to potential extreme weather events like heavy precipitation, flood, and cyclones. E.g., The company offices located in coastal cities like Chennai, Bhubaneshwar, Kolkata, Kochi are exposed to physical risks from cyclonic events and therefore adequate mitigation plans are in place.
Chronic physical	Having presence in many major cities across the world, TCS is subject to climate change related chronic physical impacts like change in precipitation pattern, with resultant effects like drought or flood. Also, with TCS's presence in coastal cities like Chennai, Mumbai, Kochi, Trivandrum, Kolkata, rise in sea level and related impacts like land submergence, salt water intrusion, disruption to network and communication systems are more likely. These risks are long term and included from perspective of planning appropriate infrastructure.

[6] TCFD Strategy A, B and C. The time horizon considered by TCS during the current year for its assessment of short, medium and long term are 0 to 5 years, 5 to 10 years and 10 to 20 years respectively.

B) Describe where and how climate-related risks and opportunities have influenced the organization business, strategy and financial planning.

	Have climate-related risks and opportunities influenced your strategy in this area?	Description of influence
Products and services	Yes	As TCS' customers respond to climate change actions, the company is seeing opportunities to provide technology-led solutions to help them achieve their sustainability goals. The change in technology consumption reflects the prevailing trends in the economy. Recent events have accelerated digital adoption, put the spotlight on supply chain resilience and added urgency to the sustainability imperative. Each of these represents an opportunity that can contribute towards the growth of not just as one company, but of the ecosystem as a whole. TCS leveraged its deep expertise in IoT, advanced analytics, and machine learning to come up with a suite of offerings in this space, including intellectual property such as Clever Energy™, IP2™, and TCS Envirozone™. Clients across industries such as retail, manufacturing, utilities and consumer goods are engaging TCS to develop innovative technology led solutions to reduce energy consumption, or to measure and track green-house gas emissions across their end-to-end supply chain, reduce their carbon footprint, reduce waste and promote recycling.
Supply chain and/or value chain	Yes	Supply Chain sustainability through responsible sourcing is one of the risk mitigations identified by the Company under its sustainability risk. TCS's Green Procurement policy outlines its commitment to making its supply chain more responsible and sustainable. Energy efficiency is one of the major procurement considerations in all the company's IT and other infrastructure assets procurement as this is directly correlated with TCS' emission profile. Climate related risks play a very important role in the company's supply chain engagements, and TCS is working with its suppliers to bring in improvements in carbon performance along with other ESG elements.
Investment in R&D	Yes	TCS' investments in research and innovation have resulted in solutions like Envirozone™, Clever Energy and IP2™. TCS has been using Clever Energy for the last few years to reduce its energy consumption and is now offering these to clients to help them achieve their sustainability goals. Additionally, TCS has been investing in building green campuses (IGBC certified).
Operations	Yes	Climate Change risks play an important consideration in TCS' operations. The company has created an environmentally sustainable approach by creating green policies, processes, frameworks, and infrastructure. TCS' campuses are designed to withstand extreme weather events and the business continuity plans are tested periodically to ensure continued operations without any disruption. Green buildings, efficient operations, green IT, the use of renewable energy to reduce carbon footprint; adoption of newer technologies and methods to manage waste in line with circular economy principles are integral to the company operations. All these initiatives are helping TCS achieve its Net Zero target by 2030.

	Have climate-related risks and opportunities influenced your strategy in this area?	Description of influence
Direct costs, Capital expenditures, Capital allocation, Assets	Yes	TCS has aligned its current systems of internal financial control with the requirement of Companies Act 2013, on the lines of the globally accepted risk-based framework issued by the Committee of Sponsoring Organizations (COSO) of the Treadway Commission. The Internal Control – Integrated Framework (the 2013 framework) is intended to increase transparency and accountability in an organization's process of designing and implementing a system of internal control. The framework requires a company to identify and analyze risks and manage appropriate responses. The company has successfully laid down the framework and ensured its effectiveness. Climate risks and opportunities are the key factors while making financial considerations especially while making investments in offices, equipment, and renewable energy. Investment in these areas constitutes a substantial share of the company's overall capital investment. Major investments are in green buildings, roof top solar and other energy efficiency initiatives. In FY 2023 TCS has invested ₹3,063 crore in projects to improve environmental and social impacts. These investments, along with other mitigation steps, helped the company reduce its Scope 1 and 2 emissions by 71% from base year 2016. These initiatives also help the company to position itself as a leader in the climate domain contributing to TCS' market value.

C) Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2 degree Celsius or lower scenario

Climate related scenario	Parameters, assumptions, analytical choices
Transition scenarios IEA B2DS	The climate change scenario analysis conducted for TCS takes a multi-level approach to identify climate risk and opportunity hot spots, interdependencies, and interaction with global macro trends. The top-down analysis of the macro environmental trends that will impact the company at global level included a) nature loss and ecological degradation, b) resource scarcity and driving value chain innovation, c) changing customer and workforce preferences, d) the rise of extreme weather, e) increasing regulations, pricing and disclosure of externalities, f) digitalization and prevalence of infectious diseases and g) rising incomes. Detailed analysis was conducted of material climate change transition risks and opportunities across value chain and assessment of interdependencies between climate risks and opportunities including identification of areas of potential magnification and hedge opportunities. The key value drivers analysis assesses climate risks and opportunities across 3 stages of the value chain including a) Supply Chain (input supplies costs, disruption and access to supplies) b) Operations (carbon costs, operating costs, insurance/ damage costs due to disruption of operation) and c) End markets (demand for low carbon services/ products, market share and competition). In the transition scenario, the IEA B2DS approach has been selected as its more conservative scenario. The inputs included IPCC reports, the NDCs, the SDGs and Government of India plan on energy efficiency and solar energy. The assumptions used in the analysis also considered the anticipated growth of TCS over the years and increased energy demand. Changing customer behavior and carbon costs are assessed as a transition risk to TCS with a growing number of jurisdictions at regional and national level planning to implement a carbon tax or emission trading scheme.

Physical climate scenarios RCP 8.5	The climate change scenario analysis conducted for TCS had a multi-level approach to identify climate risk and opportunity hot spots, interdependencies, and interaction with global macro trends. The top-down analysis of the macro environmental trends that will impact the company at global level included a) nature loss and ecological degradation, b) resource scarcity and driving value chain innovation, c) changing customer and workforce preferences, d) the rise of extreme weather, e) increasing regulations, pricing and disclosure of externalities, f) digitalization and prevalence of infectious diseases and g) rising incomes. Detailed analysis was conducted on a) material climate change physical risks and opportunities across value chain, and b)assessment of interdependencies between climate risks and opportunities including identification of areas of potential magnification and hedge opportunities. The key value drivers' analysis assesses climate risks and opportunities across 3 stages of the value chain including a) Supply Chain (input supplies costs, disruption and access to supplies) b) Operations (carbon costs, operating costs, insurance/ damage costs due to disruption of operation) & c) End Markets (demand for low carbon services/ products, market share and competition). The physical risk is assessed using the RCP 8.5 scenario. The RCP 8.5 scenario takes a global warming between 3-4 degrees above pre-industrial levels which is a conservative scenario and helps us understand the worst-case climate impacts on our operations. Inputs for the assessment included IPCC reports, the NDCs, the SDGs and Government of India plan on energy efficiency and solar energy. The assumptions used in the analysis also considered the anticipated growth of TCS over the years and increased energy demand. Few strategies to mitigate physical risks of climate change include- 1) A robust Business Continuity Plan (BCP) to respond to climate events. 2) Investments in climate resilient infrastructure (for cyclone, floods).

Risk Management[7]

A)	Describe the organization's processes for identifying and assessing climate related risks	Kindly refer to the 'Enterprise Risk Management' section in Management Discussion and Analysis (Pages 95 to 104), which is a part of this Integrated Annual Report.
B)	Describe the organization's processes for managing climate-related risks	
C)	Describe how processes for identifying, assessing, and managing climate- related risks are integrated into the organization's overall risk management	

Metrics and Targets[8]

A. Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.

a)	Greenhouse Gas (GHG) Emissions. Absolute Scope 1, Scope 2, and Scope 3; emissions intensity	Please refer to the 'Natural Capital' section (Page 24) and BRSR section >> Principle 6 (Pages 168, 169, 170, 175), which is a part of this Integrated Annual Report.
b)	Climate-related Opportunities-. Proportion of revenue, assets, or other business activities aligned with climate-related opportunities.	Please refer to the BRSR section >> (Pages 152, 155), which is a part of this Integrated Annual Report.
c)	Remuneration- Proportion of executive management remuneration linked to climate considerations	Please refer to the Corporate Governance Report >> Remuneration Policy (Page 122), which is a part of this Integrated Annual Report. For executive directors, the variable component i.e., commission is based on the company's performance- which includes sustainability- and their individual performance.

7 TCFD Risk Management A, B and C

8 TCFD Metrics and Targets A, B and C

B. Disclose Scope 1, Scope 2, and, if appropriate, Scope 3 GHG emissions, and the related risks.

Please refer to the 'Natural Capital' section (Page 24) and BRSR section >> Principle 6 (Pages 168, 169, 170, 175), which is a part of this Integrated Annual Report for disclosures on GHG emissions.

Please refer to the 'Enterprise Risk Management' section in Management Discussion and Analysis (Pages 95 to 104), which is a part of this Integrated Annual Report for emissions related risks.

C. Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.

Please refer to the 'Natural Capital' section (Page 24, 25), which is a part of this Integrated Annual Report.

GRI Content Index[9]

TCS' Integrated Annual Report 2022-23, which includes the financial disclosures and the Business Responsibility and Sustainability Report, is aligned with the Global Reporting Initiative (GRI) Standard, UN Sustainable Development Goals (SDG) and TCFD framework. The Report also conforms to the United Nations Global Compact (UNGC) principles and forms the basis of the company's Communication on Progress (CoP) with the UNGC.

The following table provides the mapping of disclosures for FY 2023 against the GRI standard (Comprehensive) requirements and TCFD recommendations mapping. TCS is on a continuous journey to advance its' ESG initiatives and reporting and will continue to evaluate and enhance ESG disclosures as the company makes progress.

GRI Standard Disclosure and Description	TCFD Disclosure	Section *	Page No.
GRI 2: General Disclosures 2021			
1. The organization and its reporting practices			
2-1 Organizational details		• BRSR	145
2-2 Entities included in the organization's sustainability reporting		• BRSR	146, 148
2-3 Reporting period, frequency and contact point		• BRSR	145
2-4 Restatements of information		• BRSR	146
2-5 External assurance		• BRSR	146, 152
2. Activities and workers			
2-6 Activities, value chain and other business relationships		• BRSR	146
2-7 Employees		• BRSR	147
2-8 Workers who are not employees		• BRSR	147
3. Governance			
2-9 Governance structure and composition		• CG • BRSR	113 152
2-10 Nomination and selection of the highest governance body		• CG	113
2-11 Chair of the highest governance body		• CG	114
2-12 Role of the highest governance body in overseeing the management of impacts	• Governance A & B	• CG	114, 115
2-13 Delegation of responsibility for managing impacts	• Governance A & B	• BRSR • CG • TCFD Disclosures	166 152 333
2-14 Role of the highest governance body in sustainability reporting	• Governance A & B	• CG	115
2-15 Conflicts of interest		• CG	114
2-17 Collective knowledge of the highest governance body		• BRSR	153
2-19 Remuneration policies	• Metrics and Targets A	• CG • BRSR	122 165
2-21 Annual total compensation ratio		• BRSR	165
4. Strategy, policies and practices			
2-22 Statement on sustainable development strategy		• MDA • BRSR • Letter to Shareholders	86 152 8
2-23 Policy commitments		• BRSR	151, 153, 166, 182
2-24 Embedding policy commitments		• BRSR	151, 165, 166
2-25 Processes to remediate negative impacts		• BRSR	149, 157, 160, 166, 179, 181
2-27 Compliance with laws and regulations		• BRSR	153, 173
2-28 Membership associations		• BRSR	177
5. Stakeholder engagement			
2-29 Approach to stakeholder engagement		• BRSR	162
2-30 Collective bargaining agreements		• BRSR	158

9 Requirement 7: Publish a GRI content index

* MDA: Management Discussion and Analysis, CG: Corporate Governance Report, BRSR: Business Responsibility and Sustainability Report

GRI Standard Disclosure and Description	TCFD Disclosure	Section *	Page No.
GRI 3: Material Topics 2021			
3-1 Process to determine material topics		• Sustainability Disclosures: Identification of Material Topics	330
3-2 List of material topics		• BRSR • Sustainability Disclosures: Identification of Material Topics	150 331
3-3 Management of material topics		• MDA • BRSR • Sustainability Disclosures: Identification of Material Topics	95, 150, 151, 160, 161, 172 331
GRI 200: Economic Performance			
GRI 201: Economic Performance 2016			
201-1 Direct economic value generated and distributed		• Financial Capital	16
201-2 Financial implications and other risks and opportunities due to climate change	• Risk Management A, B and C	• MDA • BRSR	95 to 104, 150
201-3 Defined benefit plan obligations and other retirement plans		• BRSR	156
GRI 202: Market Presence			
202-1 Ratios of standard entry level wage by gender compared to local minimum wage		• BRSR	165
GRI 204: Procurement Practices 2016			
204-1 Proportion of spending on local suppliers		• BRSR	179
GRI 205: Anti-corruption 2016			
205-2 Communication and training about anti-corruption policies and procedures		• BRSR	153
205-3 Confirmed incidents of corruption and actions taken		• BRSR	154
GRI 207: Tax 2019			
207-1 Approach to tax		• CG	115
207-2 Tax governance, control, and risk management		• CG	115
207-3 Stakeholder engagement and management of concerns related to tax		• CG	115
GRI 300: Environmental Performance			
GRI 302: Energy 2016			
302-1 Energy consumption within the organization	• TC-SI-130a.1	• BRSR	168, 173
302-3 Energy intensity	• TC-SI-130a.1	• BRSR	168
Metrics used to assess climate-related risks and opportunities in line with its strategy and risk management process	• Metrics and Targets A	• BRSR • Natural Capital • CG Report	155, 171, 176 24 122
GRI 303: Water and Effluents 2018			
303-1 Interactions with water as a shared resource		• BRSR	169, 172
303-2 Management of water discharge-related impacts		• BRSR	169
303-3 Water withdrawal	• TC-SI-130a.2	• BRSR	168
303-4 Water discharge	• TC-SI-130a.2	• BRSR	173, 174
303-5 Water consumption	• TC-SI-130a.2	• BRSR	168
GRI 304: Biodiversity 2016			
304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas		• BRSR	172
304-2 Significant impacts of activities, products and services on biodiversity		• BRSR	176
304-3 Habitats protected or restored		• BRSR	176
GRI 305: Emissions 2016			
305-1 Direct (Scope 1) GHG emissions	• Metrics and Targets B	• BRSR	169

GRI Standard Disclosure and Description	TCFD Disclosure	Section *	Page No.
305-2 Energy indirect (Scope 2) GHG emissions	• Metrics and Targets B	• BRSR	169
305-3 Other indirect (Scope 3) GHG emissions		• BRSR	175
305-4 GHG emissions intensity		• BRSR	169, 175
305-5 Reduction of GHG emissions	• TC-SI-130a.3 • Metrics and Targets B	• BRSR • Natural Capital	170 24
Risks related to GHG Emissions	• Metrics and Targets B	• MDA	95 to 104
Metrics and targets used to assess and manage relevant climate related risks and opportunities	• Metrics and Targets C	• Natural Capital	24
GRI 306: Waste 2020			
306-2 Management of significant waste-related impacts		• BRSR	155, 156, 172
306-3 Waste generated		• BRSR	171
306-4 Waste diverted from disposal		• BRSR	171
306-5 Waste directed to disposal		• BRSR	171
GRI 308: Supplier Environmental Assessment 2016			
308-1 New suppliers that were screened using environmental criteria		• BRSR	155, 177
308-2 Negative environmental impacts in the supply chain and actions taken		• BRSR	177
GRI 400: Social Dimension			
GRI 401: Employment 2016			
401-1 New employee hires and employee turnover		• Human Capital • BRSR	18 148
401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees		• BRSR	156
401-3 Parental leave		• BRSR	157
GRI 402: Labor/Management Relations 2016			
402-1 Minimum notice periods regarding operational changes		• MDA	91
GRI 403: Occupational Health and Safety 2018			
403-1 Occupational health and safety management system		• BRSR	158
403-2 Hazard identification, risk assessment, and incident investigation		• BRSR	159, 160
403-5 Worker training on occupational health and safety		• BRSR	158
403-6 Promotion of worker health		• BRSR	159
403-9 Work-related injuries		• BRSR	160, 161
403-10 Work-related ill health		• BRSR	160, 161
GRI 404: Training and Education 2016			
404-1 Average hours of training per year per employee		• BRSR • Human Capital	158 19
404-3 Details of performance and career development reviews of employees		• BRSR	158
GRI 405: Diversity and Equal Opportunity 2016			
405-1 Diversity of governance bodies and employees		• Human Capital • BRSR	18 147
405-2 Ratio of basic salary and remuneration of women to men		• BRSR	165
GRI 406: Non-discrimination 2016			
406-1 Incidents of discrimination and corrective actions taken		• BRSR	166
GRI 413: Local Communities 2016			
413-1 Operations with local community engagement, impact assessments, and development programs		• BRSR	172, 179
GRI 414: Supplier Social Assessment 2016			
414-2 Negative social impacts in the supply chain and actions taken		• BRSR	162

TCS was ranked amongst the second most Valuable IT Services Brand

Brand Finance Awards

Jaguar TCS
Racing 2022

TCS London
Marathon 2022

TCS Summit
North America 2022

Awards & Recognition

TATA CONSULTANCY SERVICES

TATA

TCS Safe Harbor Clause

Certain statements in this release concerning our future prospects are forward-looking statements. Forward-looking statements by their nature involve a number of risks and uncertainties that could cause actual results to differ materially from market expectations. These risks and uncertainties include, but are not limited to, our ability to manage growth, intense competition among global IT services companies, various factors which may affect our profitability, such as wage increases or an appreciating Rupee, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on cross-border movement of skilled personnel, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, the success of the companies in which TCS has made strategic investments, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, cyber attacks or security breaches, pandemics, natural disasters and general economic conditions affecting our industry. TCS may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. These forward-looking statements represent only the Company's current intentions, beliefs or expectations, and any forward-looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward-looking statements.

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